INTESA SANPAOLO BANK
Albania

2020 Annual Report

Bank of INTESA SANPAOLO

GALLERIE D'ITALIA.
THREE MUSEUMS, A NATIONWIDE CULTURAL NETWORK.

Gallerie d'Italia enables Intesa Sanpaolo to share its artistic and architectural heritage with the general public: 1,000 of its artworks are displayed in historic palazzos in three cities, creating a unique network of museums.

Housed in a palace of great architectural importance, **Gallerie d'Italia - Piazza Scala, Milan** has a selection of two hundred 19th-century Lombard masterpieces from art collections owned by Fondazione Cariplo and Intesa Sanpaolo, with a dedicated exhibit on Italian art of the 20th century.

Gallerie d'Italia - Palazzo Leoni Montanari, Vicenza is home to art of the Veneto region from the 1700s as well as Attic and Magna Graecia pottery. It also holds one of the most important collections of Russian icons in the West.

Gallerie d'Italia - Palazzo Zevallos Stigliano, Naples hosts the *Martyrdom of Saint Ursula*, the last known painting by Caravaggio, alongside more than 120 examples of Neapolitan art dating from the early 17th to the early 20th century.

A fourth hub for **Gallerie d'Italia is currently under construction in Piazza San Carlo, Turin,** with a special focus on photography and the digital world.

Cover photo:

CARLO CANELLA
(Verona, 1800 - Milan, 1879)
The New Gallery in Milan with night-time passers-by, 1870
oil on canvas, 60.90 x 54.50 cm
Intesa Sanpaolo Collection
Gallerie d'Italia - Piazza Scala, Milan

The New Gallery in Milan with night-time passers-by was painted by the artist Carlo Canella, who specialised in perspective views of various Italian cities, particularly Milan and Verona, from the mid-1830s onwards.
His painting depicts the Galleria Vittorio Emanuele II a few years after it opened in 1867. The new Gallery found instant favour and acclaim among the people of Milan. The annals tell us that singers were the first to frequent the Gallery, trying out their voices in spontaneous singing contests beneath the great dome of the Octagon. Luxurious cafés, bookshops and numerous fashionable clothes stores flourished on the Gallery's ground floor.
The painting received instant praise for its novel subject matter and the artist's success in setting the scene in a gallery, which appears brightly lit despite the upper part being in shadow.

The piece is part of the collection on permanent display at **Gallerie d'Italia - Piazza Scala,** Intesa Sanpaolo's museum hub **in Milan.** Its 19th-century section begins with Neoclassicism and goes right through to the early 20th century, taking in a century of Italian art on the way, with historic paintings, Italian unification battles, vedute and landscapes, genre paintings and masterpieces of Symbolism.

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Senior Management Profiles

Board of Directors

Božo Prka
Chairman of the Board of Directors

Paolo Genovese
Deputy Chairman of the Board of Directors

Marco Fabris
Member - Head of Planning and Control Department, International Subsidiary Banks Division, Intesa Sanpaolo

Gabriele Gherardi
Member
Head of People Management and Development Sub-Department, International Subsidiary Banks Division, Intesa Sanpaolo, Italy

Silvio Pedrazzi
Member
Chief Executive Officer, Intesa Sanpaolo Bank Albania

Ilir Panda
Independent Member

Audit Committee

Marco Fabris
Member – Head of Planning and Control Department, International Subsidiary Banks Division, Intesa Sanpaolo

Božo Prka
Member

Florion Tefiku
Member
Office of Foreign Banks, CEE, CIS & SM, Internal Auditing Directory, Intesa Sanpaolo Italy

Senior Management

Silvio Pedrazzi
Chief Executive Officer

Mr. Silvio Pedrazzi has been appointed as Chief Executive Officer (CEO) and Member of the Board of Directors of Intesa Sanpaolo Bank Albania in October 2013. Since then he has driven the profound evolution of the Bank with a particular focus on innovation and Digital Banking, while implementing all the policies and standards of Intesa Sanpaolo Group. During this journey Intesa Sanpaolo Albania has achieved high appreciation in the Country being recognized as a frontrunner in the fields of Economic Sustainable Development, Corporate Governance as well as Corporate Social Responsibility. Under his leadership, the Bank has developed an intensive cooperation with all the State Institutions aimed to an effective development of the most promising economic activities in Albania like Energy Sector, Tourism, IT Services as well as Agriculture. During the tenure of Mr. Pedrazzi, the Bank has received several Awards by international and local organizations. The most recent ones are: "Best Bank Governance 2018" (Capital Finance International - cfi.co); "Corporate Bank of the Year 2019 in Albania" (Corporate INTL Global Awards 2019); "Best Digital Bank in the Balkans 2018" (Business Vision 2018 Awards Winner).

Apart of his office duties, in Albania, Mr. Pedrazzi currently serves as Chairman of the Association of Albanian Banks (AAB), Board member of AIDA (Albanian Investment Development Agency), Board Member of Confindustria Albania, member of the National Labor Council as well as National Economic Council. In the recent past he was Chairman and then Board Member of FIAA (Foreign Investors Association of Albania) and Board Member of Camera di Commercio Italo-Albanese. Mr. Pedrazzi cooperates on regular basis with the most reputable International Financial Institutions, among which, the International Monetary Fund, World Bank and European Bank for Reconstruction and Development.

Silvio Pedrazzi started working in the Banking Industry in 1978 reaching his first Top Manager position in 1996 when he was appointed Director General of Cassa di Risparmio di Spoleto Spa. Afterward, within the Banking Group, he moved to Cassa di Risparmio di Ascoli Piceno again as Director General. In 2006 Silvio Pedrazzi started his journey abroad being appointed as First Deputy Chairman of the Executive Board in Banca Intesa Beograd; in 2008 he moved to Ukraine as Chairman of the Supervisory Board in Pravex Bank. Before joining Intesa Sanpaolo Bank Albania he covered as well the position of Area Manager (within International Subsidiary Banks Division of Intesa Sanpaolo) for Ukraine, Russian Federation and Egypt and served as Board Member and Chairman of the Audit Committee in Bank of Alexandria. He completed his studies in Italy were he got the University Degree in Economics and a Master Degree in Economic Sciences.

Julian Çela
Chief Financial Officer

Mr. Çela holds the position of Chief Financial Officer.

Mr. Çela is responsible for coordinating the preparation and monitoring of Strategic Plan and annual budgets, presenting and reporting accurate and timely financial information, asset liability management and treasury as well as accounting and procurement activities. He joined the Bank (former American Bank of Albania) in 2004. His prior work experience was at Procredit Bank in Internal Audit Department.

Mr. Çela has graduated in Finance and Banking at University of Tirana, Economic Faculty. In 2003-2004 he completed an accelerated finance and banking curriculum, a Georgetown University Program, at University of Wisconsin.

Ervin Xhomo
Head of Corporate & SME Division

Mr. Xhomo is currently holding the position of the Division Head of Corporate & SME in charge of the Corporate, SME, Product and CRM & Network Support's Departments.

Previous experiences of Mr. Xhomo include management positions at Banca Italo Albanese (BIA) as Head of Credit Office for 2 years, Treasury Responsible at BIA and at Emporiki Bank and BIA Main Branch Manager. Since 2008, by the merger of BIA with American Bank of Albania, Mr. Xhomo was first appointed as Head of Corporate Department followed by the promotion as Division Head since 2009 thanks to his consolidated experience and know how in commercial business and credit risk management, associated with a thorough knowledge of treasury products. Moreover for a transitory period of almost 1 year months during 2015-2016, Mr. Xhomo was holding also the position of Retail Division Head, contributing to positive indicators at retail banking. Mr. Xhomo holds a bachelor's degree in Business Administration from University of Tirana and a Master Degree in Business Administration from Nebraska University in cooperation with University of Tirana.

Klodiana Piqani (Keçi)
Head of Retail Division

Mrs. Piqani holds the position of Head of Retail, covering the whole network of the Bank including Individual segment and Small Business, as well as other supporting departments for the development of these client segments. Mrs. Piqani joined Intesa Sanpaolo Bank in 2013, initially in the Risk Management Division holding for three years the position of Head of Risk Analysis, and later the current position.

Before joining the Bank, Mrs. Piqani has developed an extensive experience in other Banks such as ProCredit and Societe generale Albania, in the latter holding important managerial positions such as Branch manager of Main Branch of Tirana as well as Head of Department for the Business Promotion.

Mrs. Piqani graduated in Finance & Accounting in the University of Economics of Tirana, and is in the process of finalizing a Masters Degree in European Economic Studies at the University of Tirana in conjunction with Bamberg University. During these years she has followed and has been certified in various courses and trainings in the banking field.

Jola Dima
Head of Risk Management Division

Mrs. Dima holds the position of Head of Risk Management Division, covering the areas of Underwriting, Non-Performing Loans, Credit, Market and Operational Risks. Following her initial experience in a Group member Bank in Milan, she joined the Bank (former American Bank of Albania) in 2005, initially at CFO Division and later establishing and managing Market, Operational and Credit Risk Departments.

Ms. Dima has been Deputy Chairman of ISBA committees, including Credit, Financial, Underwriting, Asset Quality and Operational Risk Committees.
Ms. Dima graduated with Laude in Business Economics at the University of Bologna, Italy in 2001 and later completed two master degrees, in Management and Information Technology (ALMAWEB, Bologna) and Banking Risk Management (UNSBC, Tirana).

During these years she has lectured in different private universities and followed professional training courses related to her area of interest.

Albina Mançka
Head of Operations Division

Mrs. Mançka holds the position of Head of Operations Division, covering the areas of Back office,

Real Estate and Security. Mrs. Mançka has a twenty year successful experience in management, project financing and coordination in financial institution(s) and private companies. Prior to joining the Bank (former American Bank of Albania) in 2007, she worked for seven years for Albanian-American Enterprise Fund, where she managed the biggest and most important investments of the Fund in Real Estate area. Mrs. Mançka's experience also includes management of the first private telecommunication company, managing position in different USAID projects, private consulting company as well as lecturing at the State Economic Faculty in the subjects of Strategic Management.

Mrs. Mançka graduated at the University of Tirana, Economic Faculty. In 1995 she was awarded a Fulbright Scholarship and in 1997 she obtained her MBA from Wisconsin University, USA.

Alketa Lamçe
Head of IT Division

Mrs.Lamçe holds the position of Head of ICT Division, where her responsibilities include development of IT strategies, IT applications and infrastructure, IT projects and IT services support.

Mrs. Lamçe joined the Bank (former American Bank of Albania) in 1999 and she has worked in different leading positions, such as Head of Information System Department and Deputy Head of IT.

Before joining the bank, Mrs. Lamçe worked as a Developer at INIMA and IT specialist at Savings Banks of Albania.

Mrs. Lamçe has a degree in Applied Mathematics, Faculty of Natural Sciences, University of Tirana and completed the Master in Business Administration, University of Tirana (Nebraska University Program). Throughout her outstanding career, in addition to successfully leading complex projects, she has attended numerous advanced trainings on ICT, Banking and Leadership Development Program.

Mrs. Lamce represents ISP Albania in the Albanian Association of Banks as chairman of the ICT Committee established in February 2017.

Ledia Plaku
Head of Legal Department

Mrs. Plaku holds the position of Head of Legal Department.

Mrs. Plaku has a long and remarkable career in the Bank, which starts back on year 2000 at former American Bank of Albania and includes managerial positions such as Head of Legal, Compliance, Human Resources, General Secretariat and Physical Security Department(s). Before that, she used to work for PMU/Immovable Properties Registration System as Head of Legal Department and has also taught Law at the Faculty of Law, University of Tirana.

Mrs. Plaku graduated in Law at the University of Tirana and completed the Master of Laws at Queens' University, Canada (full time). She has attended advanced courses on Leadership such as Executive Program, Emerging Leaders at London Business School, U.K and Leadership Development Program organized by Intesa Sanpaolo Group. Ms. Ledia Plaku is member of Tirana Bar Association since May 2003. She has been Member of National Selection Committee of Top-Level Management Civil Servants for 5-years.

Ediola Biçaku
Head of Internal Audit Department

Ms. Biçaku holds the position of Head of Internal Audit.

Ms. Biçaku joined Intesa Sanpaolo Bank Albania in April 2017. She brings a wide range of experiences from a 10+ years of career in audit. Prior to joining ISBA, she worked in National Commercial Bank (BKT). She began her professional banking career in 2006 working at BKT Internal Audit Group as an assistant auditor and achieved all hierarchical audit rankings within the Group. She served as Responsible Person for the design and maintenance of audit methodologies, prior to becoming the Manager of Internal Control Department under Internal Audit Group in 2014, in charge of establishing new functionalities of continuous audit for the company.

Ms. Biçaku graduated from the Political Sciences Faculty, Ankara University in Turkey, with a Bachelor's degree in International Relations. During these years, she has attended a series of professional training courses related to her areas of responsibility. She is a passionate audit leader and has prepared several training modules on a variety of topics related to international standards of internal audit, periodic and continuous audit, COSO framework, control optimization, fraud prevention and detection.

Markeljan Rriska
Head of Compliance and AML Department

Mr. Rriska holds the position of the Head of Compliance and AML Department.

Mr. Rriska joined the Bank (former American Bank of Albania) in April, 2004 and has held different positions such as Head of Legal Affairs Unit and Deputy Head of Legal Department. In September 2002, he was admitted at Tirana Bar Association where he still is a member.

Following a successful experience as Attorney at Law, he was appointed Head of Legal Department and Public Relationship at Albanian Shares Register, a position held until 2004. His vast experience in Legal Departments enabled him to accrue a depth of professional expertise and proficiency. Mr. Rriska has taught several Law Courses during his career.

Mr. Rriska graduated in Law at the University of Bucharest, Romania. He has attended the Leadership Development Program and Compliance Function Training organized by Intesa Sanpaolo Group.

Entela Zigori
Head of Human Resources and Organization Department

Mrs. Entela Zigori holds the position of Head of Human Resources and Organization Department covering the areas of Human Resources, Organization and Corporate Social Responsibility.

Mrs. Zigori is a member of Society of Human Resources Management (SHRM) and holds the credential as Senior Certified Professional (SCP-SHRM).

Mrs. Zigori started her professional career in the Bank (former Banca Italo Albanese) in June 1993 and worked for about 4 years in the area of payments, guarantees and letter of credits. In year 1997 she has been assigned as the Team Leader for the migration project of the Core Banking System and after successful implementation of the project in 1999 she was relocated for a short time as Branch Manager. In 2000 Mrs. Zigori was appointed as Head of Accounting Department and has continued her carrier through the years, by being part of the management team of the Bank holding the position of Head of Administration Division being responsible of Financial Control & Accounting Department, HR Department, IT Department and Treasury Back Office.

Since 2008, following the reorganization of Intesa Sanpaolo Bank Albania sh.a., Mrs. Zigori is covering the area of Human Resources, where the main contribution is dedicated to the development and growth of the Human Resources capital, side by side with a distinct focus to the Corporate Social Responsibility initiatives.

Mrs. Zigori graduated from Faculty of Economy - Tirana University as Economist for Industry.

The speech of the Chairman of the Steering Board

2020 was the most challenging year in over 6 decades. Facing COVID 19 Pandemic put countries worldwide under extreme strain and pressure to protect and preserve the health of the population on one side, while on the other to reduce the aftermath of continuous closure of the economy and trying to stop the spread of the virus.

Reduction of global activities in the course of 2020 was unprecedented both in terms of the speed of the virus and in terms of its synchronized nature. International Monetary Fund estimates are that global economy shrank by 3.3%. The same institution made the observation that the drop would have been thrice higher had it not been supported by strong support policies.

Along these lines, the Albanian economy shrank by -3.3% in the course of 2020, which represents the most negative figure since 1997. The decline was less than the initial expectations which varied from -5 up to the worst case scenario of -9%. The performance is an indication of the high flexibility of the national economy in the face of unprecedented shock, such as that of the aftermath of the Earthquake of November 26, 2019, which was followed by Covid-19 pandemic. The support policies of the Government of Albania through direct subsidies and warranty funds, alongside the interventions of the Bank of Albania through further facilitation of the monetary policies, and launching of measures for credit restructuring had a positive impact in face of the crises.

Since the start of the pandemic, Intesa Sanpaolo Bank Albania took the necessary measures to maintaining the stability of the bank's activity and to preserve and protect the health of its employees, while concomitantly ensuring stability of the performance of its clients and keeping the same level of credit risk as in the previous years. For sectors most affected by the Pandemic, such as tourism and its related activities and services, the credit restructuring was extended by up to two years.

To date, as we leave the worst behind, we take pride in saying that Intesa Sanpaolo Bank managed to be successful in surmounting one of the most difficult crisis in the last decades. The quality of the loan portfolio improved further, and the problematic loan portfolio indicator fell to its lowest level in the last ten years, at 4.5%. The credit portfolio kept growing, while further strengthening the bank's position in the market. In addition, deposits marked a very strong growth. Rentability indicators were kept under control, at better outcome then the expectations. The Pandemic had an impact on speeding up the digitalization process, which has and will continue to be a priority.

I would like to convey my special thanks to all the staff of the Bank who took no time in shaping their working habits to the new extraordinary circumstances, and to all the clients who continued to trust in our bank during these difficult months. I am optimistic that rapid recovery of the local and European economy will be reflected in the performance of the Bank in the period to come. We will not stop at any time to invest in our energetic staff, and take care of our clients, while being at the forefront of technological developments. The future remains a challenge, but together we can!

Speech of CEO, Intesa Sanpaolo Bank Albania

We have left behind a difficult year. With the outbreak of Covid 19 Pandemic in Italy first, and then in Europe, beginning of March, nobody knew what to expect, nobody knew what lay ahead. National quarantine rules were established rapidly, leading to immediate closure of border points, distortion of global supply chains, change of consumer behavior, while all of these together submersed the whole globe in untreated territory.

In the second quarter, Europe plunged into the deepest recession since the Second World War and Albania remarked similar situation as other countries.

The Albanian government adopted two financial packages as social support for its citizens and businesses, while increasing the budget for the health sector, and launching an instrument of sovereign warranty to face the aftermath of the Pandemic. Bank of Albania continued with the process of further facilitation of monetary policies, improving flow of liquidity with no limit in the banking system, and enabling credit restructuring, while extending payment of credit installments, in cooperation with the commercial banks (initially extending by three months, until end of August 2020 and then for the next three months).
Given the nature of the crisis, unfortunately, sectors directly impacted by consumption, and those sectors of importance for employment were the most affected, and ended the year with double digit shrinkage.

Intesa Sanpaolo Bank Albania strained itself in this unprecedented crisis of health and economy in two aspects. First, to maintain the stability of the bank and the health of its staff, while rapidly adjusting to the very difficult circumstances, due to social distancing. Second, taking care that in addition to maintaining its financial parameters not to exercise pressure on borrowing clients whose activity was related to the most affected sectors of the economy by the Pandemic crisis.
Our Bank has always been at the forefront of efforts to support clients of the banking system. We extended the process of loan restructuring beyond three months that was the recommendation of the Bank of Albania, before the official deliberation for extending the deadline by another quarter. Furthermore, for the most affected sectors by the pandemic, such as tourism, services and service companies, the Bank introduced a moratorium up to two years, while always cautiously monitoring the sectors most hit by the pandemic. Similarly, the Bank introduced a dedicated line of credit for enterprises, which even though did not meet the criteria of eligibility for the sovereign warranty scheme were in line with the requirements of the Bank.
In the same way the Albanian economy demonstrated flexibility and stability during this unprecedented crisis, the financial results of Intesa San Paolo Bank were better than expected. Beyond all difficulties of this year, including insecurity for the future, our Bank reaffirmed its mission, in support of the local economy, following a business model that ensures for the business to have continuous growth and sustainability of the Bank parameters. Despite the situation caused by the pandemic in the economy, and moratorium for extending loan payments deadlines, the Bank managed to keep the same credit risk level as in the previous years. The problematic loans indicator was reduced by 0.9 percentage points in 2020, to reach 4.5%, the lowest historical level in the last decade.

New credit lines continued to grow, while focusing on sectors such as energy and agro processing, fostered by agreements with the European Bank for Reconstruction and Development, which is expected to be extended to the tourism sector as well. In line with its mission, the Bank did not at any point stop lending to businesses and individuals, while always focusing on the quality of lending and diversification of risk according to sectors.
Despite the difficult environment and insecurities of 2020, Intesa Sanpaolo Bank managed to increase the number of its individual clients by 3%. Deposits grew rapidly, in line with the national trend to add to the savings in the face of the new insecurities generated by the Pandemic.
The challenges of 2020 indicated the importance of digitalization for the banking sector, while impacting the expedition of this process through substantial transformations such as flexible working access. Digitalization will continue to be one of the priorities of our Bank, following the rapid developments of 2020, with the goal of offering our clients a unique experience of e-service.

Based on the experience of Intesa Sanpaolo Group, the bank continued with the corporate social responsibility practice, thus contributing to the country's economic growth. The code of conduct and our core values remain priorities for our vision towards a sustainable future.
By closing, I would like to reiterate that none of the above would have been possible without the commitment of our professional staff. During these 7 years of our work together we have covered a lot of ground. We have faced many difficulties, in particular in the face of the pandemic, but we have also had a lot of success, making Intesa Sanpaolo Bank, one of the exemplary banks of the country. Today I am proud of all of you, and I am sure that under the new leadership, the Bank will continue to grow and remain at the forefront of all technological developments and continue to support the sustainable economy and the potential of this prosperous country.

Macroeconomic Environment and Banking Sector

General Overview

In the course of 2000, the Albanian economy recorded a negative performance, initially as the aftermath of the earthquake of November 26, 2019, followed by the outbreak of the Covid-19 pandemic in mid-March. The strict curfew measures imposed during the second quarter and an increasing uncertainty led to a contraction and shrinkage of the economic activity, reduction of employment and inflation decline. The economy started to show signs of recovery and growth only during the fourth quarter.

According to INSTAT, Gross Domestic Product (GDP) in 2020 dropped by -3.31%, as compared to + 2.21%, ending the previous year recording the most negative performance since 1997.

The economic crisis as a result of the curfew and restrictions in light of prevention of the spread of Covid-19 is the main reason that affected and led to this negative trend. The sharpest decline was recorded in the "Trade, Transport, Accommodation and Food Services" cluster, which was directly affected by the contraction of consumption and travel and failed to recover in any of the four quarters.
On the contrary, the "Processing and Extracting Industry and Energy" cluster managed to recover its positive growth during the third quarter, upon lifting of the curfew in the country, as well as in the European partner countries. Along the same lines, the construction sector showed signs of significant recovery during the third quarter, supported also by the acceleration of the reconstruction process in the wake of the earthquake. The cluster of "Real estate activities" represented the sole category with a positive performance throughout the year. "Information and communication" and "Financial and insurance activities" reduced their losses in the third quarter of the year, resuming growth in the fourth quarter.

The economic downturn of 2020 was lower than the initial expectations of the Albanian government and international institutions, which had made a forecast of -5 to -9%. Failure to take strong restrictive measures during the second half of the year rendered a positive impact on the economic activity.

Recovery to pre-pandemic crisis levels is expected to occur within 2022. However, these forecasts remain subject to great uncertainties, related to the fact that prolonged pandemic could lead to further constraints for the economic activity.

The Bank of Albania forecasts a gradual recovery of the economy this year, with an increase of 4.90%. According to these projections, economic growth is expected to be supported by significant monetary and fiscal incentives, by reduction of uncertainty, as well as by the recovery of global economic activity. These factors are expected to boost consumption, exports and investment, as well as to gradually increase revenues in all the sectors of the economy. The increase in the demand will help foster employment, which will be further translated into an increase of salaries and a gradual recovery of inflation to the target level, by 2022. The commencement of the broad immunization process of the population is another driving factor.

There was a drop in consumption during the first 9 months of 2020, reflecting the contraction of purchases as a result of restrictions, which lasted almost throughout the year and the aggravation of employment indicators. Consumption resumed its growth during the fourth quarter.

The increase in the Consumer Price Index (CPI) continued to be weak during 2020, remaining below the target of Bank of Albania of approximately 3%, for the ninth consecutive year. The shrinkage of the economy, low imported inflation, and consumption restraint were among the key factors that kept CPI at low levels. The average annual inflation for 2020 was 1.60%, compared to 1.40% a year ago. The inflationary pressures were higher during the pandemic months, due to the unclear situation that was created in March-April, and as a result of the increase of purchases of essential products, fearing prolonged restrictions and curfew. During the second half of the year, the CPI, in average, remained below 2%, with the main impact rendered by the lower prices of products such as: clothing, footwear and fuel.

In response to the immediate crisis caused to the economy by Covid-19, the Bank of Albania continued to ease its monetary policy, lowering the interest rate base by 0.50 percentage point, bringing it to its historical minimum level of 0.50% and retaining it unchanged until the end of the year. The Bank of Albania declared that it aimed at maintaining the favorable financial conditions throughout the medium-term, in order to guarantee the recovery of the economy and the recovery of inflation to its target level. The Bank of Albania has however, warned that in the event of a materialization of economic risks, this would require further facilitation of the monetary policy stance.

Pursuant to mitigating the effects of the pandemic and compensating individuals who lost their jobs as a result, the Albanian government adopted two Financial Packages in the form of social support for its citizens and businesses and increased the budget for the health sector. The first package in the shape of Support for Small Businesses and households amounted to a total value of ALL 6 billion. The second package as Support for Entrepreneurship and Employees amounted to a total value of ALL 6.90 billion. In addition to the supporting packages, the Albanian Government used the Sovereign Guarantee instrument of addressing the situation created by COVID 19 Pandemic

totaling to ALL 26 billion. By the end of 2020, businesses had used about 50% of the guarantee fund.

During 2020, Foreign Direct Investments (FDIs)in Albania dropped by 13.05%, following an increase over three consecutive years, being reduced to EUR 933 million. The contraction of investments reflected the completion of two major projects, i.e. TAP pipeline and the Devoll River hydropower plant by Statkraft Energy, along with the reduction of the extracting industry workflow which was hit by the pandemic. Investments under "Electricity, gas, and water supply" cluster fell by 22.4% on an annual basis, while "Extracting industry" cluster shrank by 48.3%. Rating agencies continued to maintain an unchanged rating, displaying a sustainable perspective, drawing attention to exposure against potential fiscal risks, following the increase of the public debt and the use of fiscal space in support of the economy which was stricken by the Pandemic.

In February 2021, Standard & Poors maintained the B + rating for Albania, with a sustainable perspective. S&P forecasts that the economy will grow by about 4.5% by 2021, based on the assumption that there will be no other strong wave of infections, which could lead to another strict curfew. The pandemic has adversely impacted the tourism sector in particular. According to Standard & Poor's assessment, the impact of the tourism sector on the Albanian economy may be even more pronounced than in the regional countries due to the higher weight of this sector in Albania's overall economy.

In October 2020, the other rating agency, Moody's retained Albania's ranking of B1 unchanged. The agency pointed out the Albania's stable position in international markets, despite the two consecutive shocks, both the earthquake of a previous year and the Pandemic. Moody's recognized the effects of the Pandemic on the economy and its inevitable but temporary negative impact on the fiscal parameters as well. However, strong and sustainable economic conditions in the recent years and the joint efforts of the authorities in combating the informal economy have improved the labor market.

As a former user of International Monetary Fund (IMF) financing, Albania is part of the so-called "Post-Program Monitoring", which requires bi-annual reviews of macroeconomic developments, risks and policies. In its latest review, in November 2020, the IMF called on the Government to pay closer attention to the management of the health crisis. The IMF pointed to the high risk that the Government would run out of fiscal buffers. This would add to funding difficulties and the country would not have the resources needed to reduce the shocks. In response to this risk, the IMF recommends that the Government should refrain from incurring non-priority expenditures, in order to free up funds and have them available for emergency response, as well as ensure an appropriate use of funds and their monitoring. The IMF estimates that there is a high risk that poorly designed Public-Private Partnership (PPP) projects will increase liabilities, while forecasting that in an adverse scenario, by 2022, the debt could continue to grow up to 88% of the Gross Domestic Product (GDP).

The unemployment rate for the population aged 15 and above reached 11.80% by the end of 2020, with an increase of 0.60 percentage points, following the crisis incurred by Covid-19 Pandemic, affecting both the economy and employment.

After the tourism boom in 2019, the Pandemic interrupted the performance of one of the sectors that was marking the best performance of the recent years. The number of foreigners visiting our country in 2020 dropped to 2.62 million, with an annual decline of 58.50%. After the quarantine during the second quarter, the summer offered "a little breath" to tourism, mainly due to the citizens of the regional countries. In 2020, tourists from Kosovo accounted for 52.03% of the total number, compared to 34.21% a year ago. The tourist season remains uncertain for this year as well, since it is again dependent on the income of the citizens and global progress of the immunization process.

Macroeconomic environment in 2020

The economy started its decline in the first quarter of 2020, affected by the aftermath of the earthquake and the initiation of the curfew measures imposed due to Covid-19 Pandemic in mid-March. In the second quarter, when the curfew measures were drastic, the shrinkage deepened significantly. In the following period, after the gradual opening of the economy, the decline pace slowed down. The positive trend returned and the economy started to recover during the last quarter, due to the fact that the limitation measures with the new wave of the pandemics were minimal.

In the first quarter of 2020, the decline in the Gross Domestic Product was -2.34%, compared to the positive expansion of + 2.31% during the same period in 2019. The positive growth was observed in the sectors of "Agriculture", "Real estate activities", "Public administration and defense; compulsory social securities; education; health and social work-related activities" and "Arts, entertainment and recreation". The strongest shrinkage was observed in the "Construction" sector (-17.38%, on an annual basis), after the consequences of the earthquake in November 26, 2019. Consumption showed the first signs of the curfew impact, in the sector of "Wholesale and retail trade; transport and accommodation and food service activities", which declined by -3.84%.

During the second quarter, the economy entered an unknown territory, as a result of drastic restriction and curfew measures that were taken to curb the spread of Covid-19. Almost all activities, except for the vital ones were closed, public transport was closed for a period of more than two months. Consequently, the economy fell by -10.20% on an annual basis in the second quarter. The sector that was hit the most was that of Wholesale and retail trade; transport and accommodation and food service activities (-26.66%), as well as the "Processing industry" (-19.57%), following the termination of the contracts with exporters and the closure of oil refineries and metal producers. All the sectors, except agriculture (+ 2.28%) and real estate activities (+ 5.47%), experienced a sharp decline.

In the third quarter, the economy continued to decline, but at a slower pace (-3.47%). Some sectors recovered, such as construction (+ 8.72%), processing industry (+ 1.09%), public administration and defense; compulsory social securities; education; health" (+2.38). "Real Estate" activities continued their strong growth with an annual expansion of + 9.54%. Consumption-dependent sectors continued to demonstrate a poor performance, where "Wholesale and retail trade; transport and accommodation and food service activities" shrank by -13.01%, reflecting the poor tourist season, benefiting only from regional tourism, mainly from Kosovo.

In the fourth quarter, the economy returned to growth for the first time since the beginning of the Pandemic, expanding by + 2.99%. The improvement was driven by construction (an annual basis expansion of + 18.48%), which accounted for 1.84% of the total growth and "Public Administration, Education, Health" accounted for 1.01% of the growth. Only "Agriculture, forestry and fishing" demonstrated a decline (-2.91% in the same quarter of 2019); and "Trade; Transport; Hotels" (by -5.51%).

During the entire 2020, out of the 10 main economy sectors, only four recorded a positive performance.
Real estate activities recorded the largest increase in 2020, by + 6.74% representing the only sector with positive performance in each quarter.

The Agriculture sector managed to maintain a slight positive growth of + 0.91%, accelerating the pace compared to the previous year (+ 0.39%).

Following a decline of -5.56% in 2019, the Construction sector returned to annual growth in 2020, by + 1.62%, influenced by the fine performance over the second half of the year, as a result of reconstruction in the wake of the earthquake and the increasing pace of residential construction, particularly in the capital.

The sectors of "Public administration and defense; compulsory social securities; education; health and social work activities" grew by + 1.73% thanks to the increase of health care expenditures during the Pandemic.

Information and communications cluster, despite a recovery in the fourth quarter, ended the year with a shrinkage of -1.77% in 2020, affected by a decline of consumer spending due to the pandemic.

Financial and insurance activities demonstrated an increase only in the last quarter, while the entire year ended with a shrinkage of -3.97%, compared to an increase of + 11.04% in the previous year.

Wholesale and retail trade, transportation and storage, accommodation and food service activities represented the hardest hit sectors by the Pandemic and consumption crisis, shrinking by -12.15% in 2020, following an increase of + 3.79% in the previous year.

Extracting industry and energy recorded a decline of -2.76% on an annual basis, following an increase by + 3.54% of the previous year, influenced by the poor performance of the processing and extracting industry.
In 2020, the end consumption of the population dropped by -2.34%, compared to the increase of + 3.26% the previous year. Its shrinkage was stronger during the second (-7.96%) and third quarter (-3.40%) of the year, only to pick up during the last months of 2020, with + 1.60% growth. Consumption performance was affected by strict

quarantine and curfew in the second quarter, followed by restrictive measures on movement and activity of hotels and restaurants, which were present until the end of the year.

The Consumer Price Index (CPI) fluctuated between 1.50% and 2.10% throughout 2020. Inflation spiked during March and April, recording 2.10%, after temporary restrictions on the supply side and increased purchases of essential products during the quarantine period. The lowest level was reached in December, at 1.10%. The average annual inflation was 1.60% in 2020, compared to 1.40% the previous year.

Throughout the year, the clusters that stimulated inflation were "Fruits", which increased by an average of 15.20% and "Vegetables including potatoes" by 5.8%. Fluctuations in fruit and vegetables' prices were impacted by the weather, over-production or lack thereof, as well as by specific demand-related factors, influenced by the behavior during the pandemic.

Other clusters recorded minimal changes, with "Health" demonstrating a negative contribution, as a result of lower prices of medicines and the cost of hospital services, and "Transport", following a significant drop of fuel prices in the international markets after the pandemic. A slight positive growth, below 2% was recorded by "Alcoholic beverages and tobacco", "Rent, water, fuel and energy", "Hotels, cafes and restaurants", "Furniture, home appliances and home maintenance".

According to the Bank of Albania estimates, in macroeconomic terms, the significant economic downturn in 2020 was responsible for retaining low inflation rates. Furthermore, the recovery of the economic activity close to its potential will create the conditions for the return of inflation to target level within 2022.

The Bank of Albania continued to maintain an easing monetary policy, which it has been following since September 2011, increasing its intensity during the pandemic period. In March 25, 2020, the Supervisory Council of the Bank of Albania decided to reduce the interest rate base from 1% to 0.50%, bringing it to its historical minimum. Pursuant to reinforcing and strengthening its easing monetary policy, the Bank of Albania has taken several immediate measures to support the Albanian economy hit by the coronavirus pandemic. Liquidity injection increased in mid-March, changing the auction form to weekly liquidity injection, from a very limited auction to a fixed price auction. Through this change, second tier banks were offered the possibility to receive unlimited liquidity from the Bank of Albania at the cost of the base rate set by the latter, which until the end of March 2021 was at the level of 0.5%.

The easing monetary policy was transmitted to the further reduction of the cost of lending in Lek during 2020. The average monthly interest rate of new loans in Albanian Lek for the entire year 2020 was 5.82%, compared to 6.34% the previous year. In December 2020, the average interest rate on new loans in Lek fell to 6.00%, compared to 6.46% in December 2019. A positive effect on the downward trend in the second quarter was thanks to the first sovereign guarantee scheme in lending. During the third quarter, there was a slight increase compared to the previous quarter average, after the effects of the guarantee scheme faded. The increase of interest rates was present on both business and retail loans. The Bank of Albania estimates that the level of interest rates on loans in Lek remains below their average level before the reduction of the interest base rate in March.

Deposit interest rates also demonstrated a downward trend for the second consecutive year. In 2020, the average interest rate of new time deposits (1-60 months) in Lek was 0.69%, from 0.80% which was the average rate in 2019.

Exports recorded a sharp decline in 2020, influenced by the consequences that restrictions in Europe had on the demand of the suppliers in Albania, especially during the first half of the year, while recovering in the second half. Sales abroad dropped by 9.05% in 2020, following a shrinkage of 3.75% in 2019. There was a decline in three main groups, which account for about 67.71% of total exports "Textiles and footwear", "Minerals, fuels, energy" and "Construction materials and metals". "Food, beverages, tobacco" and "Machinery, equipment and spare parts" had a positive performance.

The exports of Textiles and Shoes declined by 13.40% on an annual basis in 2020. This group was the most affected by the aftermath of the Pandemic. The textile industry managed to respond better to the drop in the orders from foreign partners, diversifying into the production of masks and clothing for medical use and returned to growth over the last months of the year. The most difficult aspect was adaptation for the footwear manufacturing sector, which continued to decline throughout the year. Textiles and footwear constitute the largest group of exports in Albania, accounting for 37.63% of the total exports, reflecting a slight decrease compared to last year. Italy remains the main country of destination of exports of this group, making this sector dependent on developments and demand of the neighboring country.

The commodity group of Minerals, Fuel, and Energy came second, after Textiles and Footwear facing the biggest adverse impact of the pandemic, followed with a shrinkage of exports by 20.61% on an annual basis. The negative performance was a result of the temporary curfew and subsequent reduction of the activity of oil extraction companies and the unfavorable conjuncture of prices in international markets. Minerals, fuel and energy is ranked as the third largest group in the country (from second in 2019), accounting for 14.67% of the total compared to 16.82% in 2019.

Construction material and Metals became the second largest group in the country, comprising 15.37% of the total exports from 15.19% in 2019. This group recorded a decline of 7.88%, affected by the decline of the metal prices and the shrinkage of the exports of construction materials during the first half of the year following the halt of economic activity in Europe and the region. In the second half of the year, the sector recovered significantly, with the resumption of construction in the region and diversification of export markets in Serbia.

Exports of Food, Beverages, and Tobacco continued business as usual, even during the quarantine period, with an annual increase of 10.39% in 2020. The cluster is demonstrating sustainable growth each consecutive year, influenced by investments in certification and collection and processing systems and subsidy schemes.

The exports of Machinery, equipment and spare parts increased by 7.20% in 2020. The sector recorded a slight drop in the first half of the year, but then returned to a high pace growth following the lifting of restrictions in Europe and the functioning and operation of a new factory in the sector for the assembly of vehicle electrical systems, which operates mainly based on active processing mode. This sector, whose competitive advantage is still the low-cost labor force, is constantly attracting foreign investors. For the other groups, which account for a low share of exports total, the related performance has been dropping, particularly so for the leather processing (-25.90%) sector. Italy remains the country's main export partner, accounting for 45.42% of the total, almost unchanged, same as a year ago. Exports to Italy dropped by 16.21% in 2020, affected by the poor performance of the Textiles and footwear group. The latter accounts for 62.34% of the exports to the neighboring country.

Kosovo continued for the seventh consecutive year to be the second trading partner for Albania, accounting for 9.65% of the exports total, compared to the weight of 9.98% a year ago. Exports to the neighboring country declined sharply by 11.96% in 2020. Construction materials and metals and "Minerals, fuel and energy shrank by 13.13% and 27.76% respectively vis-a-vis exports with Kosovo.

Germany was again the country's fourth largest trading partner, by 5.89% of the total. Unlike the main countries that recorded a sharp decline throughout the pandemic year, exports to Germany increased by 12.81%, in 2020. The main impact was spurred by the growth of the "Textiles and footwear" group, by 14.44%, following the diversification of exporters that considered the German market as an alternative to Italy under crisis.

Greece was the fifth partner, representing 4.83% of the exports total. Exports to this country suffered ana slight annual increase by 3.36%, influenced by the fine performance of the Food, beverages cluster (+ 16.41%).

Imports dropped by 6.82%, and the highest impact was due to the Minerals, fuel, energy and Textiles and footwear clusters. Italy represents the main trading partner in terms of imports, accounting for 25.12% of the imports total, followed by Turkey with 9.57%, then Greece (8.99%), while China continues to be ranked fourth (8.92%).

In 2020, the trade balance improved by 4.90%. The imports ratio to exports was 44.93%, showing a deterioration compared to 46.03% the previous year.

The average exchange rate of Euro against the local currency in 2020 was 123.80 Lek per euro, with an appreciation of 0.65% compared to the previous year, recording a slight increase for the first time in six years.
From January to mid-March, the average exchange rate was about 122.24 ALL. With the introduction of the restrictions, the common currency increased immediately at the end of March to 130-131 Lek, after flights ban, which temporarily prevented the entry of foreign currency into the country. Subsequently, the exchange rate was stabilized ranging at the levels between 123 and 124 Lek, where the lower levels were observed during the summer, although at a slighter pace than in previous months, due to limited tourism activity. The Bank of Albania estimates that the exchange rate has been stable, reflecting the balance of supply and demand for foreign currency.

Unlike the Euro, the Dollar slightly depreciated in 2020, by -2.21%. The green currency was exchanged at an average rate of 108.5 lek, compared to109.8, the average rate of last year, mostly reflecting its performance in international stock exchanges.

The Bank of Albania intervened in the foreign exchange market, only in the first quarter of the year. In February 2020, the Bank of Albania bought 13.7 million euro. On March 27 and 30, 2020, following the rapid weakening of Lek by approximately 7% compared to the beginning of March, the expansion of second tier banks' spreads to 5 Lek against 0.5 Lek and the decline of trading volumes, the Bank of Albania intervened in the domestic foreign exchange market aiming at avoiding disturbances, selling a total of 20.40 million euro.

In March 31, the Monetary Policy Enforcement and Advisory Committee of the Bank of Albania decided to cancel all remaining auctions of 2020, in order not to increase the demand for Euro in the foreign exchange market.

The remittances from emigrants for 2020 totaled 673 million Euro, reflecting a drop by 4.11%, compared to the same period of the previous year. This slight negative trend was influenced by the sharp shrinkage during the second quarter (-34.59%), during the curfew period restricting movements. During the third and fourth quarter the trends changed and remittances increased by 6.45% and 11.53% respectively.

Data from the Labor Force Survey put unemployment rate at11.80% at the end of 2020, which represented an increase compared to 11.20% which was the figure for the previous year. The unemployment rate increased in the second quarter, following the curtail of a large part of activities, which led to the temporary closure of many businesses. Employment recovered in the third quarter, driven by tourism activity, although limited, and deteriorated again in the fourth quarter.

The youth unemployment rate increased slightly by 0.3 percentage points compared to the end of 2020, reaching 21.70%, driven by increasing unemployment among women. The Bank of Albania estimates that the fiscal assistance packages have somewhat supported and facilitated the difficult situation in the labor market. As a result, both the drop in employment and the increase in unemployment have been milder than the performance of the economic activity indicators.

The average monthly salary for an employee at the end of 2020 was ALL 54,951. In comparison to the end of 2019, the change of the average gross monthly salary per employee demonstrated an increase of 2.79%, as a result of the overall increase of the salaries in the public health sector, information technology and financial and insurance activities.

The average monthly salary for an employee hired in the public sector at the end of 2020 was ALL 66,479, showing an increase of 1.38% compared to the end of 2019.
Total budget revenues decreased by 7.50% in 2020, following the effects on the economy and business activity of the restrictions in light of the COVID 19 pandemic.

Revenues generated from Income Tax and Personal Income Tax had the most negative performance, shrinking annually by 22.40% and 22.70%, respectively, throughout year. The decrease of income tax revenues reflected not only the contraction of business profits and income, but also the fiscal incentives and facilities offered by the government to defer prepayments in many sectors. VAT remains the item that holds the largest share of revenues in the budget, accounting for 30.59% of the budget total. Vat generated revenues recorded a moderate annual decrease of 1.60%.

Revenues from local government also had a low performance, dropping by 4.90%. Special funds revenues suffered a moderate drop by 0.70%, as a toll that the crisis took on employment.

Contrary to declining revenues, expenses increased by 9.05%, boosted by contingency funds, which were used for the support packages, along with unemployment benefits, increased expenditure for the health sector, and increased capital expenses for reconstruction purposes, in the aftermath of the earthquake. The budget deficit increased by 250% compared to the previous year.

Public debt increased to 77.80% of the GDP, from 66.20% of the GDP in 2019, with an expansion of 1.6 percentage point. Debt growth was driven by the increasing budget deficit and the issuance of Eurobond.
As of June 9, 2020, the Republic of Albania entered the international markets with a new 7-year international bond totaling to € 650 million with a coupon of 3.50%. The government used the funds of this issue to repay the previous Eurobond as well as to cover the budget financial needs, including providing for the economic recovery following two consecutive shocks like the November 2019 earthquake and Covid 19.

Banking sector

During 2020, the banking system demonstrated a sustainable and growing activity, despite the consequences of the pandemic in the economy. The interventions of the Bank of Albania for supplying continuous liquidity and the measures taken for the postponement of loan payments, together with the upward trend of deposits, allowed the system to breathe and maintained the non-performing loan indicator at stable levels.

According to the data of the Bank of Albania, the total assets of the system at the end of 2020 reached ALL 1.58 trillion, with an expansion of 7.18% compared to 1.55% at the end of 2019, which was an increase compared to the previous year. The system invested the available money mainly in relations with the central bank and in economy lending.

After the beginning of the pandemic, the Bank of Albania adopted several regulatory changes, which facilitated and supported banks, non-bank financial institutions, as well as savings and credit associations and their unions during the period between March - May 2020, to not apply and comply with the relevant regulatory requirements in the event of the insolvency of borrowers, mainly related to the classification and creation of provisions. For the banking system, these measures were postponed for three additional months, until the end of August. The move enabled businesses and individuals to defer loan installment payments for up to 6 months.

These measures allowed the banking system to continue lending to the economy, supported also by the sovereign guarantee funds of the Albanian government, managing to maintain almost the same levels as in the previous year. In 2020, new lending reached ALL 245.6 billion, decreasing by 0.85% compared to 2019, being the lowest level in the last five years. The sharpest contraction was during March-May, when the country faced restrictions on movement and economic activity. Lending activity recovered during the second half of the year, with an increase by 11.04%

compared to the same period last year.

The credit stock reached ALL 608.6 billion, with an expansion of 6.60% on an annual basis, but such increase reflects more the effect of loan restructuring measures and deferral of credit installment payments. The stock of loans in Lek at the end of 2020 occupied 52.67% of the total, with a slight increase of 0.35 percentage points compared to the previous year.

During the pandemic, there was a marked trend of increasing savings. Total deposits reached ALL 1.11 trillion at the end of 2020, recording an annual increase of 8.29%, from 3.85% the previous year. The increase resulted from the increase in deposits both in Albanian Lek and foreign currency. This is the highest growth rate of deposits since 2010.

The growth was stronger regarding domestic savings in Lek, in comparison to foreign held currencies. This led to a slight improvement in the share of deposits in local currency by 1.11 percentage point to 46.54%. But, again, foreign held currency savings (mainly in euro) continue to dominate, by 53.46% of the total.

The profit of the system for 2020, reported according to local standards, amounted ALL 16.87 billion, reflecting a decrease of 15.17% compared to the previous year. Meanwhile, revenues increased slightly, the increase of expenses for non-performing loan provisions was the key factor affecting the profits decline.

The decline of profits worsened the profitability indicators. Return on Assets (RoA) averaged 1.20% at the end of 2020, up from 1.56% in 2019. Return on Capital (RoE) dropped to 8.65% at the end of 2020, from 14.28% last year.

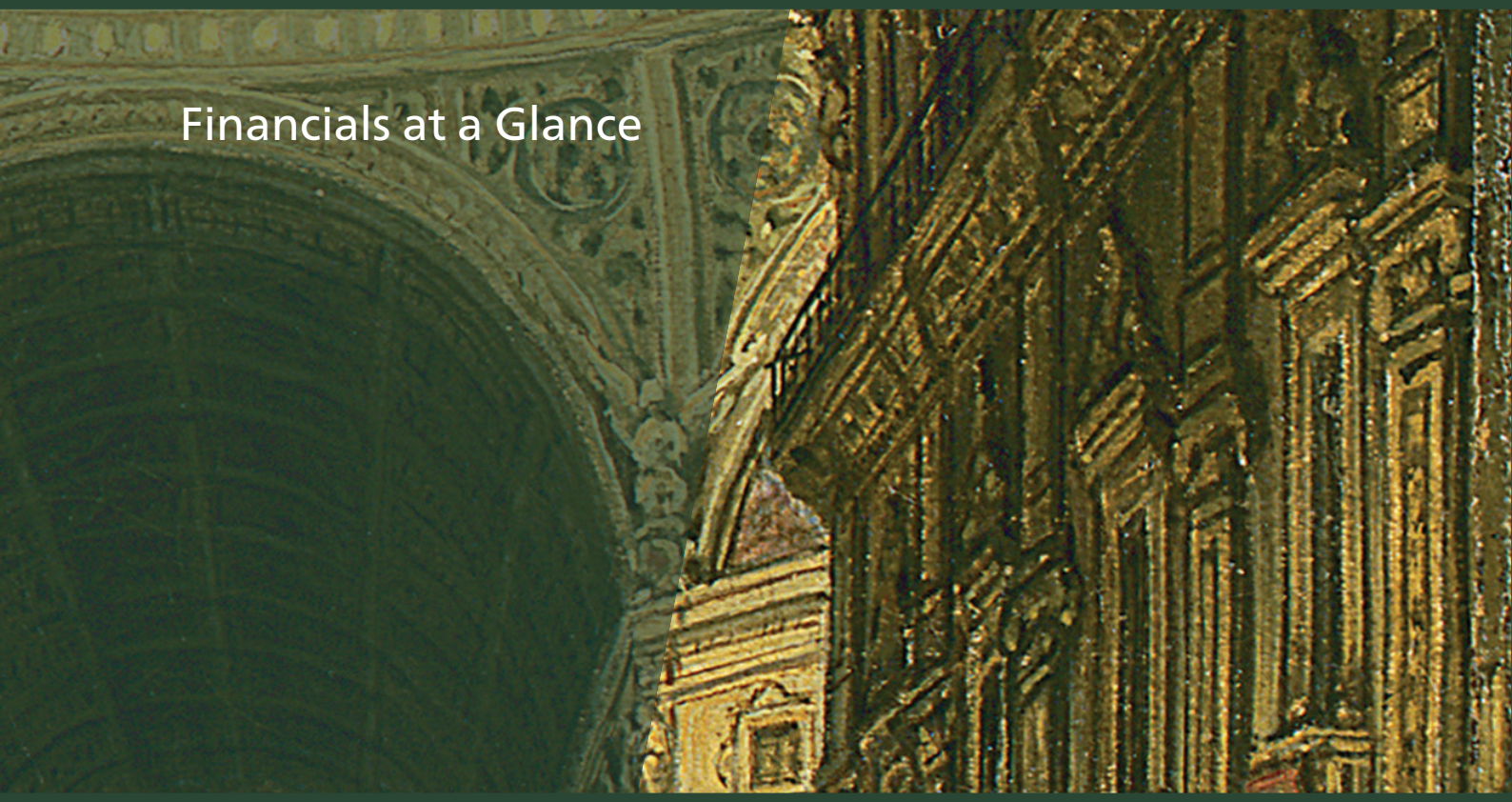
Non-performing loans pursued the slight downward trend and ended the year at 8.11%, reflecting a decrease of 0.26 percentage point compared to the previous year, dropping to the lowest level since the second quarter of 2009. Due to of the regulatory measures of the Bank of Albania, regarding the classification and creation of provisions, the consequences of the pandemic on the solvency of borrowers will be clarified only in the course of 2021.

Following the completion of the banking system consolidation process in 2019, which lasted for about three years and brought the number of banks down from 17 to 12, in the course of 2020 no changes were recorded in the share capital structure of the banks. At the end of 2020, the Albanian banking system counted 12 banks.

The system continued to be well diversified according to the origin of capital. Currently 26.37% of the system assets are from Turkey, 14.85% from Austria, 12.17% from Italy. The share of Greek banks has been reduced to 4.82%, while the share of banks with Albanian capital has reached 25.30%. Hungarian capital accounts for 6.05% of the total. German capital occupies 2.22%; the American capital accounts for 5.46%, the Bulgarian capital 2.14% and 0.62% originates from other countries.

At the end of 2020, the banking system counted 413 branches, which was 9 branches less than the same period last year. The number of employees was 6,558, increasing by 192 employees, compared to the end of 2019.

(Source of data: quarterly GDP publications, INSTAT; Labor Force and Labor Market Survey, IV Q 2020, INSTAT; Data on the banking system, Bank of Albania and Association of Banks; data on balance of payments, Bank of Albania; Fiscal Statistics 2020, Ministry of Finance; Macroeconomic Fiscal Framework 2022-2024).



Financials at a Glance

Explanatory note:
Managerial financial statements and audited "Financial Statements" are different due to the fact that the Bank has restated its comparative financial statements to include the assets, liabilities, results of operations and cash flows of Veneto Banka (joint stock), from 5 December 2017 in the audited FS.

FINANCIALIST AT A GLANCE

	2017*	2018*	2019*	2020*
Income Statement **Amounts in ALL/1,000**				
Net Interest Income	3.983.035	33.782.370	3.538.978	3.290.133
Net Fees and Commissions	820.771	785.295	852.700	771.942
Pre-tax Income	1.123.910	997.498	2.420.288	2.015.748
Taxes	282.635	57.290	381.606	290.478
Profit	799.827	436.707	1.701.875	1.294.535
Balance Sheet				
Total Assets	184.559.044	177.699.734	183.006.669	194.304.286
Loans	55.193.813	46.500.426	46.878.405	52.898.601
Securities	59.350.512	64.000.757	67.228.165	72.073.721
Due from Banks	21.952.883	20.253.667	29.146.303	26.736.572
Deposits	147.985.177	145.483.303	150.941.624	159.507.095
Capital	23.329.338	20.274.284	21.631.243	23.051.769
Total Liabilities	161.229.706	157.425.450	161.375.427	171.252.517
Indicators				
Profit / Assets	0.43%	0.25%	0.93%	0.67%
Profit / Total Capital	3.43%	2.15%	7.87%	5.62%
Income from interest / Assets	2.57%	2.54%	2.38%	2.08%
Interest expense / Liability	0.47%	0.47%	0.50%	0.44%
Capital Adequacy	18.91%	23.17%	22.69%	21.54%
Net Assets / Employee	230.658	245.977	243.402	260.658
Number of employees	699	640	663	657

**Consolidated with Veneto Bank*

INTESA SANPAOLO BANK / KEY FIGURES

	2019*	2020*	Change	Change in %
Net Interest Margin	3.539	3.290	(249)	-7.0%
Non Interest Income	1.332	1.298	(34)	-2.6%
Total Revenue	4.871	4.588	(283)	-5.8%
Operating Expenses	(2.382)	(2.531)	148	6.2%
Loan Provisions	42	(188)	(230)	541.2%
Net Income	1.702	1.295	(407)	-23.9%
Return on Equity	8.1%	5.8%	-2.3%	
Cost/Income Ratio	48.9%	55.2%	6.2%	
Total Assets	183.007	194.304	11.298	6.2%
Total Loans (gross)	46.878	52.899	6.020	12.8%
Customer Deposits	150.942	159.507	8.565	5.7%
Total Shareholders' Equity	21.631	23.052	1.421	6.6%

Management Discussion

Management Discussion

DOMESTIC ENVIRONMENT

Intesa Sanpaolo Bank Albania 2020 Main Challenges and Achievements

Minimum interest rates continued to impact the Bank's Net Interest Income, bringing it down.

The bank managed to grow in terms of number of customers and profitable transactions in most business units.

The Bank made significant progress during 2020 in the following aspects:

Solid capital position: the capital adequacy ratio in 2020 stood at the level of 21.54%, keeping ISP Albania in a comfortable position for taking advantage of organic growth opportunities.

Credit quality: further improvement of the NPL stock in 2020, which decreased by 6.6% pushing further down the NPL ratio by 0.9% reaching 4.5% in December 2020, and marking a historical low level in the last 10 years.

Commercial activity: optimistic growth and a well-positioned commercial model focus on higher growth, especially in the Individuals and Small Business segments. The Financial leasing project, which was finalized in 2019 opened up new opportunities for the Bank to extend its product portfolio, and to increase its lending volumes and customer base.

Digitalization has remained one of the Bank priorities. 2020 witnessed many new developments in this area, and those will continue to evolve further during 2021, by introducing sale of consumer loans & debit cards, e-statement and introduction of bill payments, with the aim to offer to our customers a unique experience.
Cost-to-income ratio at 55.2%: 2020 was affected by cost saving initiatives and improved control systems which secured yet another year driven by operational efficiency.

Manage risk well

CREDIT RISK

Credit Origination quality was at healthy levels, with just 1.60% of new lending for the last three years recording 90+ days average vintage.

New lending is acquired based on know-how and awareness of sectors' specificities, pre-defined solutions, policies & products, with main reference to Energy and Agribusiness as components of volumes increase. Such results involved also partnerships and risk sharing agreements with experienced players such as EBRD. The collaboration will be further extended to other sectors such as Tourism.

In the course of 2020, under the circumstances of the COVID 19 Pandemic, the bank was able to take proper actions to implement in time the state moratoriums and to closely monitor the economic sectors mostly hit by the pandemic, by maintaining the same level of the credit risk as previous years.

The Bank, in compliance with Group rules, has in place a Risk Appetite Framework (RAF) with regards to the control of main risks such as Credit Concentration risk, Real Estate risk, Sovereign risk, Foreign Exchange credit risk, etc.

The function of Proactive Credit Exposures Management (PCEM) has been in place since 2016, providing for more pro-active credit quality monitoring and addressing credit deterioration from the outset.

The framework on Credit Control activities, setting up 1st and 2nd level controls on credit area aims at a prompt and better identification of any inadequate credit practices and mechanisms, as well as ensuring effective corrective actions.
The Bank has adopted IFRS 9 standard since January 1, 2018, by reclassifying the financial assets in stages as per risk classification applying respective credit losses calculation (1 year or Lifetime expected credit losses). While in 2019, the bank adopted the New Definition of the Default, in compliance with ISP Group rules.

NPL MANAGEMENT

2019 continued the trend of significant improvements in the loan portfolio quality. The Bank continues to outperform the Banking sector average regarding the reductions of NPL having lowered their percentage 0.9 %. These results were mainly due to:

• NPL stock Reduction to healthy levels, enabled by good collection results, coupled with the moving off balance sheet of staled positions as per Central Bank regulations.
• Early intervention on positions potentially object of restructuring/rescheduling avoiding portfolio deterioration combined with support/involvement by Under-writing team and the new PCEM role, in defining solutions from early revision stages to later deteriorated ones.
• Re-possessed Assets structure, a separated unit within Risk Management Division went on generating positive results with regards to assets marketing and sale.

RETAIL BANKING

During the challenging 2020 due to COVID 19 Pandemic, the outmost priority at the outset of the crisis was to implement and ensure application of all measures related to the health of our customers and our staff. Despite this primary focus, the other imperative points of attention involved ensuring provision of sustainable service and operations in all the branches of the Bank, as well as ensuring business continuity and results.
As an immediate measure to achieve these re-shaped priorities, access to the branches was organized in accordance with precise rules on social distancing and the number of employees and customers in the premises, to ensure the protection of their health. These measures were adapted over time, following government guidelines.
One of the solutions which proved to be very effective for managing the response was a coordinated combination of physical and remote working. This new way of working, already well-established within the Group and which was introduced earlier on in the Bank, enabled us to provide services every day also during the peak of the pandemics, whilst at the same time ensuring the health of our employees.

Despite the difficult and uncertain environment during which the Bank had to operate in 2020, the Bank managed to increase its number of total Individuals customers by 3%, while the active customers ratio did not see any significant fluctuations. Mainly due to the fact that it was amongst the sectors more heavily impacted by the pandemics, the number of Small Business customers did not see any growth and naturally the effects of the pandemic were even more obvious in the Small Business customers' activity.

Beyond all the difficulties of this year, including uncertainties for the future, our bank re-affirmed its mission, in support of the local economy, following a business model that ensures continuous growth. In this regard, Intesa SanPaolo Bank did not stop lending to businesses and individuals at any time, whilst taking care of the quality of this lending and risk diversification between sectors.

The efforts in applying new processes flow, pricing structure, shortening and improvements of processing time through the automatization of the process for the consumer loans products, resulted successful in all customer segments, showing an increase of overall retail performing loan volumes of 13% year on year with Individuals lending increase at 15% followed by Small Business increase of 10%.

We managed to grow our total lending portfolio, improving our position in terms of market share by 0.3% for Individuals. The principal increase is vested primarily to the Mortgage Loan product where the bank managed to increase its market share with 0.5% compared to 2019 and marked a better overall growth compared to the market. Despite the better results in total new production volumes compared to the previous year, the impact of the Pandemic was higher in Consumer loan production.

An important positive impact is attributed to the Mortgage Loan in EUR, with fixed Interest Rate launched in late 2019, which perfectly served the target group of customers with incomes in EUR. For the first time during 2020, Intesa San Paolo Bank signed an agreement with the Ministry of Finance and Economy for participating in the soft-loans program, an instrument which has brought a positive impact in the portfolio growth. Thanks to this agreement, the bank is now a partner in specific housing programs at low cost intended for families which benefit from loan interest subvention. Now, customers from different cities all over Albania have benefited from this type of financing and a full package of other preferential financial terms which are affordable as per their economic conditions.

With regard to the Small Business segment, during 2020 as well, we continued to facilitate lending to the agribusiness sector leveraging from the instruments on risk management previously introduced through cooperation with EBRD Risk Sharing Program. We managed to demonstrate resilience in maintaining profitability and confirm once again our ability to support economic growth.

During the Pandemic, following the Group extensive guidelines, and in coordination with the local authorities, the government and the central bank, the bank has focused and undertaken immediate and concrete measures through a moratorium period for loan payments for both businesses and individuals clients. We offered to all our customers the option to suspend loan payments, from March to August 2020 and subsequently, the opportunity to choose a new payment plan, according to economic possibilities applying an almost automatic approval process avoiding extra burdens and submission of further documents. In terms of business exposures, the moratorium was extended equally to investments and working capital financing for the Small Business Segment, reaching 60% of the outstanding performing loan portfolio meanwhile that for the Individuals segments it counted for 25% of the total outstanding performing portfolio. For the most affected sectors such as: tourism, related service and entertainment companies, the Bank offered a moratorium of up to two years. This support was extended by special financing provided through government payroll and working capital schemes implemented by each bank, in line with the financial capabilities of the clients to repay the loans. In addition of the Government schemes, the Bank allocated its own dedicated Plafond Line, with the aim to financially support companies who notwithstanding have provided a specific and clear investment plans could not meet the criteria of the government schemes, but however where compliant with the internal eligibility criteria set from the Bank. All this activity contributed not only to the easing of the

financial burden to the customer base but also preserving a very satisfied NPL ratio which during 2020 decreased in both Individuals and Small Business segments.

Retail Divisions marked a very good performance in terms of Deposits, demonstrating an increase in both segments, respectively Individuals by 3% and Small Business by 8%. The overall division increase was at 4%. The Bank's strategy for improving and optimizing the ratio between deposits in local currency towards those in foreign currency has paid off, proven by the 2020 improved ration of LCY vs FCY deposits in line with the policy and guidelines of the Central Bank with regards to de-eurization. The increase in deposits was driven by several factors: on the one hand, the climate of uncertainty and risk aversion, which resulted in a strong preference for liquidity, combined with lower consumption levels and higher propensity to save.

During 2020 cardholders' spending behaviors changed, to reflect the overall lifestyle change that involved less travel, vacations, leisure and more time at home than before.
At the end of 2020 we had issued 15% more MasterCard Prepaid cards compared to the end of 2019.
Overall domestic usage of ISPBA cards has increased by 23% in transaction Numbers and 20% in volume compared to 2019, while due to the Covid restriction usage of our cards internationally has dropped by 35%.

During several months of 2020 Retail has conducted Cash Back rewarding campaigns to incentivize the use of Debit cards in domestic POes and almost 3,000 clients have benefited from the program. These campaigns brought a 30% increase in Domestic & On-Us POS purchase volumes.

2020 was a tipping point for digitalization. Apart from being a strategic pillar for the Bank, the coronavirus crisis has played an important role in driving digital progress via accelerating the speed of innovation. Heading into a new digital age in a Pandemic posed many challenges which impacted business commercial activities. During the lockdown these activities were interrupted in order to give focus to the moratorium process and awareness increase on the safety protocol. Focal point was also frequent updates on operating hours and transaction processing timelines. It required a huge effort to keep focus on both challenges and digital progress.

With the easing of restrictive measures, a cautious commercial re-activation plan was launched. It aimed to support all business segments in achieving customer results in the post covid-lockdown. Through these commercial activities bank communicates with customer. Customer Relationship Management platform (CR-ISP) played an essential role. Its use revolved around sales' campaigns launching and events follow-up. The proper analysis for customer's targeting and management was handled via the same platform which in turs also served to measure the key indicators of success for achieving effective results for both bank and customers.

In the context of COVID-19, digitalization has become an indispensable priority. The digital transformation strategy aims to integrate customers' demands on online platforms. During the year we have managed to successfully launch new features in online banking for individuals. In the beginning of 2020, SAVE was released with target to promote small impulsive savings. Introduction of chat option on all channels gave customers the flexibility to get the right support in real time. In parallel with channels was also released the Chatbot in Public Portal, as an important tool intended to provide answers for most frequent questions. In the scope of new functionalities launched to complete the range of payments offers, mobile top up was introduced for all three operators currently in the market.

Apart from these achievements we continued to intensively work on enabling the sales process for Debt Cards and Fast loan over online channels. The transition to remote sales was achieved via successful agreement with Intesa Sanpaolo as Certification Authority. Due to this was enabled the issuance of the Remote Digital Signature as a qualified electronic signature and pre-requisite for online sales process. These new sales capabilities to be made available to the individual customer base in early 2021 alongside the Remote Digital Signature will ensure an important step in the digitalization process and will mark a considerable drive towards paperless online processes.

Since the new direct channels launch in 2019, we have seen a sustainable growth in the number of customers contracting the service. Around 38% is the ratio to active customer base with an increase of 17% from the previous year. A similar growth was noticed also in terms of transactions being channeled through online banking platform. The results prove that customers are embracing digitalization and are ready for more developments. In the next years we intend to focus on investments in cuttingedge technology and data capabilities, aiming at esnuring a seamless sales process. Another key factor contributing and driving the developments is the integration of the customer's feedback throughout the whole financial solutions. We are aware that only by listening to the voice of the customers we can better serve and provide them with sustainable solutions.

CORPORATE BANKING & SME

Corporate Banking in Intesa Sanpaolo Bank Albania comprises Domestic and Multinational companies as well as Institutional Customers (Government, Municipalities, and Public Sector Entities). SME Department includes companies/groups with revenues in the range of EUR 1 – 10 Million.

During 2020, the support to business customers to overcome the difficulties caused by COVID 19 pandemic assumed a paramount importance. Intesa Sanpaolo

Bank Albania, in support of its customers and in line with the Moratorium implemented by the Government in coordination with Bank of Albania, offered to its borrowers the possibility to defer loan repayments for up to 6 months, without penalties and/or fees; it also offered a tailor-made solution to Hotel and Tourism sector in postponing loan repayments up to May 2021.

In addition, the Bank fully adhered to the package of facilities under the Albanian Government sovereign guarantees schemes (both for salaries and working capital / investment needs); it also allocated an internal plafond of € 50 million, for new financing to businesses affected by the COVID -19 crisis, to cover short-term financial needs for working capital, supply chain and trade finance needs, with a 6-months grace period very favorable interest rates and no fees whatsoever.
During 2020, the Cash Management team continued to focus on the optimization of the payment businesses, aiming to improving customers' cash flow, with special attention paid to the digitalization of cash management products and services. Use of electronic channels to make banking transactions, during the lockdown period, was imperative for businesses, in order to facilitate customers use of the Internet Banking Service. The Bank improved substantially its internet banking platform, while increasing its support for the Division customers.

The Division continued to be a strategic partner to its customers offering a comprehensive variety of products and services to Corporate & SME customers, including financing facilities (standard loans, overdraft facilities, project financing, syndication loans), trade finance facilities (guarantees and letters of credit), deposits, treasury products (spot and forward transactions), domestic and international payment transactions, POS-terminals, business cards and "on-line" banking.

Notwithstanding the difficult situation of the country, Corporate & SME improved its lending market share, without compromising its portfolio' quality, and consolidated its deposit market share confirming its position as the biggest in the country; specific lending volumes grew by 17.3 %, customers deposit +12,3% as well as revenues, improving its contribution in Bank' results with an increase of 11.9 % of its Net Operating Margin.

Financial Leasing, part of Corporate & SME Division since its launch in mid-2019, achieved a respectable market share within the first year of activity, notwithstanding the main challenges posed by the COVID 19' pandemic, which particularly affected Car Rentals, Hotels, Transportation etc.

Supported by our Treasury team, Corporate and SME Division showed good results in FX trading revenues, as one of the core business streams, especially for Domestic and Multinational Corporate Customers.

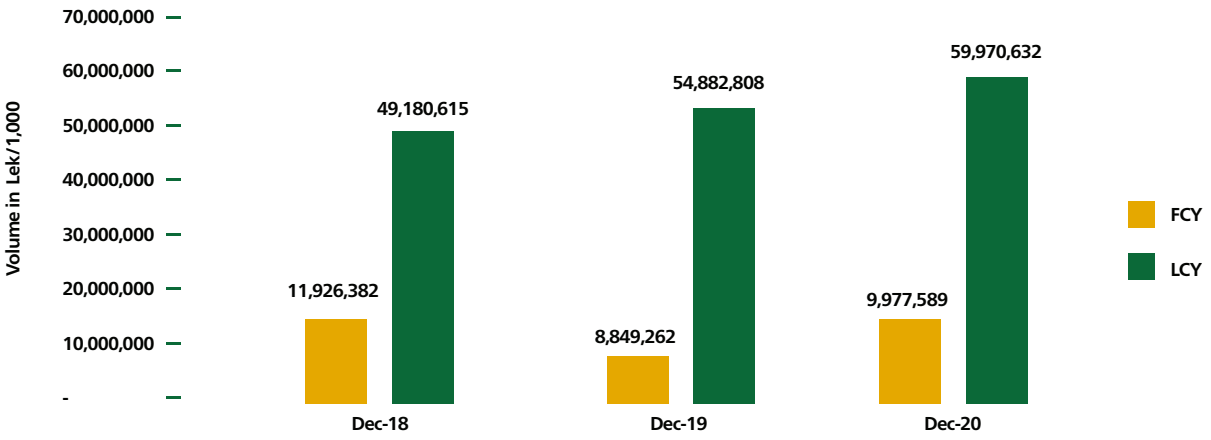
FINANCE AND CAPITAL MARKET

In the course of 2020, Treasury and ALM delivered an increased contribution in NII, with regard to investments in Albanian Government Securities, which was driven by higher volumes of investments in both local and foreign currency. The increased volumes in FCY provided a good return since it was realized through the purchase of the Albanian Government securities, both domestic and international, at a good yield. The value of such investments into our portfolio specially increases considering that all the alternative high quality investments in the international market are available only with negative yields. As for the yields of the Albanian Government securities in LCY, they also experienced an increase during 2020 with the pandemic as the main driver, but also due to the extended impact in the budget of the Nov 2019 big earthquake and the prelude of the new national election on Apr '21. The yields of the 12M T-Bill in the local currency, the most sensitive domestic instrument to the market condition developments, in 2020 varied from 1.63% to 2.25% with average 1.86% versus the range 1.094% to 2.26% with average 1.58% in 2019.

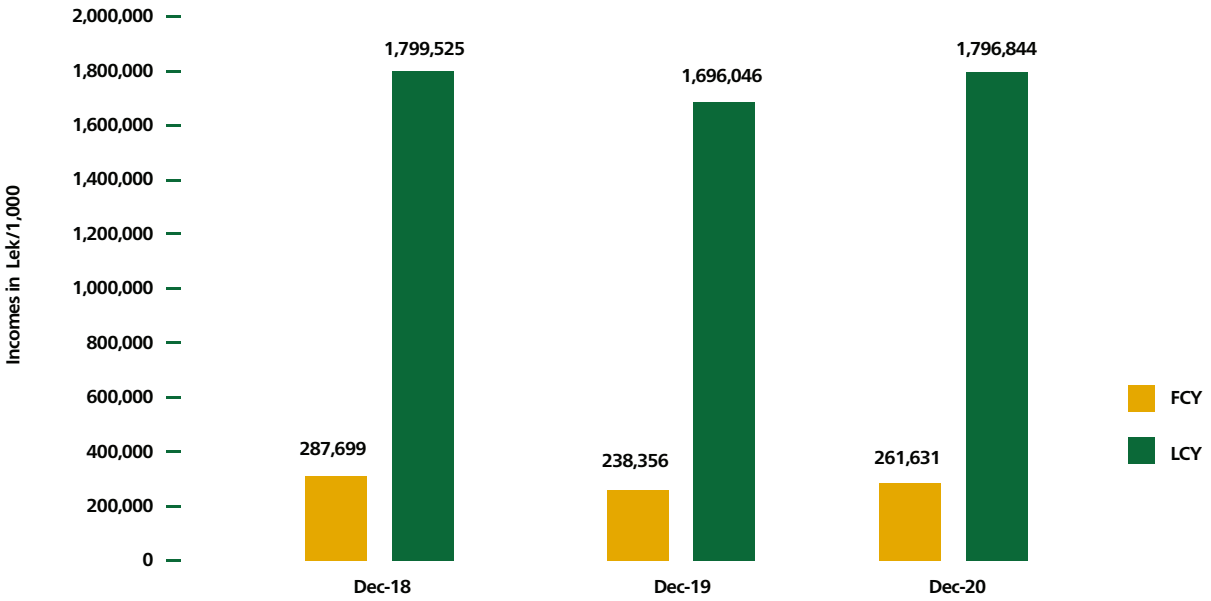
During 2020, Treasury and ALM together with Banca IMI have played the role of the co-manager for the successful issuance of the Albanian Government in EUR in June 2020.

One of the important activities of this Department, closely related to the activity of Corporate & SME and Retail customers has been competitiveness in trading the financial instruments like Spot Foreign Exchange transactions and Albanian Government securities in the retail market, both increased compared to the previous year.

Volume of Securities Portfolio (Balance of yearly average)



Revenues from Securities



ICT MANAGEMENT

2020 was a very challenging year, what with the huge impact that Covid-19 pandemic brought to our way of living, behaviors and of course, to our way of working. While all areas of the banking sector had to go through significant transformations, ICT Division in particular, used their best technological innovation know-how and capabilities to quickly adapt to the new environment, ensuring business and operations continuity, with minimum impact disruption on the service quality.

So, the most important achievement of 2020 for ICT Division was the capability to guarantee access to a flexible work environment for all ISBA colleagues. The flexible work concepts were initially introduced even prior to the pandemic lockdown, with the big goal of Smart Work adaption in ISBA. But the dynamics of 2020 gave a big boost to this activity, with ICT Division efficiently managing to prepare the flexible work environment in a very short timeframe. This enabled the bank to run smoothly and continue its normal service to the customers, preserving staff safety at the same time.

Considering the impact of the Pandemic on almost all economic activities, the Albanian regulatory institutions, such as Albanian Government and Albanian Central Bank, imposed frequently changing directives, that caused the Bank to transform and adapt its business service. This transformation required the indispensable support of ICT Division, to accommodate new processes and activities such as:

- Application of moratorium period to credited customers
- Lending to business customers under Sovereign Guarantee
- War salary distribution and monitoring
- Transaction commissions facilitations

Although the ICT Division resources were most of the time allocated to smoothly run the bank, the development activities were equally kept in focus, contributing to great achievements. The ISBA projects portfolio listed many important projects, including ISP Group initiatives, Albanian Institutions Regulatory requirements, as well as local ISBA business initiatives. The most important projects that were finalized successfully during 2020 are:
Centralization of Swift infrastructure: ISBA had been relying on local infrastructure and SWIFT applications for communicating with SWIFT network, until November 2020, when this infrastructure was fully transferred to ISP Group. This enabled the bank to have a common ISP Group platform, sharing same infrastructure, licensing and operational costs.

Individual Credit Process Automation: Implementation of a new process flow for collecting and monitoring individual customer applications for unsecured loans was completed during 2020. With the main purpose to have a highly automated process, this ISBA local initiative included standardization of the Product Catalogue solution, automation of applied product terms and risk rules, automatic generation of loan contracts, and automation of loan disbursement process in the Core Banking System.
CRS Project, phase I: As per Albanian Tax Office requirement, phase I of CRS project consisted in the standardization of OECD countries residents reporting to Albanian Institutions. This project phase was successfully completed on time, complying with Albanian local regulations.

New BoA Credit Registry System: The Central Bank of Albania implemented a new Credit Registry System during 2020. ICT Division enabled the integration of internal ISBA systems to this new credit registry, through batch mode for ISBA credit portfolio reporting, as well as through real-time mode for automatic download of credit report of loan applicants.

Data Governance Tool: Implementation of new Data Governance Tool system was an important step towards the formalization of Bank's business and technical dictionary.

Harmonized Customer Risk Evaluation: As per ISP Group initiative, and with the supervision of AML department, this project aimed to assign a common harmonized risk score to cross-ISP subsidiaries common customers.

Calendar Provisioning: Implementation of Calendar Provisioning framework, as per EU and ECB Regulations requirements aimed at the calculation of the minimum loss coverage levels on non-performing exposures.

Beside the new implementations, important upgrades of existing solutions were also successfully introduced. The most important ones to mention a few included: Big Financial Data, CRISP, Collateral Management Tool and Accounting Factory.

At the same time, the ICT Division kept on being focused on the objectives of the ISBD Strategic Business plan 2018-2021, which were mostly driven towards the digital transformation of the bank. During 2020, when the awareness on the importance of a Digital Bank raised significantly, the Digical project gained an even higher attention in this strategic plan. With a very ambitious project plan, several important streams were conducted, such as:

- Activation of Remote Digital Signature for customers and bank clerks
- Online multichannel contracting
- Online sales of debt cards
- Online sales of consumer loans

The development phase for all of these streams was mainly completed during 2020, to be continued and finalized in the first quarter of 2021.

Although ICT activity during 2020 has been very dynamic, the challenges faced and the way that they were overcome, played a role in determining the irreplaceable role of Information Technology. This experience demonstrated that the ride along 'Digitalization Journey' can and should be accelerated. Through increased focus to the digital

evolution, and with full commitment of ICT resources, ICT will continue being a key promoter in the establishment of public trust in the digital era.

OPERATIONS

Intesa Sanpaolo Group pays important attention to "Occupational Health and Safety" aspects, and this became even more pronounced during 2020, as a result of the Pandemic. The bank responded in time to safety and protection of its staff and clients, by starting the equipment of PPE since the first cases outbreak in Italy. In a very short time, the Bank applied the Yellow Protocol following local and international requirements in all Albania territory network. During 2020 through an ongoing process, Operation Division and other structures of the bank operate continuously as an effective and active instrument in respecting the health, security and safety of the staff, clients and collaborators.

During 2020, the operations of Intesa Sanpaolo Bank Albania focused on enhancing efficiency, cost and surface optimization, improving client satisfaction and the bank's image. Despite 2020 being a difficult year due to the Pandemic, the planned projects were successfully completed. The re-allocation of Main Branch in Ismail Qemali branch from first floor to ground floor made the branch more accessible for the clients, and brought them closer to the bank.

The reallocation of main branch was followed with the Reallocation of Corporate Division from 2-nd floor to the 1-st floor. The refurbished area offers a dedicated space for Corporate, SME and VIP clients in line with Intesa Sanpaolo Group layout.

All these investments have turned the branch and the Corporate area into a place of partnership, an open place for dialogue, meetings, communication and work, a friendly customer service, strengthening human relations. The new layout offers many diversions while waiting to be served: besides internet access, clients can also read one of the many books available for consultation, enjoy a good cup of coffee in a very relaxed environment while listening to the background music, which mitigates the surrounding 'working' noise. In addition to all the customer's facilities and friendly environment the new spaces offer better working conditions for the staff of our Bank as well, more natural light, more fresh air and more spacious working place.

Another aspect of the focus of the Intesa Sanpaolo Bank Albania is the Enhancement of the power infrastructure in bank premises. Following the project completion during 2019, in 2020 the Enhancement of the Electrical power facility of Durres Main Branch was a big and very important project that started with a Feasibility study and was finalized with the replacement of the old infrastructure with a new one, construction of a Technical Unit, according to the contemporary technology standards. The Technical room was constructed with fire protection, Emergency Doors, main and backup generators, according to the latest technology, ISSO, Health and Safety in the work place and Business Continuity Management standards and costs saving. The remote control mode of the systems represents an added value of the new infrastructure.

Energy and Environment represent the bank's goal, to monitor the compliance risk regarding environmental protection, ensuring alignment with international and local requirements on environmental issues (e.g. waste disposal, environment dangerous substances management, soil and water discharges, atmospheric emissions, noise pollution, etc.), to identify actions, measures, proceedings and strategies to promote the rational use of energy.
The main focus of the Operation Division remains the optimization, cost saving, and improving customer satisfaction, Occupational Health and Safety and Energy and Environment, all in the light of Intesa Group values.
Implementation of Intesa Sanpaolo Group standards that refer to best international practice are strongly endorsed by the Senior Management of Intesa Sanpaolo Bank Albania.

Prevention of economic and reputational losses coming from cyber-fraud attacks has been the main challenge during 2019. The only cases suffered on cyber-fraud area have been noticed on e-commerce online card transactions where card data have been compromised on merchant's environment and/or from cybercrime. To mitigate this risk ISPBA has started the implementation of "3D Secure" online card authorizations which is going to be finalized during 2020. No other forms of cyber-fraud were detected during 2019.

Financial Review

Financial Review[1]

In 2020, ISP Albania reported a net profit of ALL 1,295 million. In comparison to 2019, net revenues dropped, mainly driven by lower net interest income and lower income from commissions.

Transaction-based revenues continued to present a core income, motivated by payments. Operating cost were successfully maintained under control, and delivered a good performance in 2020 in all components. Credit quality positively improved keeping provision expenses and cost of risk at minimal levels.

Net profit in 2020 was strongly affected by the Pandemic. However, the Bank managed to deliver an over-performance compared to expectations, while concomitantly maintaining a healthy balance sheet structure.

The analysis is made based on 2020 and 2019 results according to IFRS. If otherwise stated, all figures are presented in millions of ALL.

Results 2020t highlights

• Net Interest Income at ALL 3,290 mln, down 7% (2019: ALL 3,539 mln)

• Net Commissions at ALL 772 mln, down by 9.5% (2019: ALL 853 mln)

• FX result at ALL 538 mln (2019: ALL 548 mln)

• Operating Income at ALL 4,588 mln, down 5.8% (2019: ALL 4,871 mln)

• Operating Costs at ALL 2,531mln, up 6.2% (2019: ALL 2,382 mln)

• Operating Margin at ALL 2,057 mln, down 17.3% (2019: ALL 2,489 mln)

• Net Income at ALL 1,295 mln, down 23.2% (2019: ALL 1,702 mln)

Lending results – entirely generated in domestic market

• Total performing loans in Dec 2020 at ALL 50,542 mln, up 13.9% from Dec 2019, driven by Corporate segments. Needs to be mentioned that all segments delivered an outperformance.

Positive results generated in:
• Corporate & SME in Dec-2020 at ALL 33,642 mln, up 14%
• Individuals in Dec-2020 at ALL 12,516 mln, up 13%
• Small Business in Dec-2020 at ALL 4,384 mln, up 10%

Credit quality - further improvement

• Improved credit quality, with a decline in the NPL ratio impacted by Retail division. Total Nonperforming loans in Dec-2020 at ALL 2,357 mln, down 6.6% from Dec-2019.

Strengthened capital position

• Regulatory Capital in Dec-2020 at ALL 18,553 million, up by 0.5% from Dec-2019 impacted from the drop in intangible assets with ALL 88 mln.
• Capital Adequacy Ratio at 21.54%, down by 1.15% (Dec 2019: 22.69%)

Cost discipline and efficiency

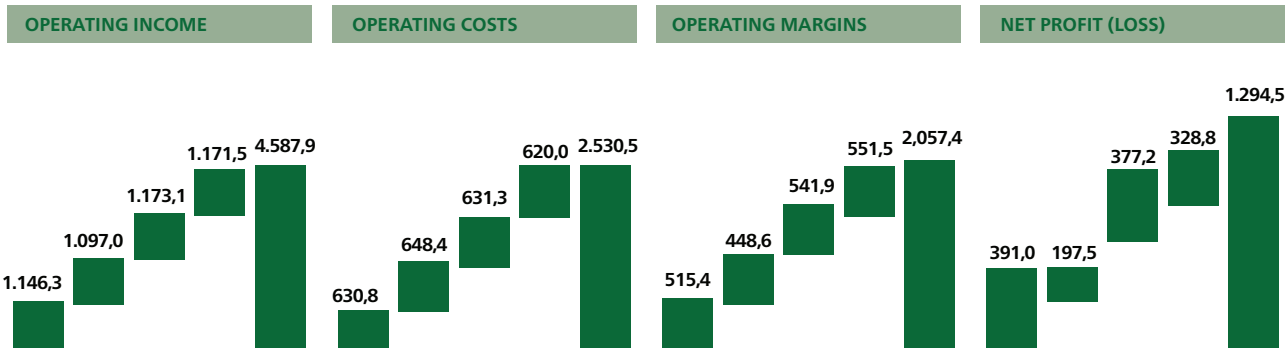
• Cost income ratio at 55.2%, up 6.2% (2019: 48.9%), impacted by positive non-recurring events in 2019.

[1] *Taking into consideration positive non-recurring recoveries in 2019, operating costs were managed substantially in line with previous year.*

		Change	
		amount	%
NET INCOME (LOSS)	1,295 1,702	(407)	-24%
Minority interests			
Levies and other changes concerning the banking industry (net of tax)	-355 -277	(78)	28%
Charges (net of tax) for integration and exit incentives	-76 -60	(16)	27%
Taxes on income	-250 -382	91	-24%
Income (loss) before tax	2,016 2,420	(405)	-17%
Other income (expenses)	8 21	(13)	-63%
- Net impairment losses on other assets	-45 -147	102	-69%
- Net privisions for risks and charges	183 15	168	1112%
Net adjustments to loans	-188 42	(230)	-541%
Operating margin	2,067 2,489	(431)	-17%
Operating costs	-2,531 -2,382	(148)	6%
Adjustments to poperty, equipment and intangible assets	-475 -439	(36)	8%
Other administrative expenses	-869 -876	7	-1%
Personnel Expenses	-1,136 -1,068	(119)	11%
Operating income	4,588 4,666	(283)	-6%
Other Operating Income (Expenses)	-13 -69	(57)	-8.2%
Net result of fin. assets and liab. valued at FV through PL and on Oth.	538 548	(10)	-2%
Net fee and commission income	777 853	(81)	-9%
Net Interest Income	3,290 3,539	(249)	-7%

Y 2020 Y 2019

Quarterly development of main consolidated income statement figures (ALL in mln)



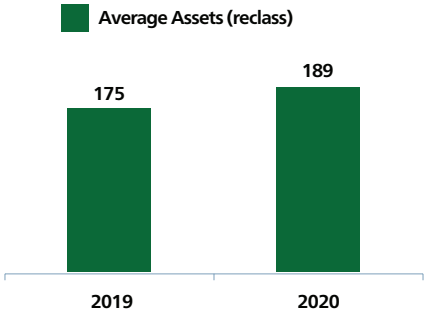
Operating Income

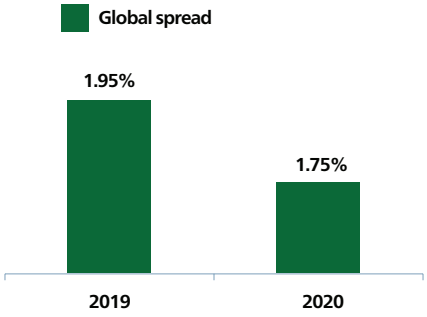
In 2020, operating Income fell by 5.8%, primarily driven by net interest income, due to non-recurring positive impact on NII from ex-Veneto exposures, and lower interest rates on loans and placements.

Lower net interest income

Net interest income dropped, reflecting the continuous decline of interest rates and the market behavior, affecting income from loans, securities and placements. Liabilities side, lower expenses are evidenced compared to previous year driven by deposits in LCY, mainly due to lower interest rates for funding.

To be emphasized the reduction of income from placements with 270%, determined by the deterioration of interest rates.

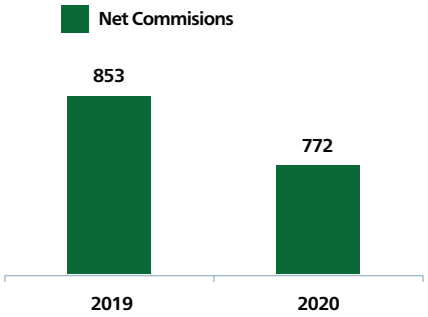


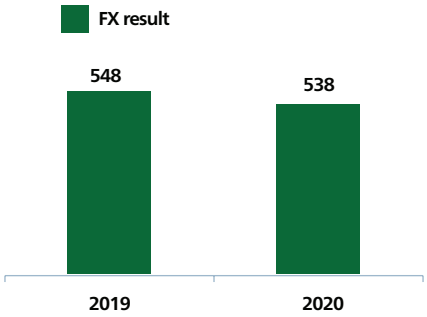


Lower commission income in almost all categories

Net commission resulted 9.5% lower in 2020 compared to 2019, with a negative impact in almost all categories, totally impacted by the Pandemic amid Covid-19 outbreak, that affected the overall economy and reduced significantly business and operational activities.

Slight lower income on trading transactions by 1.8% in 2020 compared to 2019.





Lower other net operating expenses

Other operating expenses went down by ALL 57 Mln year on year, due to non-recurring negative impact of "Resolution Plan expense" in 2019, accounting for ALL 82 Mln. In 2020, such expenditure was re-classified under "Levies".

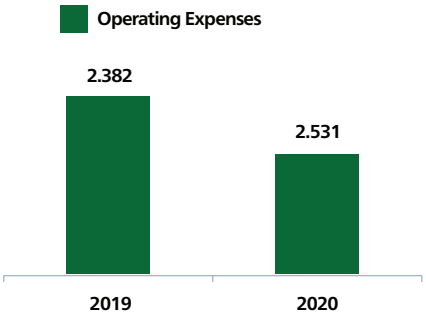
Total Operating Costs

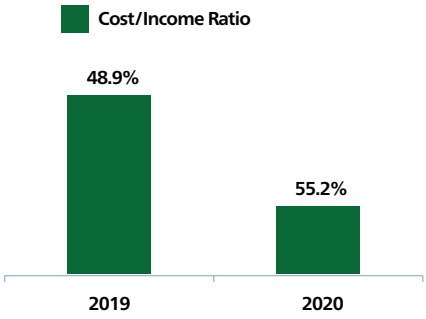
Operating costs resulted 6.2% higher than in 2019. Such result was totally impacted by positive non-recurrent events in 2019. If normalized for such events, total costs delivered a beter results in 2020 compared to 2019.

Although during 2020 there were extra costs incurred for the preventive measures amid Covid-19, the Bank activated several cost saving initiatives, that fully offset such impact. Cost reductions were supported by:

• Target-oriented procurement activities, the Bank has negotiated better terms in almost all administrative costs in collaboration with central procurement.
• Enhanced cost control for all cost centers

In full alignment with Bank's strategy, the bank keeps under particular focus the lowering of "run the bank" costs by leveraging on the development of economies of scale through ISG Central Procurement.





Improved credit risk

NPL ratio was further reduced in 2020, reaching a historical minimum level of 4.5%. The Bank managed to keep cost of risk at minimal levels. The following events determined the yearly loan impairment costs:

• Improvement of EBA risk parameters contributing in loan impairment release;
• Several repayments of lost loans from customers;
• Higher coverage ratio for non-performing customers, contributing in loan impairment charge;

	Dec 2016	Dec 2017*	Dec 2018*	Dec 2019	Dec 2020
NPL ratio	13.9%	7.9%	6.6%	5.4%	4.5%
NPL coverage ratio	36.6%	40.4%	47.7%	46.3%	54.5%
Cost of risk	-0.5%	0.03%	0.47%	-0.09%	0.37%

**) Consolidated with Veneto Bank*

Legal Disputes

The internal Policy for "Operating Rules for Accounting for Provisions on Contingent Liability and Contingent Assets" adopted by the Board of Directors on July 2014 outlines the rules for the establishment of provision on litigations, as well as the actors involved in the process.

Based on the above mentioned policy, provisions have been duly recognized when present obligation have been evidenced or when a probable outflow of resources has been estimated to settle the probable obligation.

Forward looking statement

During 2020, the bank managed successfully all business and operational activities under the new scenario imposed by the Pandemic situation, while ensuring a healthy environment for customers and employees, coming up with quick solutions to the issues faced during the whole year.

The Bank is properly positioned for following its key strategic guidelines in 2021 as defined in the Business Plan for 2019-2021:
Increased revenues in a very competitive environment while improving fee-based contribution

• Enhanced product cross selling by leveraging on ISP product factories.
• Pro-active Sales Approach
• Enhanced Pricing Capability
• Wealth Management & Insurance Growth

Drive the digital transformation while reviewing the role of the physical network.

Corporate segment, will concentrate its efforts on SMEs, with focus on renewables (photovoltaic), tourism (hotels, etc.), food processing, construction (residential & public works) and its subsectors – where a certain know how has been accumulated through the last years.

Further improvement of leasing business by offering a wider range of products and offering flexible customized products, by optimizing the product variables.

Increasing customer base leveraging Divisional projects, Digical and AGDM, following ISBD guidelines.

Digical in ISBA will evolve further, by introducing sale of consumer loans & debit cards, e-statement and introduction of bill payments.

Improving credit quality - NPL Management

Optimization of collection processes by improving the monitoring of performance & effectiveness. Identify opportunities to accelerate further deleveraging of selected NPLs portfolios also through disposals, leveraging on the experience and best practice in the processes obtained during the previous years:

• Early warning system.
• Focus on deleveraging the repossessed assets

Improve cost discipline - Cost efficiency throughout processes review

We aim at continuous analysis of potential cost reductions based on different sourcing possibilities

– use the "Make or Buy" approach.

The ATM fleet replacement aiming in diversifying the range of services offered through ATMs, as well as reducing the cost of serving in branch to customers who want to make deposits. By leveraging on Procurement Centralization and optimizing Sourcing Strategy aiming at cost reductions, attaining economies of scale and improving the expenditure process.

Reducing the cost of service through shifting clients towards channels.

Corporate Social Responsibility

CORPORATE SOCIAL RESPONSIBILITY

Intesa Sanpaolo Bank Albania based on the excellent experience of Intesa Sanpaolo Group, remains focused on providing continous qualitative banking services and products by contributing thus to the development of the country's economy.

The entire activity of the Bank is driven by the Code of Ethics, believing that the sustainable growth is achieved only by meriting the trust of our stakeholders. Our core ethical values are centered in our vision toward a sustainable future.

Intesa Sanpaolo Bank Albania pays dedicated attention to the community by expanding access to credit, offering access to financial instruments, managing with transparency and prudently the customer savings, and by offering tailormade products for different categories of customers. Undoubtedly, this process requires continuous dialogue not only with our customers, but also with all the actors that impact and are impacted by our banking activity. Listening and dialogue are two powerful tools that orient our governance toward a corporate culture that enhances and encourages the critical thinking philosophy, the innovation and the continuous improvement.

The Bank follows specific policies and procedures on hiring and management of employees that are based on fairness and consistent conduct, preventing favoritism, abuse and avoiding discrimination. Intesa Sanpaolo respects the professional standing and dignity of all its employees, recognizing the set of technical, organizational and relational skills as the Bank's main strategic resource. Only by undertaking to protect and bring out the best of our employees can we maintain sustainable competitive advantages.

Intesa Sanpaolo Bank Albania pursues its goals with honesty, fairness and responsibility, in full and true respect of the rules and professional ethics and in the spirit of signed agreements. We contribute in the fight against corruption, also through a zero-tolerance policy with respect to episodes of corruption in the workplace. Besides, the Bank requires the utmost transparency in company behaviors, representing Bank's interests in a transparent manner.

RELATIONSHIP WITH EMPLOYEES

2020 was a hard year since every corner of the world, was affected by Covid -19 pandemic. But as usual even under such difficult circumstances posed by Covid-19, Intesa Sanpaolo Bank Albania (joint stock) focused on the importance of the relationship with employees demonstrating a special care to their wellbeing.

The consideration of employees as the most important human asset in playing a crucial role not only in the Bank's development, but even for the local or international society, Intesa Sanpaolo Bank Albania (joint stock) provided secure and safe working conditions in the premises and promoted and utilized the remote work and flexible working.

Being under the unexpected situation, the bank took immediate measures for the staff to work in safe premises, and of course taking care for all the related parties of the bank.

All the requirements of Yellow Protocol decided by the Ministry of Public Health were strictly followed.
Furthermore, the actions taken to protect health, together with the business continuity measures, focused on prevention of workplace hazards, which involved getting protective equipments aimed at meeting the healthcare needs and the implementation of measures designed to prevent the spread of the coronavirus.

With regard to measures to protect the health of employees and customers, protective devices such as masks and gloves were purchased and distributed, sanitising gel was supplied and company premises were periodically sanitized; the protective glass for separation of Bank staff in the branches from the clients was also installed.

The care and support for employees continued throughout 2020.

In particular, the business continuity plan was activated and additional actions were immediately identified to respond effectively to the extensive spread of the pandemic (e.g., extension of remote working and enhancement of IT infrastructure for remote connectivity), the digital transformation process was expedited, moving forward significant investments intended to develop methods of interaction with customers (e.g., expansion of the services offered via Internet and mobile banking), security infrastructure for access to the company network and data and information protection measures were progressively enhanced to increase the ability to respond to the sharp rise in cyber-threats and attacks (e.g., distributed denial of service and malware).

With the adoption in large scale of the smart working procedure, the organisational processes were revised and specific regulations were adopted, together with technological and IT measures, enabling in this way the extension of smart working also to the sales personnel in the Network. 94 % of employees in Head Office (HO) and 23 % of employees of Network were equipped with devices allowing access to all systems of the Bank.

During October 2020 our bank's employees participated in the Remote Work Survey. A dedicated questionnaire

was delivered to our employees, by which the bank employees were invited through it to demonstrate at their point of view the experience working in distance so far by providing their feedback. The questionnaire was very important for the bank to listen to employees opinion since it shed light on how is the work performed under the Covid-19 situation, what are the employees' requirements, where improvement lay and how is the job and the relationship with all the parties perceived, and to evaluate what should be improved in the upcoming time. The results of this questionnaire were foundamental to start working and shaping the future of the work from a bottom up approach.

The training and development of human capital is as always rather important for the bank, since it keeps the employees well informed and updated with regard to the most essential work related topics, and they continued during all the year 2020 in a virtual model.

Numerous training and communications initiatives were launched to raise awareness amongst customers and employees of growing social-engineering and phishing campaigns. The long-term sustainability of the business continuity solutions of several critical suppliers was also verified.

The internal job rotation continued within different bank structures aimed at developing the professional skills of the staff through training programs. The enhancement of employee skills was implemented by providing around 2453 training days during the year.

The major traning activities were focused on: AML trainings; Training on security issues; on line-platform MyLearning, Cyber Security, Compliance, Commercial, online training initiatives driven by Parent Company related to: Corporate Business School and ISBD Process Management Framework. Participation in trainings organized by AAB (Albanian Association of Banks) in different fields of banking sector such as: Governance, SME financing, Retail, Risk Management, Digital Banking, Audit, AML, Information and Cyber Security.

With the support of the Parent Company, the Managerial population participated in the "digital talks" events organzed each Friday and in the recurrent monthly "Novathon meet-up" webinars.

Two other initiatives initiated by ISP Group were also extended in our Bank such as: Digital Coach & Share your Smart Story:

During the difficult days of the Pandemic while the curefew was in force and when most of our staff worked from home, the Group organized a set of guidelines called DIGITAL COACH. Digital Coach served as a very good instructor on how to organize a working day working at distance, how to be as productive as possible, but without losing focus on taking care for our health while maintaining a fragile work-life balance. Digital Coach Included also a set of "Golden Rules" rules specifically designed for the Bank's managers containing instructions on how they could better manage their teams during digital work.

Share Your Smart Story was an initiative that involved colleagues from all the Banks of ISP Group, so despite the distance working, they could feel closer to each other by sharing personal experiences of their personal and professional life.

On the Personnel management front, a progressive digital transformation of HR services is underway, which involves a review of management models and processes, focusing on the simplification of certain dedicated HR platforms usage by staff in order to improve the employee experience.

HEALTH CARE

Again in 2020 all Employees with open-ended employment contract were automatically enrolled in the Programme of Health Care of Intesa Sanpaolo Group. The Programme ensures that colleagues with serious diseases will not be left alone and will receive the best possible care from a network of Best International Doctors.

Due to Covid -19 pandemic, ISBA decided to pay the PCR/antigen test, or serological tests for its employees, since the very beginning the infected personel confirmed their status and on continuation and the HR department has maintained all the necessary relations and contacts between the staff that contracted the virus, and the Bank Doctors, or medical clinics. The protocol was strictly followed, and the employees were offered support and the extra week off, for getting the needed health recovery.

During 2020, ISBA managed to purchase and offer for free to all employees of the Bank the INFLUVAC flu vaccine of the Mylan Company. The WHO (World Health Organization) recommends the annual flu vaccine as the first and most important step in protecting against seasonal viruses. Getting a flu vaccine during 2020-2021 was more important than ever. The flu vaccine doesn't prevent COVID-19, but reduces the burden of flu and hospitalization in the health care system and preserves the medical resources for caring for people with COVID-19. Despite the fact that this vaccine circulated in limited amounts within Albania due to state budget constraints of providing it to the entire population as many other EU countries may do, the Bank managed to offer this opportunity to the entire workforce, but also to their family members.

RELATIONSHIP WITH SHAREHOLDERS

Intesa Sanpaolo Bank Albania guarantees timely and transparent communication with shareholders and the financial community in general, with the intent of providing clear, complete and prompt information on the status of the Bank's implementation of strategies and the results it achieves. The Bank has established a specific relationship with its shareholders, based on transparency and full mutual trust. We act in such a way that the value of all shareholders' capital invested in Intesa Sanpaolo Bank Albania is protected and increased in a sustainable manner. We invest in enhancing this trust with information through different communication channels as: the publication of the financial statements after each semester, annual reports and press releases in the Bank's website, keeping the continuous exchange and organizing frequent meetings with the Shareholders Assemblies in writing or in their physical presence. The Bank's capacity to generate constant growth in profitability is also determined by high liquidity, further improvement of the capital base, reduction of operating costs, rigorous and prudent provisioning policy as well as the continuous and careful crediting to support the economy.

RESPONSIBLE MANAGEMENT OF THE SUPPLY CHAIN

We believe that behavior based on listening and sharing ideas with our suppliers fosters the ongoing improvement of those relationships, reinforcing them and generating reciprocal value. Our attitude is based on trust that involves the suppliers in an active role and that leads them to promptly report problems that require the identification of a common solution. We believe that a clear and transparent attitude contributes to maintaining enduring relationships with our suppliers. We are convinced that integrity is a fundamental premise of these relationships. Our choice of suppliers is based on clear and proven criteria through objective and transparent procedures. We guarantee equal opportunity in the selection of suppliers and commercial partners, considering their compatibility with and capacity for the size and needs of our company. Intesa Sanpaolo Bank Albania criteria on supplier and technology selection are part of the process to have a better environment and energy efficiency equipment.

ISPBA, as part of Intesa Group during 2019 has been working for complementing the Group's centralized procurement project with the principles of transparency and fairness declared in the Code of Ethics and aligning it with EU and ECB procurement directives.

Strategic Approach:

Intesa Sanpaolo Bank Albania (jsc) promotes and implements Corporate and Social Responsibility policies and practices in relation to its employees, its customers, its suppliers, its shareholders and the environment, guided by Code of Ethics, our "constitutional charter". Our Code of Ethics drives our vision towards a better Bank that can contribute not only to the economic developement of the country, but also towards a better society and better environment.

Intesa Sanpaolo Bank Albania (jsc) remains committed in reinforcing further the Corporate Social Responsibility governance and being a good example for Albania. The Bank is aware of its impact on the society and on the Albanian Economy and integrates sustainability in its corporate governance. Following the ISP Group approach, ISBA recognizes concretely it's social responsibility and integrates it into the decision-making proccess and in concrete operations, being closer to its customers and supporting them in difficult times.

Two concrete examples of this were:

A) INTESA SANPAOLO BANK ALBANIA (JSC) RESPONSE AFTER THE STRONG EARTHQUAKE OF NOVEMBER 2019:

Mr. Pedrazzi, CEO of Intesa Sanpaolo Bank Albania, and Chairman of Albanian Association of Banks played a pro-active role in the National Committee for Reconstruction of Albania established by the Albanian Prime Minister immediately after the earthquake.

The "Earthquake Relief and Support Plan" that was set up in December 2019 from the Bank, continued during the subsequent year, with the objective to help all the affected citizens and enterprises.

To all these customers. Intesa Sanpaolo Bank Albania has offered the following options:

- Moratorium up to 12 months without applying any charges
- Re-scheduling of the existing repayment plans in order to reduce the instalments
- Re-financing or Additional Financing for damages repair, or for restarting their business activity, with privileged terms and conditions, as well as initial grace period.

All the commissions on all accounts that were opened to help earthquake-affected families, whether from state institutions or NGOs, were waived immediately.

At the end of the day we are all joined by HUMANITY!

Our parent company donated a substantial financial amount that was allocated to our Albanian colleagues that suffered serious damages from the earthquake. To be mentioned is the fact that our colleagues in Italy as a gesture of solidarity donated a symbolic amount for their Albanian colleagues.

B) INTESA SANPAOLO BANK ALBANIA (JSC) RESPONSE TO COVID-19 PANDEMIC:

For our Customers:

The Board of Directors of Intesa Sanpaolo Bank Albania, with reference to:
• the emergency situation triggered by COVID-19 outbreak in Albania since the beginning of March 2020;
• the decision of Bank of Albania in March 12th on Risk Management Regulation,
• the Joint Order issued on March 17th by the Prime Minister and the Governor of Bank of Albania on the extension of the deadline of payment of loans to enterprises and households that may face difficulties during this period due to the COVID-19;

decided:

1) MORATORIUM: To carefully implement the Order issued on March 17th suspending, upon specific request from Individuals and Legal Entities effectively affected by the Crisis, the upcoming installments of Loans and Overdrafts. No penalties and or additional fees and commissions will be applied during the Suspension Period, only the interest rates as per contracts in place. The Moratorium period is extended up to July 31st, 2020. During this period the Bank will contact all the Applicants in order to define more definitive solutions. The term of the Suspension could be further extended for additional 3-6 months depending on the emergency persistence.

2) NEW FINANCING: To establish a dedicated Plafond of Euros 50,000,000 for Legal Entities. Such a Plafond is aimed at covering short-term financial needs for working capital, supply chain and trade finance. The new Credit Facilities will have an 18 months tenor, including a grace period of up to 6 months. No Fees and Commission will be applied for these types of financing.

3) OTHER CREDIT FACILITIES: To actively support any other intervention promoted by the State Institutions aimed to ensure the payment of the salaries of the ones working in enterprises affected by the Crisis.

The effects of moratorium were applied back to the application dates or earlier, according to customer needs.

ISBA has informed the majority of applicants on the decisions. These decisions were fully supported by the currently developed technological tools and internal procedures allowing the Bank to expedite internal processes.

Intesa Sanpaolo Bank Albania financial relief and support plan for COVID-19 offered the possibility to postpone loan repayment (Mortgage, Personal or Business loans) without applying any penalties or fees for up to July 31st, 2020 and further extension for 3/6 months depending on the ongoing COVID-19 crisis situation.

In full alignment with the decisions of the state authorities and decisions of the Bank of Albania:

• our business clients can also apply for loans supported by the Sovereign Guarantee of the Government to ensure the payment of the salaries of their employees and to cover additional business needs;
• all new current accounts opened by individuals and legal entities who will benefit financial support of the government are offered with ZERO fees and commissions
• debit cards linked to new accounts have ZERO fees and commissions.
• using digital channels to make transactions in LEK currency will also enjoy ZERO fees and commissions while we offer Digital Banking with ZERO commission.

Bank's measures to manage the coronavirus outbreak:

In order to manage the Covid Pandemic, ISBA followed the "Pandemic Plan".
On 09 March 2020, the so-called Crisis Committee convened by the Crisis Manager following also the Albanian Government decision to declare the state of emergency. Two extraordinary structures were responsible for managing the Pandemic for our Bank:

- The Crisis Committee &
- Covid 19 Emergency Unit.

Measures of immediate effect were introduced regarding H&S, to protect the health of our employees, but also the health of our customers, and the Yellow Protocol issued by the Albanian Government Authorities was strictly implemented and respected:

Implementing government yellow protocol measures against Covid-19

• gloves have been distributed to all the branches / structures, for colleagues in charge of cash handling with a mandatory use;
• Alcohol based hand rubber disinfection lotion was distributed in all offices, branches and client entries
• "yellow strips" and physical distance signs were affixed, in front of the staff positions in contact with customers, and in front of all Branches and ATMs in order to mark a required distance;
• the temperature was measured on the Bank entrance for employees and customer's additional quantity of masks was purchased.
• The bank premises were (and still are) disinfected and cleaned continuously.
• Plastic protective shields were placed for all desks that were serving to customers.
• Dedicated attention was paid toward vulnerable groups of employees, those suffering from immunosuppression or suffering from chronic illnesses, for the pregnant colleagues & for the parents affected by the closing of schools etc.

Furthermore, a considerable number of new laptops were purchased in order to ensure Smart Working for every employee that could work from home. Skype for business was enabled for all remote workforce.
During 2020, considering that the number of online services and transactions has increased, Intesa Sanpaolo Bank Albania has organised several awareness campaigns addressed to the broad public on the forms of #cyber scams in order to educate the public on this sensitive matter. Furthermore, Intesa Sanpaolo Bank Albania is the only bank in Albania that has a webpage specifically dedicated to Cyber Security. This section is accessible from all the Bank Customers and offers valuable advices and practical tips to be kept in mind regarding "Online Security" and on how to recognise phishing and malware especially on the Internet in order to avoid being a victim to various types of scams.

THE CHARITY FUND OF INTESA SANPAOLO CONTRIBUTES TO SUPPORT COMMUNITIES IN ALBANIA AFFECTED FROM EMERGENCIES AND TO SET UP SUSTAINABLE MODELS OF SOCIAL AND EDUCATIONAL SERVICES

The Projects that are being supported from the **Charity Fund of Intesa Sanpaolo** are being implemented by Italian NGO's that operate in Albania and have in focus children, women and professionals of various fields such as physicians, health care operators, nurses, teachers, educators and psychologists.

Specifically, **the project "I CARE - Emergency response actions post-earthquake in Albania"** started in late December 2019, and is implemented by the **Italian NGO AVSI** in cooperation with its local partner **SHIS** in four main areas: **Durrës, Thumanë, Lezha and Tirana.**

The duration of the project is 16 months and beneficiaries are approximately **1500 people** (500 adults and 1.000 children). The project, which has received form the Charity Fund, the contribution of **€ 260.300** is structured in three phases: the first and the second phase were focused on emergency response, meaning the distribution of first need items and psychological support to children thanks to the creation of child-friendly spaces and further evaluation of their needs. The third phase (12-months duration, ongoing till April 2021) is focused on a variety of activities related to the reconstruction of some damaged locations, including 9 schools where the child-friendly areas will also find a proper physical space. **This project will set a model of child-friendly spaces in school setting that are a necessity to realize children rights to education and care.**

The Project **"Psychosocial health interventions during COVID-19 emergency and post-earthquake emergency in Albania"** which started in October 2020 is implemented by the Italian NGO, Sanità di Frontiera in Lezha, Bubq and Thumanë.

The duration of the project is 12 months and the beneficiaries of the project are **1,050 people** (400 children younger than 6 years old, 200 minors age 6 - 18 years old, 350 adults and 100 professionals). The project, which has as contribution the amount of **€116,000**, is focused in the activities of psychological and social support to those vulnerable families and children that, after being hit by the trauma of the earthquake in 2019 are also now facing the effects of COVID-19 emergency. It also involves the training of the local professionals on topics such as psychology, emotional learning, clinic psychology and trauma management. **This project will create sustainable models in 3 health care centres regarding the successful activation of integrated psycho-social responses in times of emergencies.**

The CEO of Intesa Sanpaolo Bank Albania Mr. Silvio Pedrazzi noted: **"I believe that we have a duty to support communities in need, especially at times of emergency. We, at Intesa Sanpaolo Bank Albania have immediately supported our customers with loan moratoriums in emergency times, but we are part of the Intesa Sanpaolo Group and our goal is also to leave a positive mark on the society around us and to pave the way for a more sustainable future."**

RAISING AWARENESS ON SUSTAINABLE DEVELOPMENT GOALS!

During 2020, Intesa Sanpaolo Bank Albania supported the Sustainable Development Goals (SDG) organizing several activities and events. Some of the most important activities organized during the year according to these objectives were:

SDG 3 – GOOD HEALTH AND WELLBEING

HEALTH AND SAFETY AT WORK COUNCIL

Blood donation-donate BLOOD, save A LIFE! Due to the lockdown measures of Covid-19, the need for blood from the Children suffering from Thalassemia increased considerably. For the 11 th consecutive year, even in the difficulties that the Pandemic has created for everyone, 10 persons (9 colleagues and a familiy member of one of our colleagues) participated in the volunteer blood donation drive, to help children suffering from Thalassemia. In order to respect the yellow protocol issued by the Albanian Government it was impossible to organise the activity within the Bank premises due to the Pandemic, however the colleagues managed to donate blood in a medical lab, ensuring safety measures for their health.

October-The Breast Cancer awareness month: The Bank initiated a campaign during October 2020 in order to increase internal (for female colleagues) and external awareness (of the female customers) by realising a video emphasising the importance of diagnostic controls in oprder to prevent the breast cancer disease and its treatment. The protagonists of this video were the female colleagues from different areas of the Retail Division.

SDG 4 – QUALITY EDUCATION

Considering that during 2020 our volunteers in the Art of Savings activity couldn't be present physically in the schools & classrooms due to the Pandemic, the Bank prepared three video clips regarding Financial Education inspired by the activities organized for the World's Savings Day by ISP Group , with 3 of our volunteers:

- The first video was "Waste revival, even children can recycle"; Through the practical experience of recycling, followed by a fun creative phase, the video offered guidance to reflect upon a conscious use of resources and on the basics of circular economy
- Kids and savings dedicated to children 6-10 years old
- It's up to you! Dedicated to kids 11-15 year old

The Bank continued its collaborations with Universities and students' associations (EEstech Tirana) for faccilitating the access of students in the labor market with the aim to hire them in the Bank. Even during 2020 ISBA managed to hire succesful and competent students in different areas such as IT, Risk & Retail. The student organization EESTEC organized a conference on "Addressing educational challenges: The role and impact of ICT in the future of labor market & education.", On February 26, at Europe House. In this conference, young people were introduced to the challenges and opportunities presented by the Albanian market for employment in the ICT sector. The conference was supported by the Bank's IT experts.

SDG 5 – GENDER EQUALITY

Intesa Sanpaolo Bank Albania joined the UN Women Albania campaign for the 16 Days of Activism against Gender-Based Violence, that is an international campaign that takes place each year. It commences on 25 November - the International Day for the Elimination of Violence against Women, to 10 December - Human Rights Day, indicating that violence against women is the most pervasive breach of human rights worldwide. The campaign was internal (for our employees) but also External (in our oficial social pages).

With pride we can mention here that in Intesa Sanpaolo Bank Albania jsc (as end of Dec'20) 75% of managers reporting directly to the CEO are women, while 70.8 % of the Bank's employees are women and girls.

Women in Business (WIB) Product already in place at ISBA for supporting women entrepreneur needs and contributing to women economic empowerment proved to be a success even in 2020. In the beginning of 2020 Intesa Sanpaolo Bank Albania and the European Bank for Reconstruction and Development (EBRD) organized a workshop on "Manage your finances and improve your business with bank support". The event was held in Tirana in January 30, 2020 and in Durres on 31 January 2020.

During this seminar, the participants were presented with the Women in Business Loan products from Intesa Sanpaolo Bank. Mitigation measures taken by the bank in support of earthquake-affected businesses were also introduced. After bank products, another topic followed with interest by the guests was regarding Business Lens diagnostic tool "How to manage your finances and improve your business with bank support from Frankfurt School of Economics".

- Disbursed loans for WIB Jan-Dec'20: 8 clients/ 9 loans ~ 511,624 Eur
- Outstanding portfolio 31 Dec'20: 44 clients/51 loans ~ 1,389,049 Eur

SDG 13 – CLIMATE ACTION - SDG 14 – LIFE BELOW WATER - SDG 15 – LIFE ON LAND

WORLD ENVIRONMENT DAY - The Bank joined the ISBD activities regarding the World Environment Day. Strongly promoted by United Nations, the theme of the campaign for 2020 was: It's Time #ForNature! It continued for one week and during these days several postcards and awareness messages about the nature and biodiversity were delivered to all colleagues. Many employees participated in a QUIZ on Biodiversity (UN) to test their biodiversity knowledges! Communication with customers and the public was done through ATM screens, e-mail exchange footers, bank websites, bank official websites on social media.

The Bank continued to support the UN International Days calendar for raising awareness on SDGs internally and externally through several campaigns.

Relationship with Shareholders

RELATIONSHIP WITH SHAREHOLDERS

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AWARDS of Intesa Sanpaolo Bank Albania sh.a. for the year 2020:

Global Banking & Finance:
Best Digital Bank in Albania

Most Innovative Digital Branch in Albania

Global Banking & Finance Review® is a leading financial portal and Print Magazine offering News, Analysis, Opinion, Reviews, Interviews and Videos from the world of Banking, Finance, Business, Trading, Technology, Investing, Brokerage, Foreign Exchange, Tax & Legal, Islamic Finance, Asset & Wealth Management. The Global Banking & Finance Awards was started in 2011 to recognize and honor inspirational changes happening in the global financing community. They reflect the innovation, achievement, strategy, progressive and inspirational changes taking place within the financial sector every year, with the help of financial analysts the top performers among international banks and financial providers are selected and awarded in various financial sectors.

The top performers in the category are chosen through the evaluation of a series of criteria including: sustainable business model, sound governance, results achieved in the previous year, managerial excellence, innovative technology at the disposal of customers and leadership in digital transformation.

Global Excellence Awards:
Best Banking & Financial Services Provider 2020 - Albania

Acquisition International, or AI as commonly known, is an international, monthly digital business magazine committed to bringing its readers up to the minute news, comment and analysis. AI is dedicated to delivering vital updates to corporate readers so that they remain ahead of the curve.

Acquisition International launched in 2010, and has, over the years, evolved into a business title that professionals rely on to bring them the business knowledge, insight and news they need. Each month their magazine is circulated to in-excess of 108,000 professionals, including Top Tier Managers, Investment Professionals, Business Advisers and Service Providers.

RELATIONSHIP WITH SHAREHOLDERS

Business Worldwide AWARDS for our CEO,
Mr. Silvio Pedrazzi
Best CEO in Albania's Banking Industry
Most Innovative CEO of the Year – Albania

The awards are designed to reward those individuals and companies most deserving in this very global and very challenging environment. BWCA (Business Worldwide CEO Award) gives a comprehensive analysis of the industry and a complete run through the best of the best in terms of industry leaders. The 2020 Business Worldwide CEO Awards seek to identify and honor the most respected C-level executives across the globe from a variety of different sectors.

International Business Magazine:
Banking CEO of the Year Albania 2020,
Mr. Silvio Pedrazzi
Best Private Bank Albania 2020

The goal of the International Business Magazine Awards it tha of admiring the best in class achievements pertaining to budding industrial talent, global leaders, Corporates etc. across varied areas of international Business and Finance. The International Business Magazine Awards identifies and chooses the core corporate players who have been known to showcase their extraordinary power to lead from the front and honors all those who strive harder for achieving supreme quality.

CorporateINTL:
Corporate Bank of the Year in Albania

The awards commemorate those who have been successful over the past 12 months and who have shown excellence not only in expertise, but also in service.

For all awards, detailed research work is done by independent research and editorial teams. They come up with a shortlist of up to 5 potential winners in each category.

Researchers focus on service type, service range, business type, geographical location, how the business operates and the expertise each team can offer to companies that either trade or may want to trade in their chosen jurisdiction.

The short-listed firms are then reviewed by an independent awards panel in each country with the eventual winners chosen by that independent panel.

Audited Financial Statements

INTESA SANPAOLO BANK ALBANIA SH.A.

Financial Statements as at and for the year ended 31 December 2020

(with independent auditors' report thereon)

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Tel: +355 4 2280124
Fax: +355 4 2280126
www.bdo.al

BDO Albania
Blvd. "Deshmoret e Kombit"
Twin Towers , Tower 2, 7th floor
Tirana- Albania

INDEPENDENT AUDITORS' REPORT

To the Management and Shareholder of Intesa Sanpaolo Bank Albania sh.a.

Opinion

We have audited the financial statements of Intesa Sanpaolo Bank Albania sh.a. ("the Bank"), which comprise the statement of financial position as at 31 December 2020, and the statement of profit or loss and comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Bank as at 31 December 2020, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the Code of Ethics for Professional Accountants (IESBA Code) and with the ethical requirements that are relevant to our audit of the financial statements in Albania, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Other information consists of information that will be included in the Bank's Annual Report other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Bank's 2020 Annual report is expected to be made available to us after the date of this report. Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

BDO Albania

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the annual financial statements, including the disclosures, and whether the annual financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

BDO ALBANIA SHPK

BDO Albania sh.p.k.
15 March 2021
Tirana, Albania

Besjana Doda
Engagement Partner

BDO
BDO ALBANIA sh.p.k.
NIPT L02407004C
TIRANA - ALBANIA

Intesa Sanpaolo Bank Albania Sh.a.
Statement of financial position as at 31 December 2020
(in thousands of Lek)

Statement of financial position

	Notes	31 December 2020	31 December 2019
Assets			
Cash and cash equivalents	9	32,417,350	30,240,115
Loans and advances to banks	10	26,736,572	29,146,303
Investment securities	11	71,773,704	66,919,643
Loans and advances to customers	12	50,902,837	44,864,090
Non-current assets held for sale	13	-	20,711
Current tax assets		379,233	347,992
Property and equipment	14	1,915,582	2,211,673
Right-of-use assets	15	601,159	460,883
Intangible assets	16	489,831	600,977
Investment property	17	533,798	545,556
Deferred tax assets		458,319	531,687
Inventory and other assets	18	2,425,088	1,682,647
Total Assets		**188,633,473**	**177,572,277**
Liabilities			
Due to banks	19	2,273,426	2,250,043
Due to customers	20	159,507,095	150,941,625
Lease liabilities	15	602,986	445,944
Deferred tax liabilities	21	259,345	213,684
Provisions	22	835,305	1,065,558
Other liabilities	23	2,103,547	1,018,663
Total Liabilities		**165,581,704**	**155,935,517**
Equity			
Share capital	24	5,562,518	5,562,518
Share premium	24	1,383,880	1,383,880
Reserves	25	6,303,154	6,169,157
Retained earnings		9,802,217	8,521,205
Total Equity		23,051,769	**21,636,760**
Total Liabilities and Equity		188,633,473	**177,572,277**

The Statement of financial position is to be read in conjunction with the accompanying notes on pages 6 to 71 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania Sh.a.
Statement of profit or loss and other comprehensive income for the year ended 31 December 2020
(in thousands of Lek)

Statement of profit or loss and other comprehensive income

	Notes	2020	2019
Interest income		4,110,416	4,326,621
Interest expense		(878,851)	(888,984)
Net interest income	26	**3,231,565**	**3,437,637**
Fee and commission income		1,092,457	1,208,021
Fee and commission expense		(320,515)	(355,321)
Net fee and commission income	27	**771,942**	**852,700**
Net other income	28	540,109	548,308
Other operating expenses, net	29	(1,017,465)	(456,762)
Operating income		**3,526,151**	**4,381,883**
Net impairment loss on financial assets	7(a)	(126,879)	(201,791)
Impairment losses/write-backs to other financial activities	22	7,891	28,106
Impairment of repossessed assets	18	565,988	267,260
Personnel expenses	30	(1,184,249)	(1,065,593)
Operating lease expenses	32	(15,789)	(47,783)
Depreciation and amortization	14,16	(520,844)	(462,332)
Amortization of leasehold improvements	18	(15,891)	(14,192)
Amortization and impairment of Investment property	17	(11,758)	-
Other administration expenses	31	(898,496)	(876,596)
Provisions for risk and expenses	22	182,866	15,082
Total expenses		**(2,017,161)**	**(2,357,839)**
Net income before taxes		**1,508,990**	**2,024,044**
Income tax expense	32	(214,456)	(322,170)
Profit for the year		**1,294,534**	**1,701,874**
Other comprehensive income			
Items that are or may be reclassified subsequently to profit or loss			
Change in fair value of investment securities at FVOCI		448,560	161,528
Related tax		(67,284)	(24,095)
Items that will not be reclassified to profit or loss			
Change in revaluation of functional properties		(284,426)	-
Related tax		42,664	-
Other comprehensive income for the year, net of tax		**139,514**	**137,433**
Total comprehensive income for the year, net of tax		**1,434,048**	**1,839,307**

The Statement of profit or loss and other comprehensive income is to be read in conjunction with the accompanying notes on pages 6 to 71 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania Sh.a.
Statement of changes in equity for the year ended 31 December 2020
(in thousands of Lek)

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2020	**5,562,518**	**1,383,880**	**1,825,623**	**40,152**	**775,431**	**714,556**	**2,813,396**	**8,521,205**	**21,636,761**
Profit for the year	-	-	-	-	-	-	-	1,294,534	**1,294,534**
Other comprehensive income									
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	375,759	-	-	-	-	**375,759**
Change in the Revaluation reserve	-	-	-	-	(241,762)	-	-		**(241,762)**
Change in the DTA of FTA reserve	-	-	-	-	-	-	-	(13,523)	**(13,523)**
Total other comprehensive income	**-**	**-**	**-**	**375,759**	**(241,762)**	**-**	**-**	**(13,523)**	**120,474**
Transaction with owners, recorded directly in equity									
Dividends to equity holders	-	-	-	-	-	-	-	-	-
Total contributions by and distribution to owners	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Balance at 31 December 2020	**5,562,518**	**1,383,880**	**1,825,623**	**415,911**	**533,669**	**714,556**	**2,813,396**	**9,802,216**	**23,051,769**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 71 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania Sh.a.
Statement of changes in equity for the year ended 31 December 2020 (continued)
(in thousands of Lek)

Statement of changes in equity

	Share capital	Share premium	Legal and regulatory reserves	Fair value reserve	Revaluation reserve	Other capital reserve	Merger Reserve	Retained earnings	Total
Balance at 1 January 2019	**5,562,518**	**1,383,880**	**1,825,623**	**(97,281)**	**775,431**	**714,556**	**2,813,396**	**7,300,788**	**20,278,911**
Profit for the year	-	-	-	-	-	-	-	1,701,874	**1,701,874**
Other comprehensive income									
Change in fair value of debt investment at FVOCI, net of income tax	-	-	-	137,433	-	-	-	-	**137,433**
Change in the DTA of FTA reserve								(44,750)	**(44,750)**
Total comprehensive income for the year	-	-	-	**137,433**	-	-	-	**(44,750)**	**92,683**
Transaction with owners, recorded directly in equity									
Dividends to equity holders	-	-	-	-	-	-	-	(436,707)	**(436,707)**
Total contributions by and distribution to owners	-	-	-	-	-	-	-	(436,707)	**(436,707)**
Balance at 31 December 2019	**5,562,518**	**1,383,880**	**1,825,623**	**40,152**	**775,431**	**714,556**	**2,813,396**	**8,521,205**	**21,636,761**

The Statement of changes in equity is to be read in conjunction with the accompanying notes on pages 6 to 71 forming an integral part of these financial statements.

Intesa Sanpaolo Bank Albania Sh.a.
Statement of cash flows for the year ended 31 December 2020
(in thousands of Lek)

Statement of cash flows

	2020	2019
Net profit for the year	**1,294,534**	**1,701,874**
Adjustments for:		
Depreciation and amortization	520,844	462,332
Impairment of investment property	11,758	-
Disposal of property and equipment and intangibles	-	32,332
Net impairment reversal on loans and advances to customers	126,879	201,791
Write down of inventory	(565,988)	(267,260)
Net interest income	(3,231,565)	(3,437,637)
Net impairment loss on off-balance sheet items	(7,891)	(28,106)
Tax expense	214,456	322,170
Changes in		
Loans and advances to banks	2,409,731	(8,892,636)
Loans and advances to customers	(6,211,406)	(1,109,734)
Due to banks	23,383	(512,376)
Due to customers	8,617,998	5,473,807
Non-current assets held for sale	20,711	1,111,961
Inventory and other assets	(207,695)	1,454,907
Other liabilities and provisions	994,986	(128,517)
Deferred tax asset	(2,556)	171,620
Deferred tax liability	91,322	80,765
Interest received	4,276,139	4,299,205
Interest paid	(931,379)	(904,469)
Income taxes paid	(183,213)	(525,831)
Net cash from/(used) in operating activities	**7,261,048**	**(493,802)**
Cash flows from investing activities		
Acquisition of property and equipment	(36,448)	(784,984)
Acquisition of intangible assets	(192,856)	(298,181)
Net acquisitions of investments securities	(4,854,509)	(3,036,517)
Net cash used in investing activities	**(5,083,813)**	**(4,119,682)**
Cash flows from financing activities		
Dividend paid to shareholders	-	(436,707)
Net cash used in financing activities	**-**	**(436,707)**
Net increase in cash and cash equivalents	**2,177,235**	**(5,050,191)**
Cash and cash equivalents at 1 January	30,240,115	35,290,306
Cash and cash equivalents at 31 December	**32,417,350**	**30,240,115**

The Statement of cash flows is to be read in conjunction with the accompanying notes on pages 6 to 71 forming an integral part of these financial statements.

These financial statements have been approved by the Board of Directors of Intesa Sanpaolo Bank Albania sh.a. on 12 March 2021 and signed on its behalf by:

Silvio Pedrazzi
Chief Executive Officer

Julian Cela
Chief Financial Officer

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

1. Reporting entity

Intesa Sanpaolo Bank Albania Sh.a, (the "Bank"), is a financial institution domiciled in Albania. The Bank's registered office is at "Ismail Qemali" street, no. 27, and operates through a network of 35 branches and agencies, located in different cities of Albania: Tirana, Durres, Vlora, Elbasan, Fier, Berat, Gjirokastra, Korca, Lushnja, Shkoder, Lezhe, Kavaje (2019: 35 branches and agencies).

The Bank had 657 employees as at 31 December 2020 (2019: 663).

2. Basis of accounting

These financial statements have been prepared in accordance with IFRS Standards. They were authorized for issue by Management on 12 March 2021 for approval by the Board of Directors.

3. Basis of measurement

The financial statements are prepared on the amortized or historical cost basis except for financial assets at FVOCI, investment properties and own used properties, which are stated at fair value.

4. Functional and presentation currency

The financial statements are presented in Lek, which is the Bank's functional and presentation currency. Except as indicated otherwise, financial information presented in Lek has been rounded to the nearest thousand.

5. Use of estimates and judgments

In preparing these financial statements, management has made judgements, estimates and assumptions that affect the application of the Bank's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

A. Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognized in the financial statements is included in the following notes.

-Note 7.(a): establishing the criteria for determining whether credit risk on the financial asset has increased significantly since initial recognition, determining methodology for incorporating forward-looking information into measurement of ECL and selection and approval of models used to measure ECL.

-Note6.(f).(ii): classification of financial assets: assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are SPPI on the principal amount outstanding.

B. Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ended 31 December 2020 is included in the following notes.

-Note 7.(a): impairment of financial instruments: determining inputs into the ECL impairment model, including key assumptions used in estimating recoverable cash flows and incorporation of forward-looking information

-Note6.(f).(vi): determination of the fair value of financial instruments with significant unobservable inputs

-Note 6.(e).(ii): recognition of deferred tax assets

- Note 6.(r): recognition and measurement of contingencies: key assumption about the likelihood and magnitude of an outflow of resources

- Note 6.(n): net realizable value of inventory: fair value measurement with significant unobservable inputs

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

6. Significant accounting policies

The accounting policies set out below have been consistently applied to all periods presented in these financial statements by the Bank.

(a) Foreign currency

Transactions in foreign currencies are translated into the functional currency at the spot exchange rates at the date of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the spot exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortized cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortized cost in foreign currency translated at the spot exchange rate at the end of the year. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the spot exchange rate at the date that the fair value was determined.

Non-monetary items that are measured based on historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction. Foreign currency differences arising on retranslation are generally recognized in profit or loss. Foreign currency differences arising from retranslation of transactions with owners are recorded directly in equity.

(b) Interest

Effective Interest rate

Interest income and expense are recognized in profit or loss using the effective interest method. The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to

- The gross carrying amount of the financial asset; or
- The amortized cost of the financial liability

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Bank estimates future cash flows considering all contractual terms of the financial instrument, but not ECL. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated using estimated future cash flows including ECL. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortized cost and gross carrying amount

The 'amortized cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortized cost of a financial asset before adjusting for any expected credit loss allowance.

6. Significant accounting policies (continued)

(b) Interest (continued)

Calculation of interest income and expense

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortized cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating rate instruments to reflect movements in market rates of interest.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortized cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

For information on when financial assets are credit-impaired, see Note 6(f)(vii).

Presentation

Interest income calculated using the effective interest method presented in the statement of profit or loss and OCI includes:

- interest on financial assets and financial liabilities measured at amortised cost;
- interest on debt instruments measured at FVOCI;
- Other interest income presented in the statement of profit or loss and OCI includes interest income on lease receivables.

Interest expense presented in the statement of profit or loss include interest expense from financial liabilities measured at amortised cost.

(c) Fees and commissions

Fees, commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate (see 6 (b)).

Other fee and commission income, including account servicing fees, investment management fees, sales commission and placement fees are recognized as the related services are performed. If a loan commitment is not expected to result in a draw-down of a loan, then the related loan commitment fees are recognized on a straight-line basis over the commitment period.

A contract with a customer that results in a recognized financial instrument in the Bank's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Bank first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual.

Other fee and commission expense relate mainly to transaction and service fees, which are expensed as the services are received.

6. Significant accounting policies (continued)

(d) Leases

At inception of a contract, the Bank assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration

The policy is applied to contracts entered into (or changed) on or after 1 January 2019.

i. Bank acting as a lessee

At commencement or on modification of a contract that contains a lease component, the Bank allocates consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for leases of branches and offices premises the Bank has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Bank recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rare cannot be readily determined, the Bank's incremental borrowing rate. Generally, the Bank uses its incremental borrowing rate as the discount rate.

The Bank determines its incremental borrowing rate by analyzing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payment included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index of rate as the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Bank is reasonably certain to exercise, lease payments in an optional renewal period if the Bank is reasonably to exercise an extension option, and penalties for early termination of a lease unless the Bank is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is change in the Bank's estimate of the amount expected to payable under a residual value guarantee, if the Bank changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset is reduced to zero.

6. Significant accounting policies (continued)

(d) Leases (continued)

i. Bank acting as a lessee (continued)

The Bank presents right-of-use assets in and lease liabilities as part of "other liabilities" in the face of statement of financial position.

Short-term leases and leases of low-value assets

The Bank has elected not to recognize right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Bank recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

ii. Bank acting as a lessor

At inception or on modification of a contract that contains a lease component, the Bank allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices.

When the Bank acts as a lessor, it determines at lease inception whether the lease is a financial lease or an operating lease.

To classify each lease, the Bank makes an overall assessment of whether the lease transfers substantially all the risks and rewards incidental to ownership of the underlying lease. As part of this assessment, the Bank considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Bank applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Bank further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

6. Significant accounting policies (continued)

(e) Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in OCI. Interest and penalties related to income taxes, including uncertain tax treatments, are accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

(i) Current Tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date.

Current tax assets and liabilities are offset only if certain criteria are met.

(ii) Deferred Tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax assets are recognized for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognize a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized; such reductions are reversed when the probability of future taxable profits improves.

Unrecognized deferred tax assets are reassessed at each reporting date and recognized to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Bank expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities

(i) Recognition and initial measurement

The Bank initially recognizes loans and advances, deposits and debt securities on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are initially recognized on the trade date on which the Bank becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is measured initially at fair value plus, for an item not at fair value through profit and loss, transaction costs that are directly attributable to its acquisition or issue.

(ii) Classification

On initial recognition, the Bank classified a financial asset as measured at amortized cost, FVOCI or FVTPL.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

-the asset is held within a business model whose objective is to hold assets to collect contractual cash flows;

-the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

-the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets;

-the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI.

On initial recognition of an equity investment that is not held for trading, the Bank may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Bank may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

Business model assessment

The Bank assesses the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected);
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank stated objective for managing the financial assets is achieved and how cash flows are realized.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Bank considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Bank considers:

- contingent events that would change the amount and timing of cash flows; - leverage features;
- prepayment and extension terms;
- terms that limit the Bank's claim to cash flows from specified assets (e.g. non-recourse loans);
- and features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(ii) Classification (continued)

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Bank changes its business model for managing financial assets.

Financial liabilities

The Bank classifies its financial liabilities as other financial liabilities, subsequently measured at amortized cost.

See notes 6.(p).

(iii) De-recognition

Financial Assets

The Bank derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Bank neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognized) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in profit or loss. Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognized as a separate asset or liability.

The Bank enters into transactions whereby it transfers assets recognized on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognized. Examples of such transactions are securities lending and sale and repurchase transactions.

In transactions in which the Bank neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset

Financial liabilities

The Bank derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire.

(iv) Modification of financial assets and financial liabilities

Financial assets

If the terms of a financial asset are modified, then the Bank evaluates whether the cash flows of the modified asset are substantially different.

6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(iv) Modification of financial assets and financial liabilities (continued)

If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized (see (iii)) and a new financial asset is recognized at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and

- other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Bank plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see below for write-off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortized cost or FVOCI does not result in derecognition of the financial asset, then the Bank first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognizes the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification.

Any costs or fees incurred and fees received as part of the modification adjust the gross carrying amount of the modified financial asset and are amortized over the remaining term of the modified financial asset.

If such a modification is carried out because of financial difficulties of the borrower (see 6.f.(vii)), then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income calculated using the effective interest rate method (see 6 (b)).

Financial liabilities

The Bank derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different. In this case, a new financial liability based on the modified terms is recognized at fair value. The difference between the carrying amount of the financial liability derecognized and consideration paid is recognized in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortized cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognized in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognized as an adjustment to the carrying amount of the liability and amortized over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

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6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(v) Off-setting

Financial assets and liabilities are offset and the net amount is presented in the statement of financial position when, and only when, the Bank has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from Bank's similar transactions such as in the trading activity.

(vi) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would consider in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is entirely supported by observable market data or the transaction is closed out.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Bank recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

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6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vii) Impairment

The Bank recognizes loss allowances for ECL on the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments;
- financial guarantee contracts issued; and
- loan commitments issued.

The Bank measures loss allowances at an amount equal to lifetime ECL, except for the following, for which they are measured as 12-month ECL:

- debt investment securities that are determined to have low credit risk at the reporting date; and
- other financial instruments on which credit risk has not increased significantly since their initial recognition.

The Bank considers a debt investment security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Bank does not apply the low credit risk exemption to any other financial instruments.

12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12-month ECL is recognized are referred to as 'Stage 1 financial instruments.

Life-time ECL are the ECL that result from all possible default events over the expected life of the financial instrument. Financial instruments for which a lifetime ECL is recognized but which are not credit-impaired are referred to as 'Stage 2 financial instruments.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- *financial assets that are not credit-impaired at the reporting date*: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Bank expects to receive);
- *financial assets that are credit-impaired at the reporting date*: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- *undrawn loan commitments*: as the present value of the difference between the contractual cash flows that are due to the Bank if the commitment is drawn down and the cash flows that the Bank expects to receive; and
- *financial guarantee contracts*: the expected payments to reimburse the holder less any amounts that the Bank expects to recover.

See also Note 7(a).

Credit-impaired financial assets

At each reporting date, the Bank assesses whether financial assets carried at amortized cost and debt financial assets carried at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

6. Significant accounting policies (continued)

(f) Financial assets and financial liabilities (continued)

(vii) Impairment (continued)

Credit-impaired financial assets (continued)
Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the restructuring of a loan or advance by the Bank on terms that the Bank would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In assessing whether an investment in sovereign debt is credit-impaired, the Bank considers the following factors.

- The market's assessment of creditworthiness as reflected in the bond yields.
- The rating agencies' assessments of creditworthiness.
- The country's ability to access the capital markets for new debt issuance.
- The probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness.
- The international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms. This includes an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

Presentation of allowance for ECL in the statement of financial position
Loss allowances for ECL are presented in the statement of financial position as follows:

- *financial assets measured at amortized cost*: as a deduction from the gross carrying amount of the assets;
- *loan commitments and financial guarantee contracts*: generally, as a provision;
- *where a financial instrument includes both a drawn and an undrawn component, and the Bank cannot identify the ECL on the loan commitment component separately from those on the drawn component*: the Bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision; *and*
- *debt instruments measured at FVOCI*: no loss allowance is recognized in the statement of financial position because the carrying amount of these assets is their fair value. However, the loss allowance is disclosed and is recognized in the fair value reserve.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level. Recoveries of amounts previously written off are included in 'impairment losses on financial instruments' in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

6. Significant accounting policies (continued)

(g) Cash and cash equivalents

'Cash and cash equivalents' include notes and coins on hand, balances with banks, unrestricted balances held with central banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Bank in the management of its short-term commitments.

Cash and cash equivalents are carried at amortized cost in the statement of financial position.

(h) Loans and advances

Loans and advances captions in the statement of financial position include loans and advances measured at amortized cost. They are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method.

When the Bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the arrangement is accounted for as a loan or advance, and the underlying asset is not recognized in the Bank's financial statements.

(i) Investment securities

The "investment securities" caption in the statement of financial position includes

- debt investment securities measured at amortized cost (see g (ii)); these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method;
- debt securities measured at FVOCI;

For debt securities measured at FVOCI, gains and losses are recognized in OCI, except for the following, which are recognized in profit or loss in the same manner as for financial assets measured at amortized cost:

- Interest revenue using the effective interest method
- ECL and reversals, and
- Foreign exchange gains and losses

When debt security measured at FVOCI is derecognized, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss.

6. Significant accounting policies (continued)

(j) Non-current assets held for sale

Non-current assets for which a disposal process has commenced are classified as held-for-sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use. Such assets are generally measured at the lower of their carrying amount and fair value less costs to sell.

(k) Property and equipment

(i) Recognition and measurement

Equipment are measured at cost less accumulated depreciation and any accumulated impairment losses. Property are measured at revalued amounts, being the fair value at the date of revaluation less accumulated depreciation and any accumulated impairment losses. If significant parts of an item of property or equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment. Any gain or loss on disposal of an item of property and equipment is recognized within other income in profit or loss.

(ii) Subsequent costs

Subsequent expenditure is capitalized only when it is probable that the future economic benefits of the expenditure will flow to the Bank. Ongoing repairs and maintenance are expensed as incurred.

(iii) Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognized in profit or loss. Land and art work are not depreciated.
The estimated useful live for the current and comparative periods are as follows:

	2020	2019
• Buildings	20-33 years	20-33 years
• IT and Electrical Equipment	4 to 8 years	4 to 8 years
• Furniture	3 to 10 years	3 to 10 years
• Other non-electrical assets	5 years	5 years

(l) Intangible assets

Software, licenses and trademarks compose intangible assets and are stated at cost less accumulated amortization. Subsequent expenditure on intangible assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Amortization is charged on a straight-line basis in profit or loss over the estimated useful lives, from the date that it is available for use. The estimated useful lives for the current and comparative periods are as follows:

	2020	2019
• Software	5 years	5 years
• Licenses and trademarks	10 years	10 years

(m) Investment property

Investment property is initially measured at cost and subsequently at fair value, with any change therein recognized in profit or loss within other income. Any gain or loss on disposal of investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognized in profit or loss.

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

6. Significant accounting policies (continued)

(n) Inventory

Inventory comprises repossessed assets acquired through enforcement of security over non-performing loans and advances to customers which do not earn rental, and are not used by the Bank and are intended for disposal in a reasonably short period of time, without significant restructuring. Repossessed assets are measured at the lower of cost and net realizable value and any write-down is recognized in the profit or loss.

(o) Impairment of non-financial assets

At each reporting date, the Bank reviews the carrying amount of its non-financial assets (other than inventory and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognized if the carrying amount of an asset exceeds its recoverable amount. The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate which reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

(p) Deposits

Deposits are the Bank's sources of debt funding.

Deposits are initially measured at fair value plus directly attributable transaction costs, and subsequently measured at their amortized cost using the effective interest method.

When the Bank sells a financial asset and simultaneously enters into an agreement to repurchase the asset (or a similar asset) at a fixed price on a future date ("repo" or "stock lending"), the arrangement is accounted for as a deposit, and the underlying asset continues to be recognized in the Bank's financial statements.

(q) Provisions

A provision is recognized if, as a result of a past event, the Bank has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money, and where appropriate, the risks specific to the liability.

A provision for bank levies is recognized when the condition that triggers the payment of the levy is met. If a levy obligation is subject to a minimum activity threshold so that the obligating event is reaching a minimum activity, then a provision is recognized when that minimum activity threshold is reached.

A provision for restructuring is recognized when the Bank has approved a detailed and formal restructuring plan, and the restructuring either has commenced or has been announced publicly. Future operating losses are not provided for.

6. Significant accounting policies (continued)

(r) Financial guarantees and loan commitments

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss that it incurs because a specified debtor fails to make payment when it is due in accordance with the terms of a debt instrument. Loan commitments are firm commitments to provide credit under pre-specified terms and conditions.

Financial guarantees issued or commitments to provide a loan at a below-market interest rate are initially measured at fair value. Subsequently, they are measured as follows:

- at the higher of the loss allowance determined in accordance with IFRS 9 and the amount initially recognized less, when appropriate, the cumulative amount of income recognized in accordance with the principles of IFRS 15.

For other loan commitments:

- the Bank recognizes a loss allowance

Liabilities arising from financial guarantees and loan commitments are included within provisions.

(s) Employee benefits

(i) Defined contribution plans

The Bank makes only compulsory social security contributions that provide pension benefits for employees upon retirement. In Albania, the local authorities are responsible for providing the legally set minimum threshold for pensions under a defined contribution pension plan. The Bank's contributions to the benefit pension plan are expensed in profit or loss as incurred.

(ii) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(t) New standards and interpretation not yet adopted

A number of new standards and amendments to standards are effective for annual periods beginning after 1 January 2020 and earlier application is permitted; however, the Bank has not early adopted them in preparing these financial statements.

The following amended standards are not expected to have a significant impact on the Bank's Financial Statements:

- Onerous Contracts - Cost of Fulfilling a Contract (Amendments to IAS 37).
- COVID-19-Related Rent Concessions (Amendment to IFRS 16).b
- Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16).
- Reference to Conceptual Framework (Amendments to IFRS 3).
- Classification of Liabilities as Current or Non-current (Amendments to IAS 1).
- IFRS 17 Insurance Contracts and amendments to IFRS 17 Insurance Contracts.

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7. Financial Risk Management

The Bank is exposed to the following risks from financial instruments:

a. credit risk
b. liquidity risk
c. market risk
d. operational risk

This note presents information about the Bank's exposure to each of the above risks, the Bank's objectives, policies and processes for measuring and managing risk, and the Bank's management of capital.

Risk management framework

The Board of Directors of the Bank has overall responsibility for the establishment and oversight of the Bank's risk management framework. The Board has established the Bank's Governance Committees (Executive Directors Committee, Credit Committee, Asset Liability Committee, Operational Risk Committee, Credit Risk Governance Committee, Problematic Loans Committee and other committees) that have the authority for decision-making in their specified areas.

Risk Management Division is responsible for developing and monitoring the Bank's risk management policies in these areas. All the Bank's committees have both executive and non-executive members and report regularly to the Board of Directors on their activities. The Bank's risk management policies are established to identify and analyze the risks faced by the Bank, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered.

(a) Credit Risk

In the normal course of its business, the Bank is exposed to credit risk on its loans and advances to customers and financial institutions, investment securities and other off-balance-sheet items. Credit risk is the risk of financial loss to the Bank if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Bank's loans and advances to customers, debt securities, on funds with other financial institutions and other off-balance sheet items. For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk). The Bank manages its exposure to credit risk on a regular basis by closely monitoring credit limits, its loan portfolio and concentration of exposure.

During 2020 in order to deal with the COVID-19 emergency the bank implemented a moratorium on installments payments from March to September 2020 based on requests received by customers. On the below table a summary of the exposures subject to moratoria for each stage is presented for end of December 2020.

	31 December 2020			
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Applied for Covid-19 Moratoria	16,754,699	576,496	102,802	**17,433,997**
Did not apply for Covid-19 Moratoria	33,114,901	140,493	2,254,192	**35,509,585**
Total	**49,869,600**	**716,989**	**2,356,994**	**52,943,583**

In addition, the bank has signed with the state of Albania two sovereign guarantees used to facilitate the credit granting to legal entities which have been impacted by the state lock down as a conservative measure derived by the pandemic or by the pandemic in overall.
The first Guarantee: **"Payroll Loans Under Sovereign Guarantee (Sovereign Guarantee 1) - Limit : 900,000,000 ALL,** aiming legal entities to obtain credit facilities to pay their staff employee's payroll. The second guarantee: **" Credit facilities Sovereign Guarantee for Working Capital and Investments (Sovereign Guarantee 2) - Limit : 1,200,000,000 ALL** aiming legal entities to obtain credit facility to finance their temporary liquidity gaps (Working Capita) or needed investments imposed by the pandemic.

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7. Financial Risk Management (continued)

(a) Credit Risk

On the below table is presented a summary of the financed exposures secured by the sovereign guarantees:

	31-Dec-20			
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Secured by 1st Sovereign Guarantee	482,985	0	0	**482,985**
Secured by 2nd Sovereign Guarantee	461,212	0	0	**461,212**
Not Secured by Sovereign Guarantee	48,925,403	716,989	2,356,994	**51,999,386**
Total	**49,869,600**	**716,989**	**2,356,994**	**52,943,583**

(i) Management of credit risk

The Board of Directors has delegated responsibility for decision-making to Committees in Credit Area. The Risk Management Division, reporting to the CEO, is responsible for the oversight and management of the Bank's credit risk, including:

- *Formulating credit policies* in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- *Reviewing and assessing credit risk*. The Bank's Underwriting Department assesses all credit exposures, before facilities are committed to customers by the Bank. Renewals and reviews of facilities are subject to the same review process.
- *Limiting concentrations of exposure* to counterparties, geographies and industries (for loans and advances), and by issuer, credit rating band, market liquidity and country (for investment securities).

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(i) Management of credit risk (continued)

- *Developing and maintaining the Bank's risk classifications* in order to categorize exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk classification is used in determining where impairment may be required against specific credit exposures.

  According to the Bank's methodology, all exposures are classified between Performing (including Stage 1 and Stage 2) and Non- Performing exposures (Stage 3 - including Past Due, Unlikely to Pay and Doubtful). The bank classifies the performing portfolio in two clusters Stage 1 and Stage 2 based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group, driven by the signs of deterioration of the exposure as per below specifications:

Stage 1	Stage 2	Stage 3
• Performing exposures without days past due • Performing exposures with less than 30 days past due	• Performing exposures with more than 30 days past due • Forborne performing exposures • Performing exposures showing Early Warning signals (orange, red and light blue) and PCM.	• Exposures with more than 90 days past due • Unlikely to Pay • Doubtful

  The Non-Performing portfolio is classified by analyzing the exposures also based on a set of rules harmonized with the guidelines of Intesa Sanpaolo Group. These rules include objective evidence being: breach of contract (such as default or delinquency in interest or principal payments); significant financial difficulty of the borrower; and other significant adverse financial information relating to the customer.

  Starting from the 1st of November 2019, the new Definition of Default has been introduced in accordance with EBA's (European Banking Authority) Guidelines on application of the definition of default (EBA/GL/2016/07) and the Regulatory Technical Standards on the materiality threshold (EBA/RTS/2016/06) that specify how default definition should be applied. Under the new guidelines two new materiality thresholds have been introduced, a relative threshold equal to 1% of the obligor cash exposure and an absolute threshold on obligor level equal to 500 Euros for non-retail exposures and 100 Euros for retail exposures. The new days past due, used as objective criteria for Stage 2 classification (Over 30 days past due) and the Past Due Classification (Over 90 days past due), are counted incrementally when both the relative and the absolute thresholds are breached. In addition, once an obligor has defaulted, it will remain on default status for at least 90 days after no signs of default are present. Furthermore, a new trigger of Unlikeliness to Pay has been introduced for Forborne distressed restructuring which net present value has decreased with more than 1% compared to previous agreement. The New Definition of Default was accounted retrospectively starting from 1st of November 2019.

- *Reviewing compliance* of business units with agreed exposure limits, including those for selected industries and product types. Detailed analyses are provided monthly to the Problem Assets Committee on the credit quality of customer exposures and specific actions are proposed.
- *Providing advice, guidance and specialist skills* to business units to promote best practice throughout the Bank in the management of credit risk.

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(ii) Maximum Exposure to Credit Risk

The following table shows the current maximum exposure to credit risk for the applicable components of statement of financial position:

	Gross Maximum Exposure	
	31 December 2020	31 December 2019
Cash and cash equivalents (excluding cash on hand)	30,913,711	28,796,627
Loans and advances to banks	26,736,572	29,146,303
Investment securities	71,773,704	66,919,643
Loans and advances to customers	50,902,837	44,864,090
Sundry debtors	54,197	53,399
Total on-balance-sheet risk	**180,381,021**	**169,780,062**
Undrawn credit commitments	7,136,265	4,868,368
Letters of credit	199,916	1,316,966
Guarantees in favor of customers	4,873,519	4,456,046
Total credit related commitments	**12,209,700**	**10,641,380**
Total Credit Risk Exposure	**192,590,721**	**180,421,442**

Where financial assets are recorded at fair value, the amounts shown represent the current credit risk exposure, but not the maximum risk exposure that could arise in the future as a result of changes in values. The Bank makes available to its customers guarantees which may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees commit the Bank to make payments on behalf of customers in the event of a specific act or event, generally related to the import or export of goods, and payment and performance guarantees. Such commitments expose the Bank to similar credit risks, which are mitigated by the same control processes and policies. Every month, the Bank assesses the credit related commitments for impairment. Amounts subject to individual impairment assessment are non-cancellable commitments granted to non-performing customers or customers with restructured credit facilities.

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets

The following table sets out information about the credit quality of financial assets measured at amortized cost and FVOCI debt investments. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. Explanation of the terms 'Stage 1', 'Stage 2' and 'Stage 3' is included in Note 6(g)(vii).

			31 December 2020	
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
Performing	49,824,618	716,989	-	**50,541,607**
Past Due	-	-	136,760	**136,760**
Unlikely to Pay	-	-	845,467	**845,467**
Doubtful	-	-	1,374,767	**1,374,767**
Total	**49,824,618**	**716,989**	**2,356,994**	**52,898,601**
Loss allowance	**480,387**	**229,916**	**1,285,461**	**1,995,764**
Carrying amount	**49,344,231**	**487,073**	**1,071,533**	**50,902,837**

			31 December 2019	
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
Performing	43,720,062	635,684	-	**44,355,746**
Past Due	-	-	104,414	**104,414**
Unlikely to Pay	-	-	1,466,978	**1,466,978**
Doubtful	-	-	951,266	**951,266**
Total	**43,720,062**	**635,684**	**2,522,658**	**46,878,404**
Loss allowance	**710,117**	**136,858**	**1,167,339**	**2,014,314**
Carrying amount	**43,009,945**	**498,826**	**1,355,319**	**44,864,090**

			31 December 2020	
PD Range	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
0-0.18	49,824,618	-	-	**49,824,618**
0.19-0.66	-	462,049	-	**462,049**
0.67-1	-	254,940	2,356,994	**2,611,934**
Total	**49,824,618**	**716,989**	**2,356,994**	**52,898,601**
Loss allowance	**480,387**	**229,916**	**1,285,461**	**1,995,764**
Carrying amount	**49,344,231**	**487,073**	**1,071,533**	**50,902,837**

			31 December 2019	
PD Range	Stage 1	Stage 2	Stage 3	Total
Loans and advances to customers				
0-0.18	43,720,062	-	2,048,023	**45,768,085**
0.19-0.66	-	635,684	1,317	**637,001**
0.67-1	-	-	473,318	**473,318**
Total	**43,720,062**	**635,684**	**2,522,658**	**46,878,404**
Loss allowance	**710,117**	**136,858**	**1,167,339**	**2,014,314**
Carrying amount	**43,009,945**	**498,826**	**1,355,319**	**44,864,090**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

*Loss allowance for investment securities at FVOCI is recognized in other comprehensive income and not as a contra account to the carrying amount of the financial asset in the statement of financial position (see Note 7 (g) (vii) Presentation of allowance for ECL in the statement of financial position).

**Loans and advances to banks include current accounts with banks, money market placements (see Note 10) and deposits with correspondent banks (see Note 11).

			31 December 2020	
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to banks				
Performing	38,062,283	2,529,732	-	40,592,015
Total	**38,062,283**	**2,529,732**	**-**	**40,592,015**
Loss allowance	**14,022**	**630**	**-**	**14,652**
Carrying amount	**38,048,261**	**2,529,102**	**-**	**40,577,363**
Investment securities at FVOCI				
Performing	36,836,454	734	-	36,837,189
Total	**36,836,454**	**734**	**-**	**36,837,189**
Carrying amount	**146,699**	**3**	**-**	**146,702**
Loss allowance	**36,689,755**	**731**	**-**	**36,690,487**
Investment securities at amortized cost				
Performing	31,782,220	3,454,312	-	35,236,532
Total	**31,782,220**	**3,454,312**	**-**	**35,236,532**
Loss allowance	**141,584**	**11,731**	**-**	**153,315**
Carrying amount	**31,640,636**	**3,442,581**	**-**	**35,083,217**

			31 December 2019	
	Stage 1	Stage 2	Stage 3	Total
Loans and advances to banks				
Performing	39,204,886	3,288,711	-	42,493,597
Total	**39,204,886**	**3,288,711**	**-**	**42,493,597**
Loss allowance	**8,634**	**608**	**-**	**9,242**
Carrying amount	**39,196,252**	**3,288,103**	**-**	**42,484,355**
Investment securities at FVOCI				
Performing	4,294,799	-	-	4,294,799
Total	**4,294,799**	**-**	**-**	**4,294,799**
Carrying amount	**5,517**	**-**	**-**	**5,517**
Loss allowance*	**4,289,282**	**-**	**-**	**4,289,282**
Investment securities at amortized cost				
Performing	60,831,517	2,107,366	-	62,938,883
Total	**60,831,517**	**2,107,366**	**-**	**62,938,883**
Loss allowance	**301,928**	**6,594**	**-**	**308,522**
Carrying amount	**60,529,589**	**2,100,772**	**-**	**62,630,361**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

The following table sets out information about the overdue status of loans and advances to customers in Stages 1, 2 and 3.

				31 December 2020
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	49,824,618	341,198	568,750	50,734,566
More than 30 days in arrears	-	375,790	1,788,244	2,164,034
Total	**49,824,618**	**716,988**	**2,356,994**	**52,898,600**
				31 December 2019
Loans and advances to customers	**Stage 1**	**Stage 2**	**Stage3**	**Total**
Up to 30 days in arrears	43,720,062	417,094	553,401	44,690,557
More than 30 days in arrears	-	218,590	1,969,257	2,187,847
Total	**43,720,062**	**635,684**	**2,522,658**	**46,878,404**

All loans and advances to banks and investment securities fall in the overdue status of less than 30 days in arrears as of 31 December 2020 and 31 December 2019.

The following table sets out the credit quality of debt securities and loans and advances to banks based on Moody's ratings, Staging and IFRS Category:

	Investments debt securities		
Sovereign			**31 December 2020**
	Stage 1	**Stage 2**	**Total**
Rate Baa2	**2,885,166**	**1,933,978**	**4,819,144**
FVOCI	2,885,166	-	2,885,166
AC	-	1,933,978	1,933,978
Rate B1	**64,748,634**	**1,509,334**	**66,257,968**
FVOCI	33,107,998	731	33,108,729
AC	31,640,636	1,508,603	33,149,239
	67,633,800	**3,443,312**	**71,077,112**

	Financial Institutions		
	Stage 1	**Stage 2**	**Total**
Rated Aaa	**696,592**	**-**	**696,592**
FVOCI	696,592	-	696,592
Total carrying amount	**68,330,392**	**3,443,312**	**71,773,704**

	Investments debt securities		
Sovereign			**31 December 2019**
	Stage 1	**Stage 2**	**Total**
Rate Baa2	**2,827,008**	**2,100,772**	**4,927,780**
FVOCI	2,827,008	-	2,827,008
AC	-	2,100,772	2,100,772
Rate B1	**61,251,450**	**-**	**61,251,450**
FVOCI	721,861	-	721,861
AC	60,529,589	-	60,529,589
	64,078,458	**2,100,772**	**66,179,230**

	Financial Institutions		
	Stage 1	**Stage 2**	**Total**
Rated Aaa	**740,413**	**-**	**740,413**
FVOCI	740,413	-	740,413
Total carrying amount	**64,818,871**	**2,100,772**	**66,919,643**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iii) Credit Quality by class of financial assets (continued)

Loans and advances to Banks

	31 December 2020		
	Stage 1	Stage 2	Total
Rated Aa1	3,951,970	-	3,951,970
Rated Aa2	-	-	-
Rated Aa3	9,931	-	9,931
Rated A1	33,642	27,427	61,070
Rated A2	1,583,179	-	1,583,179
Rated A3	2,383,725	-	2,383,725
Rated Baa1	18,329,101	2,501,674	20,830,775
Rated Baa2	27,268	-	27,268
Rated Baa3	2,961,349	-	2,961,349
Rated Ba2	5,001,598	-	5,001,598
Rated Ba3	-	-	-
Rated B1	-	-	
Rated B2	-	-	-
Rated B3	615,373	-	615,373
Rated CAA	-	-	-
Non rated	3,151,125	-	3,151,125
	38,048,261	**2,529,101**	**40,577,363**

	31 December 2019		
	Stage 1	Stage 2	Total
Rated Aa1	-	-	-
Rated Aa2	-	-	
Rated Aa3	13,762	-	13,762
Rated A1	7,764,149	-	7,764,149
Rated A2	5,962,337	3,239,897	9,202,234
Rated A3	-	-	-
Rated Baa1	-	48,814	48,814
Rated Baa2	20,891,230	-	20,891,230
Rated Baa3	2,496,226	-	2,496,226
Rated Ba3	1,094,419	-	1,094,419
Rated B1	800,104	-	800,104
Rated B2	-	-	-
Rated CAA	182,660	-	182,660
Non rated	-	-	-
	39,204,887	**3,288,711**	**42,493,598**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements

The estimated cash flows derived from the collateral, including guarantees securing the exposures, are usually the main source of future cash flows from non-performing loans. Some of the valuation parameters used for the calculation are:

- *Realizable value of collaterals*, which is estimated by reducing the appraised market value of the collateral with a discount factor. This considers the characteristics of similar groups of collaterals. It presumes an average recoverable value of specific collateral, based on the Bank's experience.
- *Timing of the expected cash flow*, which represents the expected recovery time (in years) for a specific type of collateral.

The recovery costs are deducted from estimated future cash flows. Collateral, generally, is not held over loans and advances to financial institutions, except when securities are held as part of reverse repurchase and securities borrowing activity. Usually, collateral is not held against investment securities, and no such collateral was held at 31 December 2020 and 2019. Estimates of fair value are based on the value of collateral assessed at the time of borrowing and are updated every three years. An estimate of the undiscounted and discounted fair value of collaterals and other security enhancements held against financial assets is shown below:

	Collateral of Loans and advances to customers 31 December 2020		Collateral of Loans and advances to customers 31 December 2019	
	Undiscounted	Discounted	Undiscounted	Discounted
Against individually impaired				
Property	4,515,057	1,456,225	4,765,766	1,709,133
Debt securities	39,700	-	421,236	1,523
Cash	-	-	193	193
Pledges and guarantees	295,110	-	39,700	-
Other	-	-	-	-
Total	**4,849,867**	**1,456,225**	**5,226,895**	**1,710,849**
Net carrying amount		**898,220**		**1,355,319**

The gross amount of collaterals includes the value of collaterals before testing the individually impaired loans. The net amount shows the present value of the same collaterals under this test. The table below shows the total amount of collaterals for the loans assessed under the category of collectively impaired including all the Stage 3 exposures that are lower than EUR 100 thousand.

These collaterals do not undergo the same testing procedures as the above group. The information on the table below provides information on how much the collectively impaired loans and advances to customers are secured against their respective collaterals.

	Collateral of Loans and advances to customers 31 December 2020		Collateral of Loans and advances to customers 31 December 2019	
	Undiscounted	Discounted	Undiscounted	Discounted
Against Collectively Impaired				
Property	80,879,648	36,155,755	79,525,887	34,465,256
Pledges and guarantees	43,960,488	1,984,816	19,023,744	1,483,977
Cash	791,352	759,767	1,381,122	1,331,340
Debt securities	1,681,404	54,559	2,604,292	42,981
Other	1,092,724	-	1,204,056	-
Total	**128,405,616**	**38,954,897**	**103,739,101**	**37,323,554**
Net carrying amount		**44,869,755**		**43,508,771**

7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(iv) Collateral held and other credit enhancements (continued)

It is the Bank's policy to dispose of assets repossessed through the recovering process. The amounts collected from the proceeds are used to reduce or liquidate the carrying amount of the non-performing loans.

The table below sets out the carrying amount and the value of undiscounted collateral of the loans and advances to customers measured at amortized cost.

	31 December 2020		31 December 2019	
	Carrying amount	Collateral	Carrying amount	Collateral
Stage 1 and Stage 2	49,831,304	128,405,616	44,355,746	102,462,453
Stage 3	1,071,533	4,849,868	2,522,658	6,503,543
	50,902,837	**133,255,484**	**46,878,404**	**108,965,996**

When the Bank holds repossessed assets in its ownership, their conversion into cash is the Bank's first aim, through marketing the properties for sale. If there is no satisfactory offer collected, the Bank's practice is to keep the asset for sale until receiving the best offer. The amounts of repossessed properties are disclosed in note 18. Depending on operational needs and the suitability of the asset to fulfill those needs, management may decide to make use of the property; in such cases a reclassification into property and equipment (see note 14) of the Bank is performed.

(v) Amounts arising from ECL

Inputs, assumptions and techniques used for estimating impairment

See accounting policy in Note 6.(f).(vii).

Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Bank considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Bank's historical experience and expert credit assessment and including forward-looking information. The objective of the assessment is to identify whether a significant increase in credit risk has occurred for an exposure by comparing:

- the remaining lifetime probability of default (PD) as at the reporting date; with
- the remaining lifetime PD for this point in time that was estimated at the time of initial recognition of the exposure (adjusted where relevant for changes in prepayment expectations).

The Bank uses three criteria for determining whether there has been a significant increase in credit risk:

- quantitative test based on movement in PD, for loans to banks and investment securities only;
- qualitative indicators based on forbearance and early warning signals; and
- a backstop of 30 days past due.

New Definition of default

The Bank considers a financial asset to be in default when:

- the borrower is in a state of insolvency (even though not legally insolvent) or in a de facto equivalent status. By "state of insolvency" the following shall be intended: structural and permanent (not transitory) inability to satisfy, regularly and through ordinary sources, the Counterparty's obligations due to lack of liquidity and/or access to external funding
- the borrower is unlikely to pay its credit obligations to the Bank in full, without recourse to actions such as the enforcement of guarantees/ collateral.
- the borrower is more than 90 days past due as described in note 7(a)(i).

7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Incorporation of forward-looking information

The Bank incorporates forward-looking information into the measurement of ECL. The Bank has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between EBA (European Banking Authority) stress coefficients and credit losses. The Bank considers three economic scenarios: baseline, adverse scenario, as published by EBA, and best scenario, an internal estimate as a symmetrical reflection of adverse scenario toward baseline one.

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognized and the renegotiated loan recognized as a new loan at fair value in accordance with the accounting policy set out in Note 6 (f)(iv).

Measurement of ECL (Expected Credit Losses)

The framework, IFRS 9 (International Financial Reporting Standard) - Financial Instruments, is based on the estimation of expected losses, different from the incurred losses used under IAS 39. When significant deterioration of the credit quality is recognized, the new concept of Lifetime expected loss is introduced. Lifetime expected loss covers expected loss for the whole IFRS 9 specifies that if the credit risk on a financial instrument has increased significantly since initial recognition, an entity shall measure the loss allowance for that financial instrument at an amount equal to Lifetime expected credit losses and if the credit risk on such instrument has not increased significantly, 12-months expected losses should be calculated instead.

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calculated by multiplying the lifetime PD by LGD and EAD.

The Bank employs statistical models to analyze the data collected and generate estimates of the remaining lifetime PD of exposures and how these are expected to change as a result of the passage of time. The Bank collects performance and default information about its credit risk exposures analyzed by type of product and borrower as well as by credit risk grading. For some portfolios, information purchased from external credit reference agencies is also used.

LGD is the magnitude of the likely loss if there is a default. The Bank estimates LGD parameters based on the history of loss rates from defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, LTV ratios are a key parameter in determining LGD. LGD estimates are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Bank derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortization. The EAD of a financial asset is its gross carrying amount at the time of default. For lending commitments, the EADs are potential future amounts that may be drawn under the contract, which are estimated based on historical observations and forward-looking forecasts.

7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Inputs, assumptions and techniques used for estimating impairment (continued)

Measurement of ECL (Expected Credit Losses) (continued)

Low Default Portfolio

A new category of financial instruments are considered for impairment purposes under the IFRS 9 rules, called "Low Default Portfolio". It includes securities and loans to banks, and as defined by Parent Company consists of exposures with the following parties:

- Sovereign (Central Banks, Governments, Municipalities, Public Sector Entities);
- Institutions (Banks, and other financial institutions);
  Intragroup exposures are exposures with the following parties:
- Parent Company;
- Other ISP subsidiaries.

Intragroup transactions are generally classified as Stage 1 with a 12- months ECL following the staging rules for Low Default Portfolio and intragroup exposures based on parent company driven methodologies including validation. Exposures are classified to Stage 2 based on the significant increase of credit risk criterion measured by Lifetime PD comparison. This criterion for Low Default Portfolio is defined based on the specific rating and residual maturity of exposure. Thresholds are provided by Parent Company.

The criteria used to access whether the debt securities credit quality deteriorated significantly since origination is Lifetime PDs comparison. The instrument issuer rating (counterparty rating) is used for the Lifetime PD comparison rather than rating of the single instrument (i.e. at the reporting date different instruments or tranches related to the same issuer will be assigned with the rating of the counterparty at a given date). Debt securities purchased in tranches PD at origination is determined through First In First Out (FIFO) methodology.

Debt securities include "Low Credit Risk Exemption" based on the assumption that the credit risk on has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. Therefore, Investment grade instruments at the reporting date are classified to Stage 1. This exemption is applicable only for instruments belonging to Available For Sale (AFS) portfolio upon the IFRS 9 transition. The following criteria are approved for each stage for Bonds residual maturity of the financial instrument.

Stage 1	Stage 2	Stage 3
• Debt with no significant credit quality deterioration Investment grade debts	• Debt with significant increase in PD since origination	• Defaulted Debt

For Stage 3 - Defaulted debt the impairment testing process for any individually securities is applied. If the fair value is less than the carrying amount or if the issuer is delinquent in its debtor obligations or defaults on payments as demonstrated by any one of the following events:

1. Default;
2. Bankruptcy proceedings;
3. Delinquency in interest or principal payments.

Where any one of these events occurs, given the gravity and the irreversibility of the confirmed situation, an impairment loss should be recorded directly. If the fair value is not more than 20% less than the carrying amount and no other impairment indicators are found, there is no need to test the securities further for impairment. The impairment test for this stage classification is performed according to the rules defined in the ISP Group accounting policy

Both collective assessment and individual assessment on portfolio basis are approaches to impairment evaluation based on statistical methods by using credit risk parameters which are estimated based on historical data for homogenous groups of assets.

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Loss allowances

The Bank establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, as well as collectively assessed and less significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of expected losses that have not been identified.

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument.

Movements in impairment allowance funds for:

Loans and advances to banks	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2020	**9,509**	**6,539**	**-**	**16,048**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(6,488)	-	-	(6,488)
Net remeasurement of loss allowances	1,155	(5,880)	-	(4,725)
New financial assets originated or purchased	4,538	-	-	4,538
Foreign exchange and other movements	(80)	(51)	-	(131)
Balances at 31 December 2020	**8,634**	**608**	**-**	**9,242**

Loans and advances to banks	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2019	**62,923**	**15,202**	**-**	**78,125**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(8,579)	-	-	(8,579)
Net remeasurement of loss allowances	(50,589)	(12,592)	-	(63,181)
New financial assets originated or purchased	6,467	4,306	-	10,773
Foreign exchange and other movements	(713)	(377)	-	(1,090)
Balances at 31 December 2019	**9,509**	**6,539**	**-**	**16,048**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Investment securities at FVOCI	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2020	**5,517**	**-**	**-**	**5,517**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(5,517)	-	-	(5,517)
Net remeasurement of loss allowances	-	-	-	-
New financial assets originated or purchased	146,903	3	-	146,906
Foreign exchange and other movements	(204)	-	-	(204)
Balances at 31 December 2020	**146,699**	**3**	**-**	**146,702**

Investment securities at FVOCI	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2019	**4,629**	**-**	**-**	**4,629**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(2,077)	-	-	(2,077)
Net remeasurement of loss allowances	(169)	-	-	(169)
New financial assets originated or purchased	3,158	-	-	3,158
Foreign exchange and other movements	(24)	-	-	(24)
Balances at 31 December 2019	**5,517**	**-**	**-**	**5,517**

Investment securities at amortized cost	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2020	**301,928**	**6,594**	**-**	**308,522**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(301,928)	(6,594)	-	(308,522)
Net remeasurement of loss allowances	-	-	-	-
New financial assets originated or purchased	141,706	12,215		153,921
Foreign exchange and other movements	(122)	(484)	-	(606)
Balances at 31 December 2020	**141,584**	**11,731**	**-**	**153,315**

Investment securities at amortized cost	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2019	**265,837**	**7,801**	**-**	**273,638**
Transfer to Stage 1	-	-	-	-
Transfer to Stage 2	-	-	-	-
Transfer to Stage 3	-	-	-	-
Financial Assets that have been derecognized	(88,037)		-	(88,037)
Net remeasurement of loss allowances	(25,823)	(1,266)	-	(27,089)
New financial assets originated or purchased	150,137		-	150,137
Foreign exchange and other movements	(186)	59	-	(127)
Balances at 31 December 2019	**301,928**	**6,594**	**-**	**308,522**

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(v) Amounts arising from ECL (continued)

Loans and advances to customers	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2020	**710,116**	**136,858**	**1,167,339**	**2,014,313**
Transfer to Stage 1	20,548	(7,784)	(12,764)	-
Transfer to Stage 2	(40,679)	67,512	(26,834)	-
Transfer to Stage 3	(13,385)	(5,856)	19,241	-
Financial Assets that have been derecognized	(155,358)	(10,423)	(51,845)	**(217,625)**
Net remeasurement of loss allowances	(121,669)	7,195	111,773	**(2,701)**
New financial assets originated or purchased	68,464	42,180	244,951	**355,595**
Write offs	-	-	(166,722)	**(166,722)**
Foreign exchange and other movements	12,350	234	321	**12,905**
Balances at 31 December 2020	**480,387**	**229,916**	**1,285,461**	**1,995,764**

	Stage 1	Stage 2	Stage 3	Total
Balances at 1 January 2019	**663,165**	**456,354**	**1,452,175**	**2,571,694**
Transfer to Stage 1	(218,731)	77,027	141,704	-
Transfer to Stage 2	3,769	(300,063)	296,294	-
Transfer to Stage 3	451	3,978	(4,429)	-
Financial Assets that have been derecognized	(82,111)	(188,125)	(99,121)	**(369,357)**
Net remeasurement of loss allowances	89,053	46,706	15,336	**151,095**
New financial assets originated or purchased	257,528	42,957	90,319	**390,804**
Write offs	-	-	(696,935)	**(696,935)**
Foreign exchange and other movements	(3,008)	(1,976)	(28,004)	**(32,988)**
Balances at 31 December 2019	**710,116**	**136,858**	**1,167,339**	**2,014,313**

The following table provides for the year 2020 a reconciliation between:

amounts shown in the above tables reconciling opening and closing balances of loss allowance per class of financial instrument;

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	2,138	220,327	5,517	308,522	**536,504**
New financial assets originated or purchased	(6,961)	(355,595)	(146,906)	(153,921)	**(663,383)**
Balances at 31 December 2020	**(4,823)**	**(135,268)**	**(141,389)**	**154,601**	**(126,879)**

	Loans and advances to banks	Loans and advances to customers	Investment securities at FVOCI	Investment securities at amortized cost	Total
Net remeasurement of loss allowance	11,212	218,262	2,246	115,126	**346,846**
New financial assets originated or purchased	(4,538)	(390,804)	(3,158)	(150,137)	**(548,637)**
Balances at 31 December 2019	**6,674**	**(172,542)**	**(912)**	**(35,011)**	**(201,791)**

7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(vi) Write-off policy

The Bank writes off a loan (and any related allowances for impairment losses) when the Bank's Board of Directors determines that the loans are uncollectible. This is generally the case when the Board of Directors determines that significant changes in the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. The Bank's policy is also in compliance with the Regulation no.62 "On Administration of Credit Risk for Banks and Foreign Banks Subsidiaries".

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7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(vii) Concentration of Credit Risk

The Bank monitors concentration of credit risk by sector and location. An analysis of credit risk at the reporting date is shown below:

	Net Loans and advances to customers	
Concentration by sector	**31 December 2020**	**31 December 2019**
Services	17,690,334	14,994,397
Wholesale	10,491,366	8,957,759
Construction	2,177,959	2,464,497
Manufacturing	5,962,678	5,578,467
Real Estate	379,108	487,818
Other	1,603,084	1,539,817
Corporate	**38,304,529**	**34,022,755**
Mortgage	10,141,005	8,521,717
Consumer	2,457,303	2,319,618
Retail	**12,598,308**	**10,841,335**
Carrying amount	**50,902,837**	**44,864,090**

	Loans and advances to banks	
Concentration by sector	**31 December 2020**	**31 December 2019**
Bank	26,736,572	29,146,303
Carrying amount	**26,736,572**	**29,146,303**

	Investment securities	
Concentration by sector	**31 December 2020**	**31 December 2019**
Sovereign	71,077,112	66,179,213
Bank	0	-
Other Financial I Institutions	696,592	740,430
Carrying amount	**71,773,704**	**66,919,643**

The following concentrations of credit risk arise in the Bank's credit-risk portfolio.

	31 December 2020	Exposure In %	31 December 2019	Exposure In %
Republic of Albania securities	66,257,971	36%	58,773,316	34%
Balances with Bank of Albania	17,072,920	9%	15,458,575	9%
Total direct Albanian Sovereign risk	**83,330,891**	**45%**	**74,231,891**	**43%**
Largest bank	16,025,744	9%	16,564,712	10%
Largest customer	4,592,685	3%	3,256,625	2%
Total largest bank and customer	**20,618,429**	**12%**	**19,821,337**	**12%**
Total on-balance-sheet risk	**103,949,320**	**57%**	**94,053,228**	**55%**

The largest exposure toward the banks is exposure to the Group parent and the largest customer is a private company.

7. Financial Risk Management (continued)

(a) Credit Risk (continued)

(viii) Settlement risk

The Bank's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a company to honor its obligations to deliver cash, securities or other assets as contractually agreed. The settlement risk with financial institutions and government counterparties is included within a system of limits for all the transactions with such counterparties and is subject to daily monitoring, defined and regulated in the internal documents "ISBA Credit Autonomy Level" and "ISBA Rules for the management and maintenance of the FI-s limits" and the Central Bank of Albania regulation "On risk management arising from the large exposures of the Bank".

The Bank of Albania regulation "On risk management arising from the large exposures of Bank" was revised in force in March 2015 has been complied for the year ended 31 December 2020. Following the approval with the aim to prevent any breaches of local regulatory counterparty limits with Financial Institutions, generated by fluctuations of exchange rates, the bank has integrated warning level limits (soft limits), 23.4 % of regulatory capital for the exposures toward ISP Group and 18.7 % of regulatory capital for the exposures toward other Financial Institutions/Governments, as approved by FRCO on 24 January 2017 and reapproved the same level of soft limits by ALCO 21 March 2019.

(b) Liquidity Risk

Liquidity risk is defined as the possibility that an institution is unable to meet its payment obligations due to its incapacity to liquidate assets or obtain adequate funding from the market (funding liquidity risk), or due to the difficulty of easily unwinding positions in financial assets without negatively and significantly affecting their price due to inadequate market depth or temporary market disruptions.

(i) Management of liquidity risk

The Bank's approach to managing liquidity risk is to ensure, as much as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Bank's reputation. The Bank defines the guidelines for liquidity risk management and the contingency liquidity plan, which are subject to review by Group structures and approval by the Bank's Financial Risk Committee and Board of Directors. The Treasury and ALM Department is responsible for liquidity management and the Risk Management Division is responsible for monitoring indicators and verifying adherence to the limits and the Bank's Regulation on Liquidity Risk Management is annually updated.

The Bank monitors liquidity, in accordance with this regulation, in order to manage its obligations when they fall due and activate emergency procedures in case of escalation.

A balanced ratio should be maintained between incoming sources and outflows, in both the short and medium-long term. This target is organized through the use of the following specific metrics "Liquidity Coverage Ratio up to 30 days" and "Net Stable Funding Ratio".

- **Liquidity Coverage Ratio (LCR)** up to 30 days: aims to ensure that the Bank maintains an adequate level of unencumbered high-quality liquid assets (HQLA) to meet its short-term liquidity needs under liquidity stress scenario (LCR≥105%).
- **Net Stable Funding Ratio (NSFR):** aims to guarantee an adequate liquidity position over a medium/long-term time horizon. It establishes a minimum "acceptable" amount of funding over one-year horizon in relation to the needs arising from the liquidity characteristics and the residual maturities of assets and off-balances exposures (NSFR≥102.5%).

Holding reserves of liquid assets (so-called Liquidity Buffer) is one of the main tools for mitigating liquidity risk. For the purpose of identifying and measuring this risk, both short and medium-long term, the classification of highly-liquid assets takes on crucial importance.

7. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

(i) Management of liquidity risk (continued)

In its Liquidity Policy, the Bank projects an LCR indicator of up to 3 months by including the estimated market effect of specific acute liquidity tensions (at bank level) combined with a widespread and general market crisis, based on assumptions provided by the Group's guidelines, LCR up to 3 months≥90. This indicator was on force up to December 2020, and it was substituted by a new indicator "Survival Period" under Baseline and Stress Scenario. Under the stressed condition, the "Survival Period" should be always positive at least up to 90 days.

A similar, but not identical, calculation is used to measure the Bank's compliance with the liquidity limits established by the Bank of Albania, which should be above 20% for all currencies and foreign currencies and above 15% for the local currency.

A new indicator is introduced by the Bank of Albania, LCR as per Banka of Albania (BOA) regulation requirements. The limits for LCR BOA entered in force on 1 March 2020 and are as below:

A limit of total currencies is defined at least 100% and for total significant foreign currencies with a gradually implementation as below:

- LCR TOTAL SIGNIFICANT CURRENCY
- 1st of Mar 2020 50%
- 1st of Jan 2021 70%
- 1st of Jan 2022 80%

in accordance with risk appetite framework, the bank should decide internal limits for Lek and each significant currency (Eur and USD). The limits of LCR in LEK, USD and EUR were decided yet on August 2020 and will be in line with the limit of LCR FCY, 50% for 2020, 70 for 2021 and 80% for 2022.

(ii) Compulsory reserve

On 7 February 2018 Bank of Albania approved the decision no.14 for the change on the Compulsory Reserve requirement. These changes have entered in force during June 2018 up to August 2019 and consist of the following:

- Decrease for the obligatory reserve requirement rate for local currency liabilities to 7.5% and 5% (previous rate applied: 10%).
- The new obligatory reserve requirement rate for foreign currency liabilities is 12.5% and 20%. Liabilities in foreign currency up to 50% of the total liabilities have a 12.5% requirement rate and for the part of above 50% of the total liabilities the requirement rate is 20% (previous rate applied: 10 %).

All the above liquidity ratios are periodically monitored by the Bank with reference to the Group internal limits and guidelines and to the Bank of Albania requirements. During the year 2020, the bank has been within the internal and regulatory limits.

7. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The table enclosed is only for representative purposes and shows breakdown by the earliest contractual residual maturity of financial assets and liabilities. The classification of securities portfolio in Level 1 is done based on the criteria's defined in ISBA Liquidity Risk policy. The other securities are positioned as per left maturity, since are considered as not liquid assets. Behavioral coefficients of ISP Group are applied for the drawdown percentages for off-balance-sheet categories such as committed credit lines and guarantees. The breakdown considers the cash flows in/out of the Bank for on and off-balance-sheet financial assets and liabilities, according to the earliest contractual residual maturity and not reflecting any retention history assumptions or earlier repayment. The expected cash flows differ from this representation, for example the current account from customers are expected to be stable or to be increased.

31 December 2020	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Total
Assets (Cash Flow IN)	**102,882,562**	**17,322,864**	**16,459,873**	**47,883,656**	**14,497,399**	**199,046,354**
Net Cash	1,503,763	-	-	-	-	1,503,763
Minimum reserve requirements	-	-	-	16,207,078	-	16,207,078
Advances to banks	14,474,947	-	-	-	-	14,474,947
Investment Securities	62,836,512	-	-	-	-	62,836,512
Other Investment Securities	167,730	8,894,176	1,209,094	10,800,086	795,697	21,866,783
Loans to banks	10,960,420	6,995,150	7,237,197	-	-	25,192,767
Loans and advances to customers (*gross performing loans*)	12,939,190	1,433,538	8,013,582	20,876,492	13,701,702	56,964,504
31 December 2020						
Liabilities (Cash flow OUT)	**(112,500,550)**	**(8,749,685)**	**(22,768,840)**	**(19,199,127)**	**(186,169)**	**(163,404,371)**
Deposits from banks and customers- Current accounts	**(107,338,175)**	-	-	-	-	**(107,338,175)**
Current accounts with banks	(20,695)	-	-	-	-	(20,695)
Current accounts with customers	(107,317,480)	-	-	-	-	(107,317,480)
Deposits from banks	(1,679,382)	-	-	-	-	(1,679,382)
Deposits from customers- Time deposits	(3,482,993)	(8,749,685)	(22,768,840)	(19,199,127)	(186,169)	(54,386,814)
Total gap on-balance sheet	**(9,617,988)**	**8,573,179**	**(6,308,967)**	**28,684,529**	**14,311,230**	**35,641,983**
Off-Balance sheet (Cash flow in)	-	-	-	-	-	-
Off- Balance sheet (Cash flow out)	(332,357)	-	-	-	-	(332,357)
Total gap off-balance sheet	(332,357)	-	-	-	-	(332,357)
Total gap 31 December 2020	**(9,950,345)**	**8,573,179**	**(6,308,967)**	**28,684,529**	**14,311,230**	**35,309,626**
Cumulated gap 31 December 2020	**(9,950,345)**	**(1,377,166)**	**(7,686,133)**	**20,998,396**	**35,309,626**	-

7. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

31 December 2019	Up to 1 month	1-3 months	3-12 months	1-5 years	> 5 years	Total
Assets (Cash Flow IN)	**96,851,459**	**17,207,028**	**17,337,804**	**42,945,476**	**13,194,228**	**187,535,995**
Net Cash	1,444,030	-	-	-	-	1,444,030
Minimum reserve requirements	-	-	-	15,462,646	-	15,462,646
Advances to banks	15,469,686	-	-	-	-	15,469,686
Investment Securities	58,898,355	-	-	-	-	58,898,355
Other Investment Securities	249,589	6,917,706	2,106,637	7,854,245	2,227,022	19,355,199
Loans to banks	8,358,483	9,046,721	9,624,816	-	-	27,030,020
Loans and advances to customers (gross performing loans)	12,431,316	1,242,601	5,606,351	19,628,585	10,967,206	49,876,059
31 December 2019						
Liabilities (Cash flow OUT)	**(100,062,308)**	**(9,548,652)**	**(25,982,861)**	**(19,459,282)**	**(200,977)**	**(155,254,080)**
Deposits from banks and customers- Current accounts	**(93,661,120)**	**-**	**-**	**-**	**-**	**(93,661,120)**
Current accounts with banks	(48,146)	-	-	-	-	(48,146)
Current accounts with customers	(93,612,974)	-	-	-	-	(93,612,974)
Deposits from banks	(2,074,049)	-	-	-	-	(2,074,049)
Deposits from customers- Time deposits	(4,327,139)	(9,548,652)	(25,982,861)	(19,459,282)	(200,977)	(59,518,911)
Total gap on-balance sheet	**(3,210,849)**	**7,658,376**	**(8,645,057)**	**23,486,194**	**12,993,251**	**32,281,915**
Off-Balance sheet (Cash flow in)	-	-	-	-	-	-
Off- Balance sheet (Cash flow out)	(281,462)	-	-	-	-	(281,462)
Total gap off-balance sheet	**(281,462)**	-	-	-	-	**(281,462)**
Total gap 31 December 2019	**(3,492,311)**	**7,658,376**	**(8,645,057)**	**23,486,194**	**12,993,251**	**32,000,453**
Cumulated gap 31 December 2019	**(3,492,311)**	**4,166,065**	**(4,478,992)**	**19,007,202**	**32,000,453**	**-**

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7. Financial Risk Management (continued)

(b) Liquidity Risk (continued)

The information provided relates to cash flows deriving from financial off-balance-sheet liabilities, therefore it considerably differs from the face of the statement of financial position. The analysis does not include non-financial liabilities and equity, and comprises of cash flows of contractual interest.

The table below shows the Bank's financial contingent liabilities and financial commitments.

31 December 2020	1 Month	1-3 Months	3-12 Months	1-5 Years	>5 Years	Total
Commitments	4,868,368	-	-	-	-	4,868,368
Guarantees	5,773,011	-	-	-	-	5,773,011
31 December 2019						
Commitments	4,378,023	-	-	-	-	4,378,023
Guarantees	5,193,902	-	-	-	-	5,193,902

The Bank expects only a small part of the commitments to be demanded within one month and guarantees to be closed at maturity date. (Refer also to note 33 Commitment and contingencies)

Reconciliation between contingent liabilities and commitments maturity table and note 33 Commitment and contingencies is as follows:

	31 December 2020	31 December 2019
Commitments	**4,868,368**	**4,378,023**
Un-drawn credit facilities	4,868,368	4,378,023
Guarantees	**5,773,011**	**5,193,902**
Letters of credit	1,316,966	948,692
Guarantees in favor of customers	4,456,045	4,245,210

(c) Market Risk

Market risk is the risk that changes in market prices, such as interest rate, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Bank's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

Management of market risks

The Bank holds its securities portfolio in accordance with IFRS 9 as either Held to Collect (HTC) or Held to collect and sell (HTCS). ISBA Security Portfolio is managed by "ISBA Financial Portfolio Policy "which defines the below specific limits:

- According to changes in the ISBA Financial Portfolio Policy, approved in ISBA Board of Directors on 21st April 2020, the bank is not allowed to invest in the Hold to Collect Portfolio.
- According to the provision of the Capital Adequacy Ratio as of 01/01/2021, the assigned risk for the securities issued by the Albanian Government in foreign currency will be increased from 50% to 100%.
- The security portfolio should obey the specific limits related to type of issuer limits presented on the below table
- The overall portfolio must comply with some pre-defined type of issuer limits, which are categorized based on the issuer type, rating and currency.
- Investments in Portuguese and Greek government securities and covered bonds of the same countries are not allowed.

For all the investments in debt securities, classified as HTCS or HTC, issued by countries considered "at risk" according to ISP Country Risk Guidelines (i.e. countries not belonging to euro area with an internal rating lower than AA-), the approval process and authorization procedure required by the guidelines in force must be followed.

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7. Financial Risk Management (continued)

(c) Market Risk (continued)

Intesa Sanpaolo Bank Albania - Issuer Limits
(Nominal amounts, Euro mln Equivalent)

	Type of Issuer	Tot. Max Limit on the Overall Financial Portfolio (Nominal Value)	Total Maximum Limit by Business Model (Nominal Value)		Single Issuer Maximum Limit on the Overall Financial Portfolio (Nominal Value)
			HTC	HTCS	
i)	Government T-Bills and T-Bonds issued by Albania Government and denominated in local currency.	None	No new purchases	None	None
ii)	Government securities issued by Albania Government denominated in foreign currency.	The lower between Regulatory Limit[1] and EUR 42 mln	No new purchases	The lower between Regulatory Limit[1] and EUR 42 mln	The lower between Regulatory Limit[1] and EUR 42 mln
iii)	-Foreign Government securities issued by G7 countries (exempt-Japan), -Securities issued by Government Agencies or Government Development Banks, with rating Aaa/AAA, -Securities issued by Supranational with rating Aaa/AAA, denominated in currencies of the G7 members (exempt-JPY) - where the credit approval procedure is fulfilled for non-Government securities.	None	No new purchases	None	100
iv)	Foreign Government securities - issued by EU countries not included in point iii) and rated at least A3/A-, denominated in currencies of G7 members (exempt-JPY).	50	0	50	15
v)	Covered Bonds: - issued by Financial Institutions provided that the covered bond is rated at least Aa3/AA-, - issued by Financial Institutions of the parent company's country with issuer's rating not below the country's rating, denominated in currencies of the G7 members (exempt-JPY), where the credit approval procedure is fulfilled.	60	0	60	10[2]

7. Financial Risk Management (continued)

(c) Market Risk (continued)

(i) Exposure to Foreign Exchange rate risk

Foreign exchange rate risk is defined as the possibility that foreign exchange rate fluctuations will produce significant changes, both positive and negative, in the Bank's statement of financial position. The key sources of exchange rate risk consist of:

- Foreign currency loans and deposits held by corporate and retail customers;
- Investment securities in foreign currencies;
- Trading of foreign banknotes;
- Collection and/or payment of interest, commissions, administrative costs, etc. in foreign currencies.

The Bank's exposure to exchange rate risk is monitored on a daily basis by Market and Operational Risk Office ensuring compliance with the internal and regulatory limits. Internal regulations set limits for each open currency position, global open position, maximum loss and Value at Risk (VaR).

During 2020 there have been breaches of the Stop Loss limit and the Var Limit, due to first reaction in the market created from the pandemic COVID 19 situation (of a sudden and sharp appreciation of EUR against LEK in the last days, change from 125.40 to 131.06 on 30 March 2020).

Therefore, VAR limits were reviewed and increased from 4.5 mln to 7 mln LEK and the stop loss limit from 3 mln to 3.5 mln LEK - approved on BoD of 30th June 2020.

A detailed analysis was carried out on a one-year historical data in order to confirm/establish the aforementioned limits. The local regulatory limits refer to a maximum of 20% of the regulatory capital for each open currency position and 30% for the overall open currency position.

The Bank has been within the limits in accordance with Bank of Albania regulation during the year 2020.

Financial assets denominated in foreign currencies are disclosed in each relevant note to the financial statements.

7. Financial Risk Management (continued)

(c) Market Risk (continued)

(i) Exposure to Foreign Exchange rate risk (continued)

Assets	**LEK**	**USD**	**EUR**	**OTHER**	**TOTAL**
Cash and cash equivalents	2,963,586	4,613,545	21,845,880	2,994,339	32,417,350
Loans and advances to banks	4,125,170	1,418,991	21,192,258	153	26,736,572
Investment securities at FVOCI	30,491,018	504,341	5,695,128	-	36,690,487
Investment securities at amortized cost	31,516,092	1,933,978	1,633,147	-	35,083,217
Loans and advances to customers	17,378,638	2,657,818	30,866,271	110	50,902,837
Property and equipment's	1,915,582	-	-	-	1,915,582
Right of use	601,159	-	-	-	601,159
Intangible assets	489,831	-	-	-	489,831
Investment Property	533,798	-	-	-	533,798
Deferred tax assets	458,319	-	-	-	458,319
Current tax assets	379,233	-	-	-	379,233
Non-current assets held for sale	-	-	-	-	-
Other assets	457,910	22,151	1,938,256	6,771	2,425,088
Total Assets (1)	**91,310,336**	**11,150,824**	**83,170,940**	**3,001,373**	**188,633,473**
Liabilities					
Due to Banks	1,944,770	-	316,283	12,373	2,273,426
Due to customers	63,770,143	11,052,040	81,700,841	2,984,071	159,507,095
Provisions	457,977	31,096	346,232	-	835,305
Lease liabilities	4,741	-	598,245	-	602,986
Other liabilities	1,850,820	26,306	223,691	2,730	2,103,547
Deferred tax liabilities	259,345	-	-	-	259,345
Net Equity	22,991,983	(582)	60,368	-	23,051,769
Total Liabilities (2)	**91,279,779**	**11,108,860**	**83,245,660**	**2,999,174**	**188,633,473**
Net FX Position at 31 December 2020 (1)-(2)	30,557	41,964	(74,720)	2,199	-
Off balance sheet Assets	16,088,144	3,471,474	130,015,985	123,155	149,698,758
Off balance sheet Liabilities	16,193,803	3,506,857	129,998,098	-	149,698,758
Net Off BSH FX Position at 31 December 2020	**(105,659)**	**(35,383)**	**17,887**	**123,155**	-
Total Net FX Position at 31 December 2020	**(75,102)**	**6,581**	**(56,833)**	**125,354**	-
Balance sheet Assets as at 31 December 2019	84,330,546	10,029,357	80,847,497	2,364,877	177,572,277
Balance sheet Liabilities as at 31 December 2019	83,493,058	9,921,700	81,807,475	2,350,044	177,572,277
Net Off BSH FX Position at 31 December 2019	**(243,535)**	**(90,119)**	**333,654**	-	-
Total Net FX Position at 31 December 2019	**593,953**	**17,538**	**(626,324)**	**14,833**	-

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7. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk

The principal Interest Rate risk to which the Bank's portfolios are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instruments because of the change in market interest rates. This risk arises primarily from securities portfolio, retail and corporate banking. Interest rate risk is managed principally through periodic monitoring of interest rate spreads between the Bank's assets and liabilities and also preparing related scenario analysis on interest rates for decision making purposes.

The method used to measure Interest Rate risk of the Bank's assets and liabilities is based on the sensitivity analysis. The measurement system adopted by the Bank must ensure that the risk profile can be examined from two distinctive but complementary points of view:

- the economic value perspective (EVE - Economic Value of Equity), that evaluates the impact of interest rates shocks (and their volatilities) on the present value of future cash flows;
- the net interest income perspective (NII - Net Interest Income), that evaluates the impact of interest rates shocks (and their volatilities) on net interest income.

The Bank's financial assets and liabilities have mainly variable interest rate or have a re-pricing date of less than one year, except for Albanian Securities and for certain non-Albanian securities investment, which have coupon rates between 0.3 - 6.9% for USD denominated securities (2019: 2 - 6.9%) and between 0.3 - 3.6% for EUR denominated securities (2019: 0.3 - 5.8%)

The Bank's Regulation on Interest Rate Risk Management, "ISBA Guidelines on the governance of IRRBB" and "ISBA Rules on the measurement and control of IRRBB" have been approved by the ISBA Board of Directors on July 28th, 2020.

These documents implement the latest regulatory provisions, recently defined in the Guidelines issued by the Parent Company on January 2019, based on the EBA regulation (EBA/GL/2018/02), and keeping the provisions of the Bank of Albania guideline "On managing interest rate risk in the banking book", approved as per decision No. 33, dated 30 April 2013. Interest rate risk generated by the Bank's assets and liabilities, as measured through shift sensitivity of Fair Value analysis of ± 100 basis points, registered at the end of December 2020 a value of ALL -732 million (for +100 basis points) compared to the end of year 2019 ALL -619 million.

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7. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The table below shows the currency breakdown of the shift sensitivity for the year end 2020 and 2019.

Shift sensitivity 31-Dec-20	Increase in basis points	Total	Sensitivity of Profit & Loss	Sensitivity of Equity
EUR	+100 b.p. / -100 b.p.	(341,674)/152,055	(293,238)/134,943	(48,036)/17,112
USD	+100 b.p. / -100 b.p.	(82,404)/90,163	(80,201)/87,930	(2,203)/2,234
ALL	+100 b.p. / -100 b.p.	(309,602)/311,968	(25,205)/54,590	(284,397)/257,378
Other (GBP & CHF)	+100 b.p. / -100 b.p.	891/(959)	891/(959)	0/0

Shift sensitivity 31-Dec-19	Increase in basis points	Total	Sensitivity of Profit & Loss	Sensitivity of Equity
EUR	+100 b.p. / -100 b.p.	(214,693)/(143,471)	(206,040)/138,733	(8,654)/4,738
USD	+100 b.p. / -100 b.p.	(99,150)/(108,806)	(96,935)/106,652	(2,215)/2,155
ALL	+100 b.p. / -100 b.p.	(307,181)/307,609	(290,312)/291,657	(16,869)/15,952
Other (GBP & CHF)	+100 b.p. / -100 b.p.	1,763/(1,804)	1,763/(1,804)	0/0

The limits on shift sensitivity of Fair Value (EVE) for shock +100bp and the NII Sensitivity for shocks +/-50bp are part of the RAF limits for ISBA 2020.

The NII sensitivity records the NII effects generated by the market rates movement on the renewal/re-pricing of the banking book. It quantifies the short-term impact on the net interest income of a parallel, instantaneous, permanent shock of ±50 basis points to the interest rate curve. This measure highlights the effect of variations in market rates on the interest margin generated by the portfolio that is being measured, excluding potential effects deriving from the new operations and future changes in the mix of assets and liabilities. The reference time horizon is typically limited to 1 year and according to the hypothesis that the institution is able to continue its activities ("going concern" approach).

The Interest rate risk generated by the Bank's assets and liabilities, as measured through shift sensitivity of Net Interest Income analysis of ± 50 basis points, registered at 31 December 2020 a value of Lek 270 million (for +50 basis points) and a value of Lek -304 million (for -50 basis points), compared to December 2019 Lek 258 million (for +50 basis points) and a value of Lek -260 million (for -50 basis points).

The sight positions with customers in ALL and EUR are treated based on behavioral model for the NII sensitivity defining the customer interest rate in the long-term and including the behavioral features and delayed reaction to market interest rates (in the short-term) resulting from the model. The behavioral model is developed by ISP Financial and Market Risks Head Office Department, based on the ISBA historical data provided from the Local Risk structure.

A different method used to measure Interest Rate risk is required by the Bank of Albania, which consists of quarterly monitoring of the interest rate risk exposure towards a parallel shock of ±200 basis points of the interest rate curve. For all the financial categories of assets and liabilities divided into either fixed or floating rate, their present value is calculated and is distributed in 14-time buckets. The total present value is then multiplied accordingly with the estimated modified duration of each time bucket. The limit for this exposure is 20% of the Bank's regulatory capital. The Bank has been within the limit with the interest rate risk exposures at 31 December 2020 being 10.0% of the Bank's regulatory capital (31 December 2019: 7.9%).

The Bank has been within the limits in accordance with Bank of Albania regulation and the internal regulation during the year 2020.

7. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

The tables below summarize the Bank's interest-bearing financial assets and liabilities with both fixed and floating interest rates, as reported to Parent company and management of the Bank. The information is not reconcilable as it is provided by management and adjusted as per below.

Based on the management of Interest Rate risk regulation, each financial instrument is mapped to the repricing gap based on contractual undiscounted cash - flows or behavioral re-pricing date. The contractual includes instruments where the Bank knows exactly when the maturity or next re - pricing takes place.

31 December 2020		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	17,314,251	33,088,722	7,237,197	-	-	-	57,640,170
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	11,491,088	947,276	5,060,632	2,476,423	1,304,973	1,412,930	22,693,322
	Floating rate	1,237,287	4,234,608	24,137,760	360,812	318,346	495,151	30,783,964
Financial investments HTM and AFS	Fix rate	-	11,343,991	37,711,095	11,335,030	8,483,676	2,142,990	71,016,782
	Floating rate	-	3,552,167	513,347	11,649	692	-	4,077,855
Non-Performing Loans	Fix rate	(117,858)	323,448	560,263	32,006	62,178	154,576	1,014,613
Other financial assets	Fix rate	1,503,763	-	-	-	-	-	1,503,763
Total financial assets (interest-bearing)		**31,428,531**	**53,490,212**	**75,220,294**	**14,215,920**	**10,169,865**	**4,205,647**	**188,730,469**
Liabilities								
Deposits to banks	Fix rate	(596,923)	(1,362,000)	-	-	(317,333)	-	(2,276,256)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(107,332,135)	(11,622,982)	(25,860,053)	(10,548,007)	(5,539,387)	(188,288)	(161,090,852)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	(490,149)	(36,473)	(283,989)	(128,761)	(90,347)	(39,456)	(1,069,175)
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(108,419,207)**	**(13,021,455)**	**(26,144,042)**	**(10,676,768)**	**(5,947,067)**	**(227,744)**	**(164,436,283)**
Interest sensitivity gap		**(76,990,676)**	**40,468,757**	**49,076,252**	**3,539,152**	**4,222,798**	**3,977,903**	**24,294,186**

The behavioral includes instruments not amenable, whose residual life and/or interest rate have high levels of uncertainty that may depend on specific behaviors by customers, as the sight loans (advances to banks and advances to customers) and sight deposits (current accounts to customers) are positioned in the O/N (on demand) bucket, until the definition of behavioral coefficients. The reprising gap is calculated according to the internal rules on Interest rate risk as the difference between interest-bearing assets and interest-bearing liabilities in a given time bucket. Other financial assets/liabilities, capital and reserves, are items not included in the reprising gap, not considered interest-bearing.

7. Financial Risk Management (continued)

(c) Market Risk (continued)

(ii) Exposure to Interest Rate risk (continued)

31 December 2019		O/N	0-3 months	3-18 months	18m - 3 years	3 - 5 years	>5 years	Total
Assets	**Interest rate type**							
Loans and advances to banks	Fix rate	15,477,295	32,865,605	9,624,816	-	-	-	57,967,716
	Floating rate	-	-	-	-	-	-	-
Loans and advances to customers	Fix rate	12,360,484	773,965	4,727,470	2,588,225	1,285,437	1,097,731	22,833,312
	Floating rate	74,407	5,694,239	20,070,008	625,210	488,603	567,739	27,520,206
Financial investments HTM and AFS	Fix rate	146,340	6,667,894	31,562,700	13,920,677	8,644,785	5,056,626	65,999,022
	Floating rate	-	2,609,430	3,046,786	30,826	24,517	-	5,711,559
Other financial assets	Fix rate	-	-	-	-	-	-	-
	Floating rate	-	-	-	-	-	-	-
Total financial assets (interest-bearing)		**28,058,526**	**48,611,133**	**69,031,780**	**17,164,938**	**10,443,342**	**6,722,096**	**180,031,815**
Liabilities								
Deposits to banks	Fix rate	(193,861)	(1,690,188)	(71,417)	-	(312,444)	-	(2,267,910)
	Floating rate	-	-	-	-	-	-	-
Due to customers	Fix rate	(93,764,582)	(13,578,466)	(28,441,551)	(6,073,294)	(10,927,298)	(200,977)	(152,986,168)
	Floating rate	-	-	-	-	-	-	-
Other liabilities	Fix rate	-	-	-	-	-	-	-
	Floating rate	-	-	-	-	-	-	-
Total financial liabilities (interest-bearing)		**(93,958,443)**	**(15,268,654)**	**(28,512,968)**	**(6,073,294)**	**(11,239,742)**	**(200,977)**	**(155,254,078)**
Interest sensitivity gap		**(65,899,917)**	**33,342,479**	**40,518,812**	**11,091,644**	**(796,400)**	**6,521,119**	**24,777,737**

7. Financial Risk Management (continued)

(d) Operational Risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people, systems or external events. This definition includes: legal risk, or the risk of losses resulting from violations of law or regulations, from contractual or constructive liability or from other disputes; model risk, defined as the potential loss which can be suffered by an entity, resulting from decisions mainly based on the results of internal models, caused by errors occurred during their development, implementation or use; Compliance risk, defined as the risk to incur judicial or administrative penalties, relevant financial losses resulting from the violation of mandatory rules or self-regulation; ICT risk (Information and Communication Technology, or simply computer risk), defined as the risk to incur economic losses related to the use of information and communication technology. Strategic and reputational risks are excluded.

The Bank's Board of Directors has approved the guidelines on the overall operational risk management framework adopting a policy and an organizational process for measuring, managing and controlling operational risk. The Bank's Regulation on Guideline for Operational Risk Management is fully in compliance with the Group Guidelines on Operational Risk Management issued on December 2014.

The Bank's Operational Risk Management Committee (hereinafter as ORCO) is responsible for the management of the operational risk of the Bank in terms of reviewing operational risk governance documentation and approving changes, preparing policies, standards and methodologies regarding operational risk management. One of the tools introduced for the management of operational risk is the definition of Operational Risk Key Indicators (KRIs). The final list of KRIs and thresholds was approved in ISBA Operational Risk Committee on October 2015. Since their approval, the Internal KRIs have been monitored and reported on quarterly bases in the ORCO and BoD meetings. The Internal KRIs are subject of an annual review process in order to ensure that they are aligned with the dynamic of the operational context and the significant risks that the Bank faces. Any amendment on KRIs policy will be submitted in ORCO and BoD for approval.

Thresholds for Bank of Albania KRI-s are defined and integrated within "ISBA KRIs Policy", approved in ISBA BOD 4 May 2018. The KRI-s are monitored on quarterly basis as per regulation BoA "On Operational Risk Management" in place, and reported in ORCO and BoD meetings.

The Bank's Risk Management Division is responsible for the identification, assessment, management and mitigation of operational risks, the verification of mitigation effectiveness and reporting to the Bank Senior Management and Group Risk Management with the aim of assessing the potential economic impact of particularly serious operational events.

The Bank carries out an annual assessment campaign set up by Intesa Sanpaolo Group, Self-Diagnosis process, which consists on the operational risk identification and assessment linked to the activity of each single unit within a structure.

The objectives of the Self Diagnosis process are to identify, measure, monitor, and mitigate operational risks. The Self Diagnosis process contributes to the spread of risk - control culture within the Bank. This process is composed of phases relative to the Assessment of the Business Environment, which determines the quality of each structure's risk control profile through the analysis of the importance and the level of management of risk factors in the operating context and phases relative to Scenario Analysis, which determine the size of each structure's risk profile by collecting estimated quantitative data from Business and Operational Units Responsible.

The Bank has the same responsibilities towards the Bank of Albania, based on the regulation on management of operational risk, entered into force on January 2011. The Bank reports regularly on the key indicators and classifications of effective operational losses as per business lines according to the regulatory requirements.

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7. Financial Risk Management (continued)

(e) Capital Management

The Bank's lead regulator, the Central Bank of Albania, sets and monitors capital requirements for the Bank. The Bank's policy is to maintain the capital base within limits, capitalizing all activity earnings so as to sustain future development of the business recognizing the impact of the level of capital on shareholders' return. The Bank recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

Implementing the current capital requirements, the Central Bank of Albania requires the Bank to maintain a prescribed ratio of total capital to total risk-weighted assets and off-balance sheet items, at a minimum level of 12%. During financial year 2020 the Bank achieved an adequacy ratio well above the minimum required which as at 31 December 2020 is calculated 21.54% (2019: 22.69%).

The modified capital adequacy ratio, which represents the ratio of base capital to risk-weighted assets and off-balance sheet items, is another limit set by the Central Bank of Albania at a level of 6%. Throughout the period, there were no material changes in the Bank's management of capital and all externally imposed capital requirements were complied with.

Regulation on Capital Adequacy Ratio entered into force in March 2015 and is based on Basel II criteria and in line with the European Directives for Financial Institutions.

	Note	31 December 2020	31 December 2019
Tier 1 capital - CET1			
Share capital	20	5,562,518	5,562,518
Share premium	20	1,383,880	1,383,880
Legal and regulatory reserves	21	1,825,623	1,825,623
Regulatory retained earnings		10,368,316	10,368,316
		19,140,337	**19,140,337**
Deductions:			
Regulatory intangible assets		(607,690)	(695,485)
Total qualifying Tier 1 capital		**18,532,647**	**18,444,852**
Risk-weighted assets:			
On and off-balance sheet		77,289,895	72,237,191
Risk assets for operational risk		8,762,143	9,038,279
Total risk-weighted assets		**86,052,038**	**81,275,470**
Tier I capital to risk- weighted asset ratio		**21.54%**	**22.69%**

As at 31 December 2017, the Bank of Albania the guideline "On the internal capital adequacy assessment process" entered in force which set out the requirements for banks on drafting and implementing the Internal Capital Adequacy Assessment Process (ICAAP), as well as the expectations of the supervisor on the structure and content of the regulatory report of this process. ICAAP, which is independently realized by the bank and approved from its governing bodies by acknowledging also regulatory requirements, shall ensure the assessment of the current and future levels of capital adequacy, based on its risk profile and strategies. ICAAP has been prepared by the Bank starting from year 2013 following also the ISP Group requirement and also have been timely submitted to the regulator during May 2020.

8. Financial Assets and Financial Liabilities

(a) Fair values of financial assets and financial liabilities

		Carrying Amount					Fair Value			
31 December 2020	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	11	-	-	50,902,837	-	50,902,837	-	-	50,902,837	**50,902,837**
Investments securities at amortized cost	12	35,083,217	-	-	-	35,083,217	3,567,125	32,112,278	-	**35,083,217**
Investment securities at FVOCI	12	-	36,690,487	-	-	36,690,487	3,848,556	-	-	**36,690,487**
Total		**35,083,217**	**36,690,487**	**50,902,837**	-	**122,676,541**	**7,415,681**	**32,112,278**	**50,902,837**	**122,676,541**
Deposits from customers	21	-	-	-	159,507,095	159,507,095	-	-	160,237,369	**160,237,369**
Total		-	-	-	**159,507,095**	**159,507,095**	-	-	**160,237,369**	**160,237,369**

31 December 2019	**Note**	**Investment securities at amortized cost**	**Investment securities at FVOCI**	**Loans and advances to banks**	**Other financial liabilities**	**Total carrying amount**	**Level 1**	**Level 2**	**Level 3**	**Total**
Loans and advances to banks	11	-	-	29,146,303	-	29,146,303	-	-	29,146,303	**29,146,303**
Investments securities at amortized cost	12	62,630,361	-	-	-	62,630,361	4,925,469	-	60,483,346	**65,408,815**
Investment securities at FVOCI	12	-	4,289,282	-	-	4,289,282	3,563,294	-	725,988	**4,289,282**
Total		62,630,361	4,289,282	29,146,303	-	96,065,946	8,488,763	-	90,355,637	**98,844,400**
Deposits from customers	21	-	-	-	150,941,625	150,941,625	-	-	151,780,649	**151,780,649**
Total		-	-	-	**150,941,625**	**150,941,625**	-	-	**151,780,649**	**151,780,649**

HTC Albanian Government securities are fixed and floating rate bonds. The floating rate bond is given as the average yield of the last three Treasury bill auctions with the maturity of one year plus the spread. The measurement of the fair value for these securities is performed using the mark-to-market model valuation technique, by discounting all future cash flows deriving from such instruments. The rest of the HTC foreign securities denominated in foreign currencies represent Banks and Financial Institutions' securities whose fair value is measured according the "ISBA fair value internal rules". Loans and advances to customers have carrying amount, which is considered also their fair value, as the major part of portfolio is based on floating interest rates. The fair value of Time Deposits from customers is re-priced using the net present value. The interest rates applied are the market interest rates published from Bank of Albania. These rates are an estimate of the market rates. The fair value of current accounts, savings accounts is considered to approximate their carrying amount, given they have short-term maturity.

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8. Financial Assets and Liabilities (continued)

(b) Classification of financial assets and financial liabilities

See accounting policies in Notes 6 (g)(ii).

The following table provides a reconciliation between line items in the statement of financial position and categories of financial instruments.

	Note	Amortized cost	FVOCI	Total carrying amount
31 December 2020				
Financial Assets				
Cash and cash equivalents	11	32,417,350	-	**32,417,350**
Loans and advances to banks	12	26,736,572	-	**26,736,572**
Investments securities	13	35,083,217	36,690,487	**71,773,704**
Loans and advances to customers	14	50,902,837	-	**50,902,837**
Total		**145,139,976**	**36,690,487**	**181,830,463**
Financial Liabilities				
Due to banks	20	2,273,426	-	**2,273,426**
Due to customers	21	159,507,095	-	**159,507,095**
Total		**161,780,521**	-	**161,780,521**

	Note	Amortized cost	FVOCI	Total carrying amount
31 December 2019				
Financial Assets				
Cash and cash equivalents	11	30,240,115	-	**30,240,115**
Loans and advances to banks	12	29,146,303	-	**29,146,303**
Investments securities	13	62,630,361	4,289,282	**66,919,643**
Loans and advances to customers	14	44,864,090	-	**44,864,090**
Total		**166,880,869**	**4,289,282**	**171,170,151**
Financial Liabilities				
Due to banks	20	2,250,043	-	**2,250,043**
Due to customers	21	150,941,625	-	**150,941,625**
Total		**153,191,668**	-	**153,191,668**

9. Cash and cash equivalents

Cash and cash equivalents as at 31 December 2020 and 31 December 2019 are detailed as follows:

	31 December 2020	31 December 2019
Cash on hand	1,503,639	1,443,488
Current accounts with banks	14,472,573	15,454,727
Unrestricted balances with Bank of Albania	873,574	7,602
Money market placements	15,569,556	13,334,849
Less impairment loss allowance	(1,992)	(551)
Total	**32,417,350**	**30,240,115**

10. Loans and advances to banks

Loans and advances to banks as at 31 December 2020 and 31 December 2019 are composed as follows:

	31 December 2020	31 December 2019
Compulsory reserve with Bank of Albania	16,199,346	15,450,973
Deposits with correspondent banks	10,542,703	13,699,125
Less impairment loss allowance	(5,477)	(3,795)
Total	**26,736,572**	**29,146,303**

In accordance with the Bank of Albania requirements, the Bank at the reporting date should maintain a minimum of compulsory reserve as per percentages determined by the regulator (See note 7.(b).(ii)).

Such reserves are maintained in original currency for due to customer balances denominated in local currency. For due to customer balances denominated in foreign currency the Bank is obliged to maintain in original currency.

The amount required to be deposited is calculated monthly in arrears. According to the Bank of Albania regulation 70% of this reserve in Lek is available for daily use by the Bank.

The remuneration interest rate of obligatory reserve denominated in Lek is 70% of repurchase agreements rate equal to 1.00% for 31 December 2020 (31 December 2019: 1.00%).

The remuneration interest rate of the obligatory reserve in EUR is equal to the European Central Bank base rate equal to minus 0.50% for EUR for 31 December 2020 (31 December 2019: minus 0.50%).

Deposits with banks comprise money market placements with an original maturity of over three months.

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11. Investment securities

	31 December 2020	31 December 2019
Investment securities measured at FVOCI-debt instruments	36,690,487	4,289,282
Investment securities measured at amortized cost- debt instruments	35,083,217	62,630,361
Total	**71,773,704**	**66,919,643**

Investment securities measured at FVOCI as at 31 December 2020 and 31 December 2019 can be detailed as follows:

	31 December 2020	31 December 2019
Corporate issuers		
Bank issuers	-	-
Unlisted	-	-
Listed	-	-
Sovereign issuers		
Republic of Albania	**33,108,729**	**725,988**
Unlisted	33,108,729	725,988
Listed	-	-
EU member states	**2,885,166**	**2,822,864**
Listed	2,885,166	2,822,864
Other Financial Institutions	**696,592**	**740,430**
Listed	696,592	740,430
Total	**36,690,487**	**4,289,282**

Investment securities measured at amortized cost as at 31 December 2020 and 31 December 2019 can be detailed as follows:

	31 December 2020	31 December 2019
Sovereign issuers		
Republic of Albania	**33,149,239**	**58,051,455**
Unlisted	31,516,092	58,051,455
Listed	1,633,147	-
US and EU member states	**1,933,978**	**4,578,906**
Listed	1,933,978	4,578,906
Total	**35,083,217**	**62,630,361**

As at 31 December 2020 and 31 December 2019 no Albanian Government securities have been pledged as collateral for repurchase agreements (see note19).

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12. Loans and advances to customers

Loans and advances to customers measured at amortized cost are composed as follows:

	31 December 2020	31 December 2019
Loans	41,424,672	34,780,008
Overdrafts	11,628,570	12,241,665
Deferred disbursement fees	(154,641)	(143,270)
Gross amount	**52,898,601**	**46,878,403**
Less impairment loss allowance (see Note 7.(a).(v))	(1,995,764)	(2,014,313)
Total net amount	**50,902,837**	**44,864,090**

	2020			2019		
	Gross carrying amount	ECL allowance	Carrying amount	Gross carrying amount	Impairment allowance	Carrying amount
Retail customers	24,422,811	963,457	23,459,354	**23,525,741**	**1,103,207**	**22,422,534**
Mortgage lending	10,442,822	257,882	10,184,941	8,893,106	371,877	8,521,229
Personal loans	13,928,539	699,840	13,228,700	14,549,288	715,401	13,833,887
Credit cards	30,181	4,475	25,706	73,058	14,740	58,318
Leasing	21,268	1,261	20,008	10,289	1,189	9,100
Corporate customers	28,475,790	1,032,307	27,443,483	**23,352,662**	**911,106**	**22,441,556**
Investment loans	23,218,348	823,176	22,395,172	21,650,397	750,001	20,900,396
Working capital	4,775,776	206,354	4,569,422	1,625,668	160,488	1,465,180
Leasing	481,666	2,778	478,889	76,597	617	75,980
Total	**52,898,601**	**1,995,766**	**50,902,837**	**46,878,403**	**2,014,313**	**44,864,090**

13. Non-current assets held for sale

The Bank holds under non-current assets held for sale, loans issued from VBA identified during Board of Experts due diligence as non-performing loans to be transferred back to Veneto Banca in compulsory administrative liquidation and high risk loans already classified as non performing (unlikely to pay or doubtful) which shall be transferred to the Veneto Banca in compulsory administrative liquidation, with customized guarantee from the Government of Italy, during the next retrocession windows envisaged by contract. The related loans carrying amount was determined based on the contractual indications, which set out a consideration equal to their gross value net of impairment allowance recognized only 50% of the value of those ISP Group would have had to account by complying with its own loan loss impairment policies with the price that will be payable to retransfer the corresponding exposure to the Veneto Banca in compulsory administrative liquidation.

14. Property and Equipment

Property and Equipment as at 31 December 2020 and 31 December 2019 is as follows:

	Land and Building	IT and Electrical Equipment	Furniture and Fine Art Works	Other non-Electrical Assets	Assets acquired not put into use	Total
Cost						
Balance as at 1 January 2019	**1,724,985**	**1,470,556**	**301,852**	**313,245**	**221,256**	**4,031,894**
Additions	55,910	57,781	9,583	13,613	47,070	183,957
Disposals	-	(403,026)	(152,626)	(87,946)	-	(643,598)
Balance as at 31 December 2019	**1,780,895**	**1,125,311**	**158,809**	**238,912**	**268,326**	**3,572,253**
Additions	1,890	118,989	8,713	16,968	7,199	153,759
Disposals	-	-	-	-	-	-
Adjustment of Revaluation	(284,426)	-	-	-	-	(284,426)
Balance as at 31 December 2020	**1,498,359**	**1,244,300**	**167,522**	**255,880**	**275,525**	**3,441,586**
Accumulated Depreciation						
Balance as at 1 January 2019	57,270	1,250,835	255,405	277,889	-	1,841,399
Depreciation for the year	59,596	77,044	11,916	12,002	-	160,558
Disposals	-	(400,187)	(151,824)	(86,776)	-	(638,787)
Used on the Impairment loss	-	(2,590)	-	-	-	(2,590)
Balance as at 31 December 2019	**116,866**	**925,102**	**115,497**	**203,115**	-	**1,360,580**
Depreciation for the year	61,422	88,398	12,565	3,650	-	166,035
Disposals	-	-	-	-	-	-
Used on the Impairment loss	-	-	-	(611)	-	(611)
Balance as at 31 December 2020	**178,288**	**1,013,500**	**128,062**	**206,154**	-	**1,526,004**
Carrying amount						
At 1 January 2019	**1,667,715**	**219,721**	**46,447**	**35,356**	**221,256**	**2,190,495**
At 31 December 2019	**1,664,029**	**200,209**	**43,312**	**35,797**	**268,326**	**2,211,673**
At 31 December 2020	**1,320,071**	**230,800**	**39,460**	**49,726**	**275,525**	**1,915,582**

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15. Leases

A. Leases as lessee (IFRS 16)

The Bank leases a number of branch and office premises. This leases typically run for a period of 10 years, with an option to renew the lease after that date. For some leases, payments are renegotiated every five years to reflect market rentals. Some lease provides for additional rent payments that are based on changes in local price indices.

The Bank also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items. The Bank has elected not to recognize right-of-use assets and lease liabilities for these leases. Previously, these leases were classified as operating leases under IAS 17. There are no leases where the Bank is a lessor whereas information about leases for which the Group is a lessee is presented below:

i. Right-of use assets

Right-of-use assets relate to leased branch and office premise are presented below:

	2020	2019
Balance at 1 January	460,883	337,298
Depreciation charge for the year	(80,152)	(137,555)
Additions	220,428	261,140
Balance at 31 December	**601,159**	**460,883**

At 31 December 2020 and 2019, the future minimum lease payments under non-cancellable operating leases were payable as follows.

Maturity analysis-Contractual undiscounted cash flows	2020	2019
Less than one year	44,312	45,274
Between one and five years	-	-
More than five years	-	-
Total undiscounted lease liabilities at 31 December	**44,312**	**45,274**

ii. Amounts recognized in profit or loss

	2020	2019
Interest on lease liabilities	8,716	7,262
Expenses relating to short term leases	3,109	32,705
Expense relating to leases of low-value assets, excluding short-term leases of low-value assets	892	809

The Bank has rental agreements with renewal options for its offices in Albania. During 2020, the amount of Lek 21,963 thousand was recognized as operating lease expense under IAS 17 in respect of lease rentals (2019: 55,797).

Amounts recognized in statement of cash flows

	2020	2019
Total cash outflow for leases	**156,798**	**140,489**

iii. Extension options

Some leases of office premises contain extension options exercisable by the Bank up to one year before the end of the non-cancellable contract period. Where applicable, the Bank seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Bank and not by the lessors. The Bank assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Bank reassesses whether it reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

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16. Intangible Assets

Intangible assets as at 31 December 2020 and 31 December 2019 are as follows:

	Software and Licenses	Advances for Software	Total
Cost			
Balance as at 1 January 2019	**1,899,924**	**75,806**	**1,975,730**
Additions during period	178,246	93,814	272,060
Transfers	(28,920)	-	(28,920)
Balance as at 31 December 2019	**2,049,250**	**169,620**	**2,218,870**
Additions during period	131,120	-	131,120
Transfers	-	(49,593)	(49,593)
Balance as at 31 December 2020	**2,180,370**	**120,027**	**2,300,397**
Amortization and Impairment Losses			
Balance as at 1 January 2019	**1,481,394**	-	**1,481,394**
Amortization charge for the year	164,020	-	164,020
Disposals	(27,521)	-	(27,521)
Balance as at 31 December 2019	**1,617,893**	-	**1,617,893**
Amortization charge for the year	192,672	-	192,672
Disposals	-	-	-
Balance as at31 December 2020	**1,810,565**	-	**1,810,565**
Carrying amount			
At 1 January 2019	**418,530**	**75,806**	**494,336**
At 31 December 2019	**431,357**	**169,620**	**600,977**
At 31 December 2020	**369,804**	**120,027**	**489,831**

17. Investment property

The Bank holds investment property as consequence of acquisitions through enforcement of security over loans and advances. As at 31 December 2020, the investment property represents a foreclosed collateral repossessed during 2017. During 2020, investment property rentals of Lek 4,179 thousand (2019: Lek 17,347 thousand) have been recognized in other income. Based on the agreement between parties the annual rent for the first year is calculated 2.8% of the historical cost. The annual rent change over the period based on the payment of instalment for purchase of the property.

	Buildings	Total
Cost		
Balance as at 1 January 2019	**721,488**	**721,488**
Additions during period	-	-
Balance as at 31 December 2019	**721,488**	**721,488**
Additions during period	-	-
Balance as at 31 December 2020	**721,488**	**721,488**
Depreciation and Impairment Losses		
Balance as at 1 January 2019	**175,932**	**175,932**
Depreciation charge for the year	-	-
Impairment Losses	-	-
Balance as at 31 December 2019	**175,932**	**175,932**
Impairment Losses	11,758	11,758
Balance as at 31 December 2020	**187,690**	**187,690**
Carrying amount		
At 31 December 2019	**545,556**	**545,556**
At 31 December 2020	**533,798**	**533,798**

The fair value of investment property was determined by external, independent property valuers, having appropriate recognized professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Bank's investment property portfolio every year and its fair value measurement is categorized as a Level 2 fair value based on the inputs to comparable approach used.

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18. Inventory and other assets

Other assets as at 31 December 2020 and 31 December 2019 are as follows:

	31 December 2020	31 December 2019
Inventory	668,996	1,308,124
Sundry debtors	1,333,803	53,399
ATM & POS transactions	50,529	57,907
Leasehold improvements	92,913	114,999
Prepayments	41,780	43,462
Cheques for collection	14,637	4,949
Others	222,430	99,807
Total	**2,425,088**	**1,682,647**

Inventory represents repossessed assets acquired in the process of collection of defaulted loans. The movement of "repossessed assets" item during the reporting period is presented as follows:

	2020	2019
At beginning of the period	1,308,124	1,892,768
Additions during period	3,958	11,428
Disposals of the period	(627,212)	(819,162)
Write back/(down) to net realizable value	(33,326)	267,260
Effect of movements in foreign exchange	17,452	(44,170)
At end of the period	**668,996**	**1,308,124**

The movement of leasehold improvements during the reporting period is presented as follows:

	31 December 2020	31 December 2019
At beginning of the period	114,999	31,407
Additions during period	17,914	120,597
Write off	(614)	(22,813)
Amortization of the period	(15,891)	(14,192)
Transfer for Integration	(23,495)	-
At end of the period	**92,913**	**114,999**

19. Due to banks

Due to banks as at 31 December 2020 and 31 December 2019 are as follows:

	31 December 2020	31 December 2019
Correspondent banks		
Current accounts	**335,190**	**414,299**
Resident	7,705	6,841
Non-resident	327,485	407,458
Deposits	**1,362,008**	**1,690,029**
Resident	1,362,008	1,690,029
Non-resident	-	-
Current Accounts with Central Bank	**576,228**	**145,715**
Total	**2,273,426**	**2,250,043**

As at 31 December 2020 and 31 December 2019, no Albanian Government securities have been pledged as collateral for repurchase agreements (see note 12).

20. Due to customers

Due to customers as at 31 December 2020 and 31 December 2019 are composed as follows:

	31 December 2020			31 December 2019		
Current accounts	Local Currency	Foreign Currency	Total	Local Currency	Foreign Currency	Total
Retail	11,987,612	23,172,065	35,159,677	9,540,860	19,844,042	29,384,902
Corporate	13,629,866	28,624,327	42,254,193	10,412,605	25,935,406	36,348,011
	25,617,478	**51,796,392**	**77,413,870**	**19,953,465**	**45,779,448**	**65,732,913**
Deposits						
Retail	37,038,300	40,009,412	77,047,712	36,959,156	42,109,382	79,068,538
Corporate	1,114,365	3,931,148	5,045,513	1,799,717	4,340,457	6,140,174
	38,152,665	**43,940,560**	**82,093,225**	**38,758,873**	**46,449,839**	**85,208,712**
Total	**63,770,143**	**95,736,952**	**159,507,095**	**58,712,338**	**92,229,287**	**150,941,625**

Balances due to customers by maturity and currency type are as follows:

	31 December 2020			31 December 2019		
	Local Currency	Foreign Currency	Total	Local Currency	Foreign Currency	Total
Current Accounts	**25,617,478**	**51,796,392**	**77,413,870**	**19,953,465**	**45,779,448**	**65,732,913**
Deposits						
On demand	4,777,472	19,807,463	24,584,935	5,383,679	22,316,741	**27,700,420**
One month	2,490,773	2,347,266	4,838,039	2,490,773	2,347,266	**4,838,039**
Three months	3,028,586	6,000,625	9,029,211	3,028,586	6,000,625	**9,029,211**
Six months	3,761,328	4,216,905	7,978,233	3,761,328	4,216,905	**7,978,233**
Nine months	4,199,641	6,075,213	10,274,854	4,199,641	6,075,214	**10,274,855**
Twelve months	3,518,010	3,631,322	7,149,332	3,518,010	3,631,322	**7,149,332**
Twenty-four months	3,585,348	1,417,011	5,002,359	3,585,348	1,417,011	**5,002,359**
Other	12,791,507	444,755	13,236,262	12,791,508	444,755	**13,236,263**
	38,152,665	**43,940,560**	**82,093,225**	**38,758,873**	**46,449,839**	**85,208,712**
Total	**63,770,143**	**95,736,952**	**159,507,095**	**58,712,338**	**92,229,287**	**150,941,625**

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20. Due to customers (continued)

For current accounts (for which is paid interest) and time deposits, the annual published interest rates applicable for the various fixed terms were:

2020	ALL (%)	USD (%)	EUR (%)
Current accounts and demand deposits	0.05 - 1.73	0.05 - 1.42	0.00 - 0.65
Time deposits - 1 month	0.20 - 0.20	0.05 - 0.10	0.00 - 0.002
Time deposits - 3 months	0.20 - 0.40	0.10 - 0.20	0.00 - 0.002
Time deposits - 6 months	0.20 - 0.50	0.10 - 0.25	0.00 - 0.005
Time deposits - 9 months	0.40 - 0.40	-	0.00 - 0.006
Time deposits - 12 months	0.20 - 0.90	0.10 - 0.30	0.00 - 0.01
Time deposits - 24 months	1.05 - 1.35	0.20 - 0.30	0.00 - 0.05
Time deposits - 36 months	1.40 - 1.60	0.25 - 0.25	0.00 - 0.10
Time deposits - 60 months	2.26 - 2.75	0.25 - 0.25	0.00 - 0.10
Time deposits - 84 months	3.09 - 3.25	-	-

2019	ALL (%)	USD (%)	EUR (%)
Current accounts and demand deposits	0.03-2.06	0.05-2.31	0.002 - 0.65
Time deposits - 1 month	0.20-0.20	0.05-0.10	0.002 - 0.002
Time deposits - 3 months	0.20 - 0.85	0.10 - 0.20	0.001 - 0.002
Time deposits - 6 months	0.20 - 1.05	0.10 -0.25	0.003 - 0.005
Time deposits - 9 months	0.40 - 0.40	-	0.006 - 0.006
Time deposits - 12 months	0.20-1.35	0.10-0.30	0.005 - 0.01
Time deposits - 24 months	1.10 - 2.00	0.20 - 0.30	0.02 -0.05
Time deposits - 36 months	1.50 - 2.60	0.25 - 0.25	0.05 - 0.10
Time deposits - 60 months			
Time deposits - 84 months			

All individual and cooperate customer deposits, in accordance with the Law No. 52, dated 25.05.2014 "On the Insurance of Deposits" amended, are protected without any cost for customers, up to the amount of Lek 2,500,000 (or in Lek equivalent if in foreign currency) with the Deposit Insurance Agency (DIA).

21. Deferred Tax

Recognized deferred tax assets and liabilities are attributable to the following:

	31 December 2020			31 December 2019		
	Assets	Liabilities	Net	Assets	Liabilities	Net
Investment securities measured at FVOCI	-	73,396	(73,396)	-	6,112	(6,112)
Allowance for expected credit losses	102,298	-	102,298	115,821	-	115,821
Investment Property	-	1,599	(1,599)	-	1,599	(1,599)
Repossessed assets	173,816	-	173,816	256,457	-	256,457
Properties	-	94,177	(94,177)	-	136,841	(136,841)
Right-of-use assets	90,449	90,173	276	66,892	69,132	(2,240)
Equipment and intangible assets	91,756	-	91,756	92,517	-	92,517
Net deferred tax assets	**458,319**	**259,345**	**198,974**	**531,687**	**213,684**	**318,003**

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21. Deferred Tax (continued)

Movements in temporary differences during the year are as follows:

31 December 2020	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	(6,112)	-	(67,284)	(73,396)
	115,821		(13,523)	102,298
Allowance for expected credit losses		-		
	(1,599)			(1,599)
Investment Property		-	-	
	256,457	(82,641)		173,816
Repossessed assets			-	
	(136,841)		42,664	(94,177)
Properties		-		
	(2,241)	2,515		274
Right-of-use assets			-	
	92,518	(760)		91,758
Equipment and intangible assets			-	
Total	318,003	(80,886)	(38,143)	198,974

31 December 2019	Opening balance	Recognized in profit or loss	Recognized in other comprehensive income	Closing Balance
Investment securities measured at FVOCI	17,984	-	(24,095)	(6,112)
	160,571		(44,750)	115,821
Allowance for expected credit losses		-		
	(1,599)		-	(1,599)
Investment Property		-		
	300,192	(43,735)		256,457
Repossessed assets			-	
	(136,841)	-		(136,841)
Properties			-	
	-	(2,241)		(2,241)
Right-of-use assets			-	
	89,745	2,772		92,518
Equipment and intangible assets			-	
Total	430,052	(43,204)	(68,845)	318,003

22. Provisions

Movements in provisions during the year are as follows:

	Tax Litigation	Other Litigations	Off-Balance Sheet	Integration costs	Total
Balance at 1 January 2020	282,008	545,613	54,442	183,495	1,065,558
Provisions made/(reversed) during the year	-	(182,866)	(7,891)	-	(190,757)
Provisions used during the year	-	-	-	(42,917)	(42,917)
Effect of movements in foreign exchange	-	3,008	413	-	3,421
Balance at 31 December 2020	282,008	365,755	46,964	140,578	835,305

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23. Other liabilities

Other liabilities as at 31 December 2020 and 31 December 2019 are composed as follows:

	31 December 2020	31 December 2019
Accrued expenses	379,812	454,564
Sundry creditors	1,299,609	24,764
Suspense accounts	183,562	241,642
Bank cheques issued and payments in transit	135,741	163,349
Other tax liabilities	82,443	49,822
Due to third parties	22,377	22,618
Other accrued expenses	3	61,903
Total	**2,103,547**	**1,018,662**

24. Share capital and share premium

The issued share capital comprises one class of shares as follows:

	Number of Shares (In number)	Nominal Value (In Lek)	Total Shares Value (In Lek)
Share Capital at 31 December 2020	**15,581,282**	**357**	**5,562,517,674**

Share premium represents the amount paid from the shareholder in excess of the registered share capital. Intesa Sanpaolo S.p.A is the sole shareholder at 31 December 2020 and 31 December 2019.

25. Reserves

As at 31 December 2020 and 31 December 2019, the reserves were:

	31 December 2020	31 December 2019
Regulatory reserve (*refer to a below*)	1,125,444	1,130,983
Legal reserve (*refer to b below*)	694,640	694,640
Fair value reserve (*refer to c below*)	415,911	40,152
Revaluation reserve (*refer to d below*)	533,669	775,431
Other capital reserve (*refer to e below*)	714,556	714,555
Merger reserve (*refer to f below*)	2,813,396	2,813,396
Total	**6,297,616**	**6,169,157**

Nature and purpose of the reserves

a. The regulatory reserve was established according to the Central Bank of Albania regulation "On the Bank's Regulatory Capital", no.69, dated 18 December 2014. Banks and branches of foreign banks are required to create reserves of 1.25% to 2% of total risk-weighted assets, by appropriating one fifth of the profit after taxes and before payment of dividends, until the balance on this measure reaches at least 1.25% of total risk-weighted assets. At 31 December 2020, the regulatory reserve represented 1.38% of total risk-weighted assets (2019: 1.38%).

b. The legal reserve was established according to the provisions of the Commercial Law requiring the creation of reserves of 5% of the Bank's net income after deduction of accumulated losses from previous years, until the balance of this reserve reaches 10% of the Bank's share capital. At 31 December 2020, the balance represented 10% of the Bank's share capital (2019: 10%). This threshold is not mandatory, when the existing reserves are not less than one tenth of the Bank's share capital.

c. The Fair value reserve represent the cumulative net change in fair value of the securities at FVOCI until the asset are derecognized or reclassified.

d. The revaluation reserve relates to the revaluation of owed used property. The fair value reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the assets are derecognized or impaired.

e. Other capital reserve represents the differences arising from the conversion of the Bank's share capital from USD to Lek. Out of this balance, the amount of Lek 297,666 thousand was received as at 1 January 2008 from the merger with former BIA, as raised by the same denomination currency change of the share capital.

f. The merger reserve represents the contribution by owner equal to the net assets transferred considering that the Bank did not pay anything to acquire net assets of VBA (refer also to note 1).

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26. Net Interest income

	2020	2019
Interest income		
Loans and advances to customers	2,056,352	2,262,668
Investment securities at amortized cost	1,702,886	1,888,249
Loans and advances to banks	(4,416)	129,550
Investment securities at FVOCI	355,594	46,154
Total interest income	**4,110,416**	**4,326,621**
Interest expenses		
Demand and time deposits	700,641	738,275
Deposits from banks	126,414	89,070
Current accounts of customers	43,081	54,377
Lease liability	8,715	7,262
Total interest expenses	**878,851**	**888,984**
Net interest income	**3,231,565**	**3,437,637**

27. Net fee and commission income

	2020			2019		
	Retail Banking	Corporate Banking	Total	Retail Banking	Corporate Banking	Total
Collection and payment services	231,872	277,307	509,179	206,078	315,839	521,917
Active current accounts	221,015	25,055	246,069	248,447	26,748	275,195
ATMs and POSs	220,493	55,400	275,892	283,908	67,146	351,054
Guarantees given	502	19,040	19,541	663	17,904	18,567
Unused/advanced liquidated credit lines	10,788	14,814	25,602	7,569	14,174	21,743
Arrangement fees and others	3,473	12,700	16,173	2,847	16,698	19,545
Fee and commission income	**688,142**	**404,315**	**1,092,457**	**749,512**	**458,509**	**1,208,021**
ATMs and POSs	225,018	51,727	276,745	233,078	65,647	298,725
Banking services-foreign branches	599	7,819	8,418	604	8,131	8,735
Collection and payment services	13,956	17,772	31,729	19,409	20,124	39,533
Guarantees received	0	3,623	3,623	0	8,328	8,328
Fee and commission expenses	239,573	80,942	320,515	253,091	102,230	355,321
Net fee and commission income	**448,569**	**323,373**	**771,942**	**496,421**	**356,279**	**852,700**

Fee and commissions do not include fees received for loans and advances to customers (transaction costs), which are adjusted on initial recognition for the carrying value of these financial assets as per effective interest rate method. Fee and commission income from contracts with customers are measured based on the consideration specified in a contract with a customer. The Bank recognizes revenue when it transfers control over a service to only a customer. The Bank provides banking services only to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis. The Bank sets the rates separately for retail and corporate banking customers in each jurisdiction on a regular basis. Transaction-based fees for interchange, foreign currency transactions and overdrafts are charged to the customer's account when the transaction takes place Servicing fees are charged on a monthly basis and are based on fixed rates reviewed regularly by the Bank. Revenue from account service and servicing fees is recognized over time as the services are provided Revenue related to transactions is recognized at the point in time when the transaction takes place.

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

28. Net other income

	2020	2019
Foreign exchange gains	535,697	545,344
Other	4,412	2,964
Total	**540,109**	**548,308**

29. Other operating expenses, net

	2020	2019
Premium on deposits insurance	417,909	407,856
Loss on sale of fixed assets	596,941	329,627
(Gain)/loss on sundry net operational	2,615	(280,721)
Total	**1,017,465**	**456,762**

30. Personnel expenses

	2020	2019
Salaries	975,085	828,367
Social Insurance	132,662	126,304
Total salaries and social insurance	**1,107,747**	**954,671**
Personnel on secondment	57,058	53,717
Training & similar	800	892
Termination indemnities and others	18,644	56,313
Total	**1,184,249**	**1,065,593**

Salaries and social insurance for the year ended 31 December 2020 and 2019 are further breakdowns as follows:

	2020	2019
Board of Directors	6,345	7,632
Executive Management	321,914	279,312
Other personnel	779,488	667,727
Total	**1,107,747**	**954,671**

For the year ended 31 December 2020 the Bank had an average number of 657 employees (2019: 663).

31. Other administrative expenses

	2020	2019
Software maintenance	376,030	342,189
Telephone and electricity	47,399	63,343
Advertising and publications	20,140	50,231
Maintenance and repair	99,598	64,460
Stationery	46,942	41,210
Consulting, legal and professional fees	37,189	47,785
Security	66,705	70,851
Transport and security services	39,951	40,577
Travel and business trips	792	14,949
Insurance	12,946	12,966
Other	150,804	128,035
Total	**898,496**	**876,596**

Consulting, legal and professional fees for the year ended 31 December 2020 include statutory and non-statutory audit fees amounting to Lek 20.402 Million (2019: Lek 16.3 Million).

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

32. Income tax expenses

The components of income tax expense for the year ended 31 December 2020 and 2019 are:

	2020	2019
Current year	133,569	254,164
Current income tax in respect of prior years	-	24,802
Current tax expense	**133,569**	**278,966**
Origination and reversal of temporary differences	80,887	43,204
Deferred tax income	**80,887**	**43,204**
Income tax expense/(benefit)	**214,456**	**322,170**

Reconciliation of the income tax expense with the accounting profit for the year ended 31 December 2020 and 2019 is presented as follows:

	2020		2019	
Accounting Profit before tax		**1,508,990**		**2,024,044**
Income tax at domestic corporate tax rate	15.00%	226,349	15.00%	303,607
Tax effect of prior year taxes recognition	0.00%	-	1.23%	24,802
Non-deductible expenses	(6.15%)	(92,779)	(2.44%)	(49,443)
Origination and reversal of temporary differences	5.36%	80,886	2.13%	43,204
Income tax Expense	**14.21%**	**214,456**	**15.92%**	**322,170**

Non-deductible expenses are detailed as follows:

	2020	2019
Representations & Sponsorships expenses	56	192
Sundry operational losses	1,606	3,336
Operating leases expenses	2,149	2,459
Personnel expenses	5,579	7,855
Office expenses	6,565	6,776
Other provisions expenses	167,580	264,438
Litigation expenses	(182,866)	(14,763)
Losses on unrecoverable loans and overdrafts	134,162	135,802
Write down of inventory	(563,235)	(267,260)
Reversal of accruals related to prior years	(152,637)	(188,204)
Depreciation and amortization expenses	50,443	13,555
IFRS 16 impact	2,221	4,527
Allowance reversals for expected credit losses	(90,151)	(298,331)
Total	**(618,528)**	**(329,618)**
At 15%	**92,779**	**49,443**

The Bank prepaid income tax in the amount of Lek 164,811 thousand were paid during 2020 (2019: Lek 92,250 thousand).

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

33. Commitments and contingencies

Commitments and contingencies as at 31 December 2020 and 31 December 2019 are as follows:

	31 December 2020	31 December 2019
Contingent Assets	**137,489,060**	**133,747,250**
Guarantees received from credit customers	119,062,721	117,960,745
Guarantees received from Government	3,370,000	1,270,000
Money market future dated deals	114,460	-
Forward foreign exchange contracts	108,007	689,180
Other	14,833,872	13,827,325
Contingent Liabilities	**12,209,699**	**10,641,380**
Guarantees in favor of customers	4,873,518	4,456,045
Un-drawn credit facilities	7,136,265	4,868,369
Letters of credit	199,916	1,316,966

Guarantees are mainly represented by bid and performance bonds. Guarantees and letters of credit are collateralized by cash and deposits. The Bank issues guarantees to its customers. These instruments bear a credit risk similar to that of loans granted.

Contingent assets, like letters of credit and un-drawn credit facilities, are off-balance sheet items representing future commitments where the Bank acts as the beneficiary. Forward foreign exchange contracts are off- balance sheet items used to offset currency fluctuations and the effect on the income statement is reflected on the maturity date when the contract is executed.

Litigation

The Bank is defending an action related to a partial payment of a bank guarantee amounting EUR 4,830 thousand. The guarantee was issued in favor of an Albanian entity upon the request of its Parent Company Intesa Sanpaolo S.P.A. The Bank has successfully defended itself in a legal process, in which both the First Instance Court and Court of Appeal judged in favor of the Bank.

The plaintiff has appealed to the Supreme Court which has not yet issued its decision. Management does not consider that there are any legal grounds for the existing judgments in its favor to be overturned.

Nevertheless, given the complexity of the case, involving also the Italian Jurisdiction, and taking into consideration no other cases of that kind have been ever judged in the Albanian courts, some operational risks may occur. In the ordinary course of business, the Bank may be involved in other various claims and legal actions which in the opinion of management, the ultimate settlement of these matters will not have a material adverse effect on the Bank's financial position or changes in net assets, other than those for which a provision has already been included in these financial statements.

Intesa Sanpaolo Bank Albania Sh.a.
Notes to the financial statements for the year ended 31 December 2020
(in thousands of Lek, unless otherwise stated)

34. Related parties

The Bank's immediate parent is Intesa Sanpaolo S.p.A, which ultimately holds a 100% interest. The Bank, therefore, considers that it has a related-party relationship, in accordance with International Accounting Standard 24 Related Party Disclosures ("IAS 24") with the following:

Shareholders and parties related to shareholders:

- Intesa Sanpaolo S.p.A and its subsidiaries and associates

Key management personnel and parties related to key management personnel:

- Supervisory Board members, Management Board members and other key management personnel defined as persons having authority and responsibility for planning, directing and controlling the activities of the Bank, directly or indirectly, including any director (whether executive or otherwise) of the Bank, collectively "key management personnel", close family members of key management personnel, and companies and un-incorporated businesses controlled, or jointly controlled by key management personnel and/or their close family members.

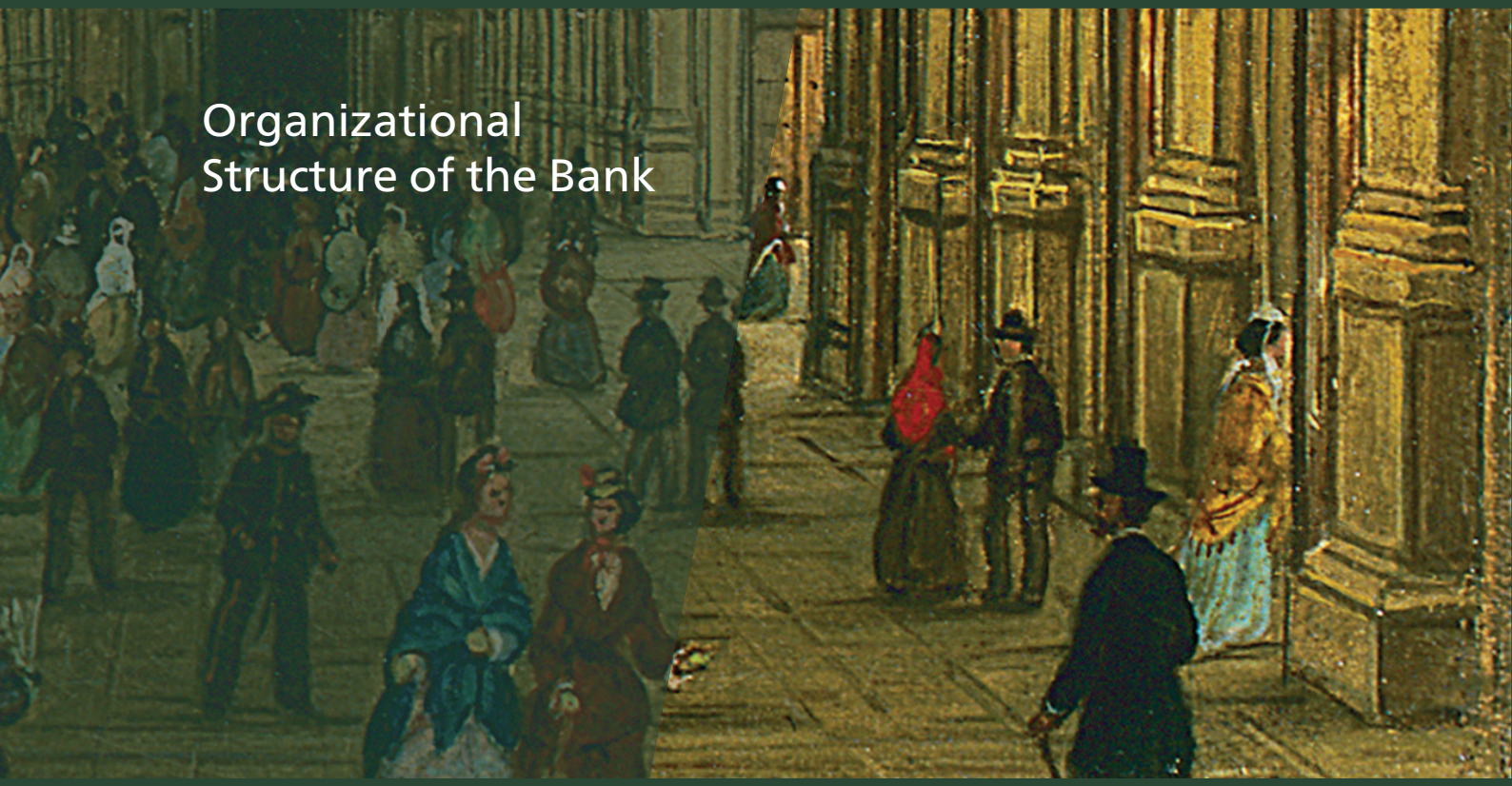
The following transactions have taken place during the year ended 31 December 2020 and 31 December 2019:

	ISP Group companies		Key management personnel and Other related parties	
	31 Dec 2020	31 Dec 2019	31 Dec 2020	31 Dec 2019
Assets at end of year	**14,644,700**	**15,144,703**	**50,922**	**25,146**
Loans and advances to credit institutions	14,624,359	15,120,270	-	-
Loans and advances to customers	-	-	50,922	25,146
Other assets	20,341	24,433	-	-
Liabilities at end of year	**82,908**	**101,961**	**453,982**	**415,919**
Loans and advances from credit institutions	-	-	-	-
Customer deposits	-	-	453,982	415,919
Invoices to be received	82,908	101,961	-	-
Off balance sheet	**2,373,497**	**3,004,221**	-	-
Letter of credit/Letter of Guarantees given	249,535	966,605	-	-
Letter of credit/Letter of Guarantees received	1,923,600	1,845,237	-	-
Foreign currency contracts	200,362	192,379	-	-
Commitments given	-	-	-	-
Collaterals	-	-	-	-
Income for year ending	60,892	126,015	1,588	2,092
Interest income	10,815	78,897	1,208	1,858
Commission Income	50,077	47,118	380	234
Expenses for the year ending	**292,968**	**260,654**	**328**	**319**
Interest expense	39,340	28,332	328	319
Commission expense and others	22,337	21,669		
Other Administrative Costs	231,291	210,653		
Compensation of Key Managers				
Net Salary	-	-	-	74,566
Net Bonus paid	-	-	22,392	25,667
Social & Health Insurance	-	-	4,345	4,354
Other expenses (Lecoip)	-	-	13,387	13,240
Other expenses	-	-	14,539	13,115

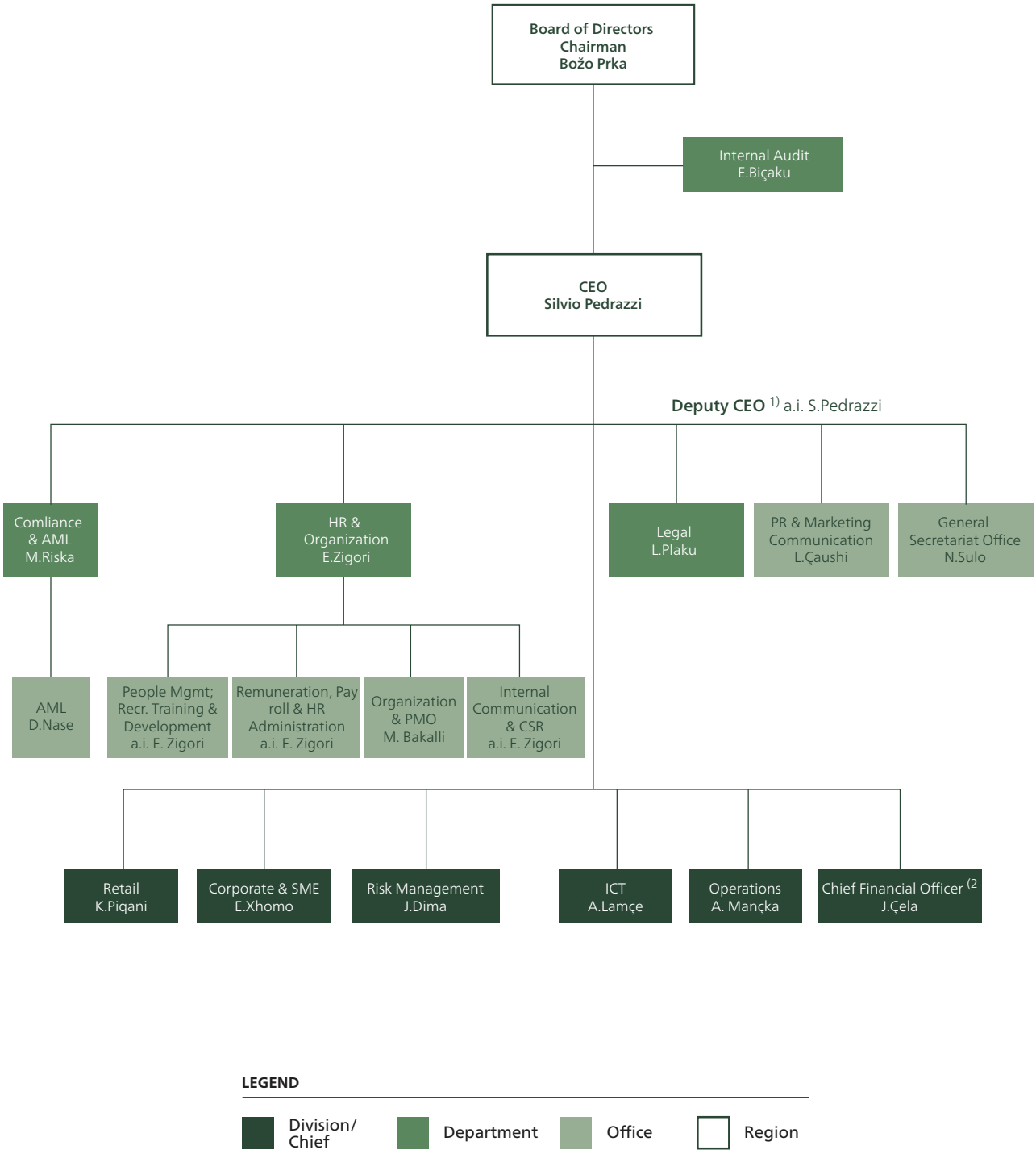
35. Subsequent events

The management of the Bank is not aware of any subsequent events that would require either adjustments or additional disclosures in the financial statements.

Organizational Structure of the Bank

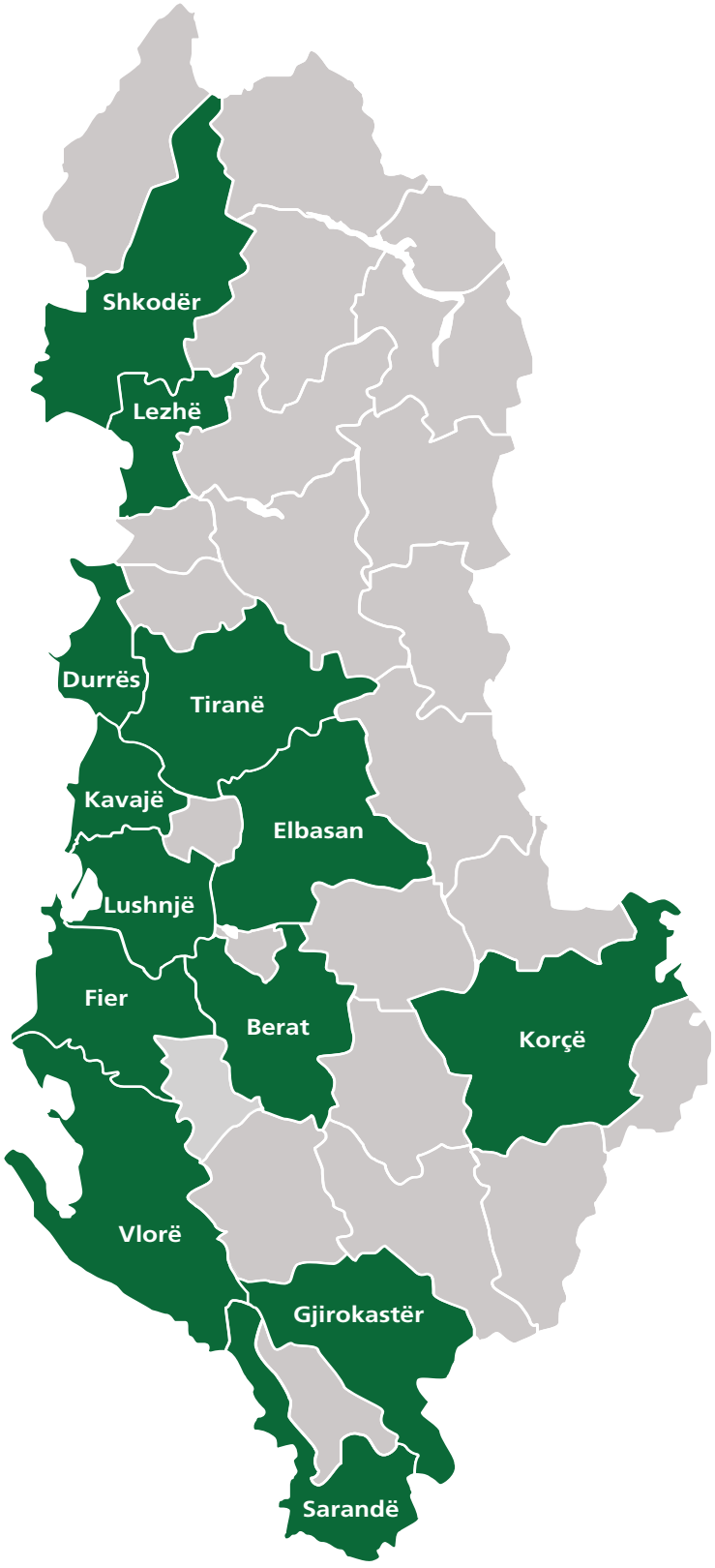


Organisational Structure as of 30 December 2020



Bank Business
Network

Intesa Sanpaolo Bank Albania
Business Network Map



Intesa Sanpaolo Bank Albania
Business Network

Nr.	City	Branch	Address	Contact
1.	Tirana	Head Offices & Main Branch	Str. "I.Qemali", Nr. 27 P.O. Box 8319	Call Center: 08006000 +355 4 22 76 000 +355692080903
2.	Tirana	Rr. Barrikadave Branch	Str. "Barrikadave"	+355 4 2390808/810/812/816/821 +355 4 2390830/831/832/833/834
3.	Tirana	Lapraka Branch	Str. "Dritan Hoxha" Nd 203 H 1	+355 687573520/2/3/4/8
4.	Tirana	Rr. Elbasanit Branch	Str. "Elbasanit", crossroad with Str. Jul Variboba	+355 42276313/310/324/304 /302/303/300
5.	Tirana	Rinas Branch	International Airport "Nënë Tereza" (Mother Tereza)	+355 4 453 99 66 / 8
6.	Tirana	Blvd. "Zogu I" Branch	Blvd. "Zogu I" Train Station	+355 4 24 19 761 /2 +355 4 22 69 972
7.	Tirana	BRUNES Branch	Tirana Durrës Highway, km 7	+355 48 33 2246 / 43
8.	Tirana	TEG Branch	Commercial Center Tirana East Gate - TEG, Farka	+355 48 845 116/117
9.	Tirana	Rr. e Kavajës Branch 1	Str. "Kavajës", Gurten Center (Volkswagen)	+355 687573552/3/4/6/9
10.	Tirana	Rr. e Kavajës Branch 2	Str. "Kavajës", Park Construction Albania	+355 4 24 19 767/6; +355 4 24 19 715
11.	Tirana	Rr. e Durrësit Branch	"Rilindja" Square Str. "Durresit"	+355 687573560/1/2/3/4/5/6
12.	Tirana	Unaza e re Branch	Str. Teodor Keko, Tirana	+355 4 2213038/9/40
13.	Tirana	Komuna e Parisit Branch	Str. "Medar Shtylla", Nd. 27 H. 4 (Tiranë e Re)	+355 4 24 66 981 / 3 / 4
14.	Tirana	Kombinat Branch	Str. "LLazi Miho", in front of Administration Unit No.6	+355 4 27 77 300 / 302
15.	Tirana	Rr. Bardhyl Branch	Str. "Bardhyl" Pallatet Progin – Building	+355 687573580/2/5/6/7
16.	Tirana	Twin Towers Branch	Blvd. Deshmoret e Kombit, Twin Towers	+355 4 22 76 140 / 141 / 142
17.	Tirana	S. Delvina Branch	Rr. Sulejman Delvina, No. 6, near Stadium 'S. Stermasi'	+355 4 22 74 501 / 502
18.	Tirana	U.S.A Embassy Branch	(Only for the Embassy) Rr. "Elbasanit"	+355 4 22 93 375
19.	Tirana	Italian Embassy Branch	(Only for the Embassy) Rr. "L. Dukagjini"	--
20.	Durrës	Durrës Main Branch	Lgj.No 1, Str. "Taulantia", Suqare "M.Ulqinaku"	+355 52 220 151/2/3/4
21.	Durrës	Train Station Branch	Str. "Kristaq Rama" near the Train Station	+355 52 22 45 28; +355 52 22 00 50 +355 687573830/2/3/4/6
22.	Durrës	Branch at the Beach	Lgj. 13, Hekurudha Plazh – Beachside	+355 52 262 367
23.	Durrës	A.Goga Branch	Str. "A.Goga"	+355 52 220 121; 238 150
24.	Elbasan	Elbasan Branch	Bvd. "Qemal Stafa"	+355 54 242 243
25.	Fier	Fier Branch	Lgj. "15 Tetori"	+355 68 757 3880 / 3881
26.	Lushnja	Lushnja Branch	Municipality Square	+355 35 225 830 / 1 / 4 / 5
27.	Korça	Korça Branch	Blvd. "Republika", Korça	+355 82 252 838
28.	Vlora	Vlora Main Branch	Lagjia Pavarësia-Skelë, Hotel Vlora Internacional	+355 33 229 548 / +355 33 228 380
29.	Vlora	Rr. "Sadik Zotaj" Branch	Str. "Sadik Zotaj"	+355 33 225 925 / 912
30.	Gjirokastra	Gjirokastra Branch	Lgj. "18 Shtatori"	+355 84 268 282
31.	Lezha	Lezha Branch	Blvd. "Gjergj Fishta" P. Rest. Jolly	+355 21 524 97 4 / 5
32.	Shkodra	Shkodra Branch	Str. "13 Dhjetori"	+355 22 246 065; 248 184
33.	Kavaja	Kavaja Branch	Blvd. "Indrit Cara"	+355 55 242 663/5; +355 687573960/2
34.	Berat	Berat Branch	Lgj. "22 Tetori", Blvd. "Republika"	+355 32 236 170 / 1
35.	Saranda	Saranda Branch	Str. "Skenderbeu", neighborhood nr. 1 -, 9701 Saranda	+355 85 220 602

Intesa Sanpaolo
Group Network

The Group Italian Network

NORTH WEST

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
1,033	Fideuram	96
	Banca IMI	1
	Banca 5	1

CENTRE

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
739	Fideuram	42
	Banca IMI	1

ISLANDS

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
228	Fideuram	10

NORTH EAST

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
881	Fideuram	56

SOUTH

Intesa Sanpaolo	Subsidiaries	
Branches	Company	Branches
638	Fideuram	26

Figures as at 31 December 2019

The Group International Network

EUROPE

Direct Branches	Representative Offices
Frankfurt	Brussels (1)
Istanbul	Moscow
London	
Madrid	
Paris	
Warsaw	

Country	Subsidiaries	Branches
Albania	Intesa Sanpaolo Bank Albania	35
Bosnia and Herzegovina	Intesa Sanpaolo Banka Bosna i Hercegovina	48
Croatia	Privredna Banka Zagreb	181
Czech Republic	VUB Banka	1
Hungary	CIB Bank	64
Ireland	Intesa Sanpaolo Bank Ireland	1
Luxembourg	Fideuram	1
	Intesa Sanpaolo Bank Luxembourg	1
Moldova	Eximbank	17
Romania	Intesa Sanpaolo Bank Romania	33
Russian Federation	Banca Intesa	29
Serbia	Banca Intesa Beograd	155
Slovakia	VUB Banka	192
Slovenia	Banka Koper	49
Switzerland	Intesa Sanpaolo Private Bank (2) (Suisse) Morval	2
The Netherlands	Intesa Sanpaolo Bank Luxembourg	1
Ukraine	Pravex	45
United Kingdom	Banca IMI	1
	Intesa Sanpaolo Private Bank (Suisse) Morval	1

AFRICA

Representative Offices	Country	Subsidiaries	Branches
Cairo	Egypt	Bank of Alexandria	175

AMERICA

Direct Branches	Representative Offices
New York	Washington D.C.

Country	Subsidiaries	Branches
Brazil	Intesa Sanpaolo Brasil	1

OCEANIA

Representative Offices
Sydney

ASIA

Direct Branches	Representative Offices
Abu Dhabi	Beijing
Doha	Beirut
Dubai	Ho Chi Minh City
Hong Kong	Jakarta
Shanghai	Mumbai
Singapore	Seoul
Tokyo	

Figures as at 31 December 2019
(1) European regulatory & Public Affairs

Data from ISP Institutional Brochure, updated as per 07.02.2020

INTESA SANPAOLO BANK
Albania